

EXECUTIVE OFFICE OF THE PRESIDENT
OFFICE OF THE U.S. TRADE REPRESENTATIVE

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PUBLIC HEARING ON THE
FIRST JOINT REVIEW OF THE USMCA

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WEDNESDAY
DECEMBER 3, 2025

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The Public Hearing convened at the U.S.
International Trade Commission, 500 E Street SW,
Washington, DC, at 9:00 a.m. EST, Daniel Watson,
Panel Chair, presiding.

PRESENT

DANIEL WATSON, USTR, Panel Chair
LISA ANDERSON, U.S. Department of Agriculture
JULIE CALLAHAN, USTR
ROBERT CARRIGG, USTR
ISABELLA CASCARANO, Department of Commerce
BRENNAN DOUGAN, USTR
MICHAEL JARAND, Department of the Treasury
DANIEL LEE, USTR
MIREA LYNTON-GROTZ, Department of the Treasury
BOB MANOGUE, Department of State
KATHERINE MASTMAN, USTR
RANDALL OLIVER, USTR
CARLOS QUINTANA, Department of Labor
JOSEPH RIERAS, Food and Drug Administration
SAMANTHA TATE, Department of Labor
MARIN WEAVER, Department of Commerce

1 WITNESSES PRESENT

2 CONGRESSMAN JOSH RILEY, NY-19th District
3 DIEGO MARROQUIN BITAR, Fellow, Americas Program,
4 Center for Strategic and International Studies
5 JAMIE TRONNES, Executive Director, Center for
6 North American Prosperity and Security
7 EMILY KILCREASE, Senior Fellow and Director of
8 the Energy, Economics, and Security Program,
9 Center for a New American Security
10 EDWARD GRESSER, Vice President, Progressive
11 Policy Institute
12 JASON MARCZAK, Vice President and Senior
13 Director of the Adrienne Arsht Latin America
14 Center, Atlantic Council
15 SARAH STEWART, CEO, Silverado Policy Accelerator
16 BARRY APPLETON, Co-director and Distinguished
17 Senior Fellow, Center for International Law,
18 New York Law School
19 JEFFREY KUCIK, Fellow, Wahba Initiative for
20 Strategic Competition
21 DAVID GANTZ, Will Clayton Fellow for Trade and
22 International Economics, Baker Institute for
23 Public Policy
24 JULIAN CARDENAS, Director, Center for U.S. and
25 Mexican Law, University of Houston Law Center
KAREN HANSEN-KUHN, Director of Trade and
International Strategies, Institute for
Agriculture and Trade Policy
MELINDA ST. LOUIS, Global Trade Watch Director,
Public Citizen
ITZEL BELEM LARA DE LA CRUZ, Commissioner of
International Affairs, Colectiva SOJUF
Sororidad Judicial Federal
LORI WALLACH, Director, Rethink Trade
ARTHUR STAMOULIS, Executive Director, Citizens
Trade Campaign
JED BOWER, President, National Corn Growers
Association
ALEJANDRA CASTILLO, President and CEO, North
American Export Grain Association
STU SWANSON, Chair of the Western Hemisphere
Action Team, U.S. Grains and BioProducts
Council
MIKE SEYFERT, President and CEO, National Grain
and Feed Association
SAMUEL CROWELL, Senior Director, International
Programs and Policy, American Seed Trade
Association

1 RILEY BUSHUE, Vice President, Northwest
Horticultural Council
2 DENNIS NUXOLL, Vice President for Federal
Affairs, Western Growers
3 RAQUEL ESPINOZA, Chairwoman, Fresh Produce
Association of the Americas
4 KEN MELBAN, President, California Avocado
Commission
5 MICHAEL JOYNER, President, Florida Fruit and
Vegetable Association
6 TEDDY KOUKOULIS, Chair, North American Blueberry
Council
7 BRAD RADER, Advocacy and Trade Committee
Chair/Board of Directors Member, Washington
8 Red Raspberry Commission
SOREN BJORN, CEO, Driscoll's
9 DAVE WALTON, Secretary, American Soybean
Association
10 JUSTIN TUPPER, President of the U.S. Cattlemen's
Association
11 DANA JOHNSON DOWNING, Senior Vice President,
International Programs, North American
12 Renderers Association
ALICIA ROCKWELL, Chief Government Affairs
13 Officer, Blue Diamond Growers
SHAWNA MORRIS, Executive Vice President, Trade
14 Policy and Global Affairs, National Milk
Producers Federation and the U.S. Dairy Export
15 Council
BECKY RASDALL VARGAS, Senior Vice President,
16 Trade and Workforce Policy, International
Dairy Foods Association
17 JOE MAXWELL, Chief Strategy Officer, Farm Action
PATTY LOVERA, Policy Advisor, Campaign for
18 Family Farms and the Environment
WILLIAM MURRAY, President and CEO, National
19 Coffee Association
AMANDA NGUYEN, President and CEO, American
20 Distilled Spirits Alliance
KATHERINE WHITE, Vice President of Policy,
21 National Council of Textile Organizations
JULIA HUGHES, President, U.S. Fashion Industry
22 Association
BETH HUGHES, Vice President of Trade and Customs
23 Policy, American Apparel and Footwear
Association
24 THOMAS CROCKETT, Senior Vice President,
Government Relations, Footwear Distributors
25 and Retailers of America

1 SUNG CHANG, Vice President, International Trade,
Retail Industry Leaders Association
2 IAKOWI:HE'NE' (MELISSA) OAKES, Founder, Director
of the North American Indigenous Center of New
3 York
TANIA DEL MORAL, Washington Advocacy
4 Coordinator, People's Movement for Peace and
Justice
5 RACHEL MICAH-JONES, Coalition Chair, Migration
that Works
6 FERNANDA AMBROSIO AGRAZ, Legal Consultant for
Global Rights Advocacy, Global Rights Advocacy
7 ADRIANA BARBERENA, Member, Worker Defense
Committee
8 RICARDO ORTIZ, Interpreter for Adriana Barberena
MANUEL PEREZ ROCHA, Associate Fellow, Institute
9 for Policy Studies on behalf of the Movimiento
Indigena Maya Peninsular
10 ANJAM AZIZ, Senior Director, International
Advocacy, Pharmaceutical Research and
11 Manufacturers of America
CASSIDY PARSHALL, Program Manager, Universities
12 Allied for Essential Medicines
ALEJANDRO SANDERS, Executive Director, Consejo
13 Farmaceutico Mexicano
RICARDO DEL OLMO HIDALGO, Executive Director,
14 National Pharmaceutical Manufacturers
Association, Mexico
15 STEVEN BIPES, Vice President, Global Strategy
and Analysis, Advanced Medical Technology
16 Association
JEFFREY LIETZKE, CEO, VACERE Medical, Inc
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1 P-R-O-C-E-E-D-I-N-G-S

2 9:08 a.m.

3 CHAIR WATSON: Good morning. And it's a
4 pleasure to be here for the first day of the public
5 hearing on the operation of the U.S. Mexico Trade
6 Agreement, the USMCA. The USMCA will have its first
7 six year joint review on July 1, 2026.

8 I want to thank the ITC for providing this
9 excellent space for this hearing. And I want to
10 thank in particular all of you for coming out today.

11 Particularly those of you that are going to be
12 providing testimony and sharing with us your views.

13 Over the course of the next three days a
14 wide range of interested stakeholders, including
15 those representing U.S. businesses, labor
16 organizations, think tanks, farmers and civil
17 society will provide views on the operation of the
18 USMCA.

19 In accordance with the USMCA
20 Implementation Act, USTR published a federal
21 register notice soliciting comments regarding the
22 joint review. We received more than 1,500 comments
23 and we have reviewed those with the help of some
24 of our inner agency colleagues here today.

25 As a reminder, the USMCA has a 16-year

1 term. That is through July 1, 2036. For this six
2 year review, this public hearing will inform our
3 assessment of the operation of the USMCA so far.

4 Importantly, that that joint review that will take
5 place in about seven months includes the very
6 important decision by each of the parties on whether
7 or not to extend the USMCA for another 16-year term.

8 The negotiation of the USMCA was a major
9 undertaking of the first Trump Administration to
10 both rebalance our trade relationship with our two
11 neighbors and our largest trading partners, Canada
12 and Mexico, but also to modernize the agreement to
13 be replaced, the NAFTA, which by that time was
14 already more than 20 years old.

15 Over the next three days we look forward
16 to hearing from you on how the USMCA is operating
17 and how we can best approach the joint review.

18 Before asking the panel members to
19 introduce themselves I want to highlight a couple
20 of logistics details for the hearing. We have 11
21 panelists today and nearly 60 witnesses so we're
22 going to be, so we ask everyone to be mindful of
23 the time constraints. Keep your remarks to the
24 allotted five minutes for comments.

25 Once all panel members have spoken, we will

1 ask a question of each witness. Those responses
2 should be limited to two minutes. Given the number
3 of witnesses that we have today and the panels we're
4 going to be very strict on the timeline.

5 I also want to point out that we have two
6 of my, two members of my staff, Braeden Young, who
7 is our director from Mexico, and Randall Oliver who
8 is our director for Canada, seated over here to my
9 right. You'll be hearing from Randall soon because
10 he will be serving as MC for the hearing.

11 I also want to mention that the hearing
12 is being transcribed by a court reporter, which we
13 plan to publish in the coming days.

14 So with that, I will introduce myself and
15 then ask my panelists to also introduce themselves.

16 I am Daniel Watson, I'm the Assistant U.S. Trade
17 Representative for the Western Hemisphere.

18 MS. LYNTON-GROTZ: Hi, I'm Mirea
19 Lynton-Grotz. I am the Treasuries Director of the
20 Office of Trade and Investment Policy.

21 MR. MANOGUE: Good morning, I'm Bob
22 Manogue, I'm the Director for Bilateral Trade
23 Affairs at the State Department.

24 CHAIR WATSON: Okay. Thanks everyone for
25 being here. I do want to --

1 MR. BURCH: Excuse me. Excuse me, can you
2 please reintroduce yourself, I don't think your mic
3 was on.

4 MS. CASCARANO: Okay, great. So my name
5 is Isabella Cascarano. I am the Deputy Assistant
6 Secretary for the Western Hemisphere at the
7 International Trade Administration at the U.S.
8 Department of Commerce.

9 CHAIR WATSON: Very good. So, again, I
10 do want to thank my interagency colleagues. We've
11 had a number of agencies participate in the
12 preparation for this hearing, including serving on
13 the panel today, so thank you very much for that.

14 With that, we can begin our testimony.
15 And we will start with Congressional comments. We
16 have one member of Congress with us this morning,
17 Congressman Josh Riley.

18 MR. OLIVER: Thank you. Can we have the
19 honorable Josh Riley, Congressman from the 19th
20 District of New York.

21 CONGRESSMAN RILEY: Well thank you for
22 holding this hearing. And especially to the staff
23 for all the hard work you've put in to this effort.

24 This opportunity to review our trade deals
25 is really important. For far too long the

1 politicians in this town, and the special interests
2 who fund them, have gotten us into terrible,
3 terrible trade deals that have hallowed out the
4 American middle class, crushed American
5 manufacturing and undermined American
6 competitiveness all to use profits for Wall Street
7 investors.

8 And I am here today because that has got
9 to stop. NAFTA was an absolute disaster for working
10 class, factory towns like mine. It rigged the
11 entire economy against hardworking, tax paying blue
12 collar labor and it rigged the economy in favor of
13 paper pushing, tax dodging finance bros. And it
14 sounds like I've got a chip on my shoulder about
15 it probably do.

16 I grew up on Birdsall Street in West
17 Endicott which is in upstate New York. And for
18 generations my family, like just about everyone else
19 in town, they worked at the Endicott Johnson Shoe
20 Factory. And E-J's employed tens of thousands of
21 workers, good wages. E-J's literally built the
22 town. All the parts. The fire stations, even the
23 homes.

24 Birdsall Street, where I grew up, is lined
25 with those E-J homes. And they're all identical.

1 They're about 900 square feet, 3 bedrooms, one
2 bathroom upstairs. There is a side door that leads
3 down into the basement washroom so the tanners who
4 came home wouldn't track the filth from the factory
5 through the house. There is a front porch on all
6 of the houses, and that's where all the neighbors
7 would come out and sit and watch the thunderstorms
8 in the summer. And there is nowhere in the world
9 I'd have rather grown up than one of those E-J houses
10 on Birdsall Street.

11 And you know the best thing about those
12 houses, if you worked at E-J's you could buy one
13 with no money down and a zero percent interest.
14 You'd have healthcare too. A good middle class
15 wage, no college degree required.

16 And it's why we in upstate New York in the
17 Triple Cities were known as the home in the square
18 deal. And it's this idea that workers don't work
19 to churn out dividends for shareholders and make
20 investors rich. Workers work to earn a place in
21 the middle class, give their family a shot at the
22 American dream and build things. Including strong
23 communities.

24 Later generations of my family, like most
25 others in town, they worked in the IBM factories.

1 My dad was a maintenance worker in the waste
2 treatment plant. It was a really good job. You
3 go to work, you punch a clock, you get calluses on
4 your hand, get dirt under your nails, take a shower
5 after work, not before. And if you're tough enough
6 to stick it out for long enough, willing to grab
7 the weekend shifts, the graveyard shifts, whenever
8 you could, then you could get into the middle class
9 too. And there is so much pride in it because you're
10 not just making stuff, they were manufacturing the
11 cutting edge things and computers that put America
12 at the forefront of innovation.

13 When I was about 15 NAFTA went into effect
14 and just like that, the rug was pulled out from
15 underneath my home town. We lost tens of thousands
16 of good manufacturing jobs in upstate New York.
17 We'd learn about the latest round of mass layoffs
18 in the neighborhood. And my family, my friends,
19 my neighbors one day, and then a week later we'd
20 see those same jobs getting filled in Mexico where
21 the labor was paid sweatshop wages and the unions
22 were busted, and the environment was treated like
23 shit.

24 And when you take thousands of good
25 manufacturing jobs out of a community, it's not just

1 the paycheck the folks are losing its pride. And
2 it's hope.

3 You see the opioid epidemic ripped through
4 and killed folks on the block. I just ran into Eric
5 Pino's mom at a fair over the summer and she is still
6 carrying that weight with her.

7 Child poverty rate in Binghamton is now
8 pushing 50 percent. And what do you expect when
9 you take all the good jobs away. But you know who
10 made out great with those trade deals? The
11 multinational corporations that are doling out
12 corporate paychecks around this place. The more
13 they could gut places like Endicott the more they
14 could pay returns to their shareholders and grease
15 the politicians, the Democrats, the Republicans,
16 all of them. Back home we call that corruption.

17 And around here in the swamp it runs pretty deep.

18 And bad trade deals didn't just hollow out
19 the middle class, they kneecapped American
20 competitiveness. Why the hell are we, the
21 greatest, most innovative hardest working country
22 in the history of the world, why is American
23 depending on foreign adversaries, including China,
24 for semiconductors and batteries and steel and all
25 the things that make a nation strong in today's

1 world. We're better than that.

2 So as you visit this trade deal, NAFTA
3 then, USMCA now, I urge you to care less about what
4 the big multinational corporate interests are
5 telling you about their bottom lines and care a hell
6 of a lot more about the interests of American workers
7 who are hustling harder than they ever have, but
8 still falling further and further behind because
9 of a one-two punch. Rising costs, the utilities,
10 the groceries, housing, and fewer good jobs paying
11 enough to cover those costs.

12 Please focus on American competitiveness,
13 American manufacturing, Americans making things in
14 America again. Stop asking whether it's cheaper
15 to build stuff in Mexico and start asking whether
16 it's better for American workers, American
17 manufacturing and American competitiveness to build
18 things here or there. Because the measure of good
19 trade deal is not how much profit it's making for
20 big corporations, it's not whether we start seeing
21 big stock buy backs and dividends and Wall Street
22 bonuses, it's about how much opportunity it's
23 creating for American workers and how much stronger
24 it's making American industry.

25 A good trade deal is a square deal for

1 American labor. There is neighborhoods like mine
2 all over the country. Especially in the heartland
3 and Appalachia, and what some call the Rust Belt.

4 And we may not talk a heck of a lot about our
5 politics or wear them on our sleeve, but I'll tell
6 you the folks back home are paying close attention
7 to what happens here.

8 Don't allow us to be sold out again. Don't
9 allow us to be sold out again. And better yet, give
10 us a fair shot to compete on a level playing field
11 because throughout our history, whenever we've had
12 that chance we have proven if we can compete on a
13 level playing field American workers will always
14 win. Thank you for the opportunity to testify.

15 MR. OLIVER: Thank you, Congressman
16 Riley, we really appreciate it. And we understand
17 as well. Just as a note that Congressman Chris
18 Smith from New Jersey wasn't able to join us. He
19 had a conflict with a House Foreign Affairs
20 Committee legislative markup and sends his regrets,
21 but we'll be accepting his statement as part of the
22 record.

23 And with that, Congressman, once again we
24 appreciate your time, we understand you have a busy
25 schedule so we'll release you. And with that we

1 will move over to Panel 2. So if Panel 2 will make
2 your way up to the front. Please bring your
3 placards and please sit in the order in which you
4 have been seated.

5 CHAIR WATSON: Good morning. Good
6 morning and thank you for joining us. As a
7 reminder, we'll be giving reminders at the beginning
8 of every panel. We want to stick to the five minute
9 timeline. After your testimonies are complete we
10 will ask you, each of you, a number of questions.

11 Please keep your responses to two minutes. And
12 then we'll ensure that everyone who wants to speak
13 today can have the time to do that.

14 We will be going in the order that is
15 currently in the schedule. And that is Mr.
16 Marroquin Bitar, followed by Ms. Tronnes, Ms.
17 Kilcrease, Mr. Gresser and Mr. Marczak, and finally
18 Ms. Stewart. And with that, Mr. Marroquin Bitar,
19 will you start us off?

20 MR. MARROQUIN BITAR: It will be my
21 pleasure. Congressman Riley, distinguished
22 members of the U.S. International Trade Commission
23 and U.S. Representative Office, Department of State
24 and Department of Treasury, I'm honored to share
25 my views with you on this critical topic.

1 CSIS does not take policy positions so the
2 views represented in this testimony are my own and
3 not those of my employer. My name is Diego Bitar,
4 Fellow at CSIS where I lead work on North American
5 economic innovations, supply chains and the future
6 of the USMCA.

7 The 2026 review is not a routine exercise,
8 it is a defining test to whether the United States
9 can preserve good jobs, secure supply chains and
10 maintain technologic and energy leadership in an
11 increasingly volatile world. Over the past five
12 years the USMCA has delivered real economic gains.

13 Interregional trade is up 37 percent driven by
14 industrial inputs and autos.

15 Monthly trends show remarkable resilience
16 to multiple disruptions. Section 232 tariffs,
17 USMCA enters into force, pandemic supply chain
18 realignment, and even more recent, type of tariffs.

19 The data reveals structural as opposed to temporary
20 regional integration. Since 2020 Mexico has
21 remained United States fastest growing, most stable
22 export destination, closely followed by Canada.

23 When direct investments has grown 16
24 percent and the U.S. remains the number one
25 destination globally, the rapid response labor

1 mechanism has effectively addressed the unfair
2 practices in Mexico and protected American workers
3 from low wage competition.

4 But the agreement has also revealed areas
5 of fragility. We have unresolved disputes
6 including noncompliance with the Automotive Rules
7 of Origin decision and ongoing concerns about
8 Mexico's energy policies and judicial system.

9 These undermined investor confidence and weaken the
10 competitiveness of American exports. Exporters.

11 And if the U.S. entity were to weaken or
12 lapse, the cost will leave out immediately. Supply
13 chains would fracture, manufacturers in autos,
14 aerospace, agriculture and advanced industries
15 would face higher costs and more delays. Millions
16 of American jobs will be at risk. And competitors
17 like China would gain ground in sectors where North
18 America currently leads.

19 Every month of uncertainty regarding the
20 outcome of whether you access a silent tax and
21 competitiveness, job creation and trust in the
22 region's economic governance. For these reasons
23 the United States should approach the 2026 review
24 as an opportunity to modernize the strength of the
25 agreement not fear as a threat to job creation and

1 regional competitiveness.

2 My six recommendations focus on practical
3 steps to build a stronger, more resilient and more
4 secure North America where the United States locks
5 in job creations, secures technological leadership
6 and cements energy dominance while maintaining fair
7 and reciprocal trade with Canada and Mexico.

8 First, the United States should secure,
9 reliable access to critical minerals by limiting
10 tariffs on Mexico and Canada to where it's strictly
11 permitted on the USMCA and negotiating a new chapter
12 side layer that aligns standards, accelerates
13 permitting and guarantees supply during crisis.

14 U.S. manufacturing from autos to defense
15 depends on reliable access to critical minerals.

16 Recent Chinese export restrictions on rare earth
17 and magnets on this court they need for secure
18 regional supply chains.

19 Second, we should institutionalize a North
20 American economic security committee to coordinate
21 investment screening. Mexico lacks a formal
22 investment screening mechanism today and divergent
23 approach exposes the U.S. to security risk and
24 regulatory gaps. Resilient and transparent supply
25 chains protect U.S. jobs and reduce reliance on

1 adversaries.

2 Third, the U.S. should lead the creation
3 of a north American product passport, a digital tool
4 that tracks inputs in real time. Coordinated
5 screening will strengthen enforcement against
6 forced labor, prevent transshipment and increase
7 supply chain transparency across the region. This
8 is how we build a fortress North America that is
9 resilient to certain manipulation and coercion.

10 Fourth, the U.S. should formalize energy
11 cooperation through a North American energy
12 business counsel and integrate energy planning into
13 the USMCA competitiveness committee. Our shared
14 energy abundance is one of our biggest assets versus
15 our global competitors. Institutionalizing energy
16 cooperation helps protect domestic producers,
17 innovation and our position in the global economy.

18 Fifth, the U.S. should modernize the
19 agreements digital trade and emerging technologies
20 provisions to address AI governance, data flows and
21 the interoperability of digital platforms. If we
22 do not set the rules and promote our standards others
23 will, ignoring ways that reflect U.S. and even
24 democratic standards and interests.

25 Finally, deeper financial integration and

1 stronger anti-money laundering coordination will
2 reduce transaction costs, support small businesses
3 through expanded access to capital and strength the
4 regions defenses against illicit flows. The bottom
5 line is this, a stronger modernized USMCA is the
6 foundation of a fortress North America that protects
7 American workers, secures strategic industries and
8 reinforces U.S. leadership in a fragmented world.

9 The United States cannot compete globally without
10 a strong North America, and North America cannot
11 be strong without a USMCA that is predictable,
12 enforceable and in line with our strategic
13 priorities.

14 Thank you for the opportunity to testify,
15 and I look forward to your questions.

16 MR. OLIVER: Thank you so much. We'll
17 move over to the next.

18 MS. TRONNES: Hi. I'm Jamie Tronnes.
19 I'm the Executive Director of the Center for North
20 American Prosperity and Security, which is the U.S.
21 based office of the Canadian think tank, the
22 Macdonald-Laurier Institute.

23 As we head into the review of the USMCA
24 it is worth it to point out the underlying factors
25 that have made the agreement such a success. First,

1 the number one benefit of USMCA has been its
2 certainty. Foreign direct investment has followed
3 the predictable market conditions in the United
4 States. This has contributed to the strength of
5 the North American supply chain enhancing the safety
6 and security of the continent.

7 Barrier free markets for U.S. goods are
8 another benefit of the USMCA model. Indeed,
9 Canada, Mexico and the United States are all, to
10 varying degrees, marketplaces for one another
11 goods, with Canada being the second largest customer
12 of American made goods in the world.

13 Indeed, USMCA has turned a trade deficit
14 with Canada into a good thing. Our CNAPS analysis
15 shows that 66 percent of the Canadian trade deficit
16 with the United States consists of inputs into the
17 U.S. economy. Only 31 percent of what the U.S.
18 imports from Canada are finished goods, however,
19 of those finished goods many, such as autos, contain
20 significant American inputs contributing to
21 American jobs and prosperity.

22 These factors have resulted in a thriving
23 North American economy in which over eight million
24 American jobs are a direct result of trade with
25 Canada. And Canada is a major direct contributor

1 to America's energy dominance. A dominance
2 required for the coming AI revolution.

3 Despite the many benefits there have been
4 some down sides. The Canadian supply management
5 policies have led to an unequal footing on cross,
6 for cross-border producers. Canadian cultural
7 exceptions and regulations, as they pertain to
8 digital services and trade, are beginning to strain
9 credulity.

10 Of late, however, trade discussions
11 between Canada, the United States and Mexico have
12 been strained due to the separate use of American
13 sectorial tariffs on Canadian and Mexican goods.

14 This has soured foreign direct investment,
15 reintroduced uncertainty into the market and led
16 many manufacturers and construction firms to pause
17 planned expansions, and even close factories as
18 input costs on steel, aluminum and lumber have
19 skyrocketed.

20 As broad tariffs have been put in place
21 despite the USMCA, it questions the commitment to
22 the future of the agreement on the part of the United
23 States. As such, our comments do not pertain to
24 specific trading sections that should be saved,
25 scrapped, readjusted or altered.

1 Our comments for the USMCA review are
2 simple. First, keep the USMCA. And second, a
3 review will do and a grand bargain approach might
4 be the way to do it.

5 If Canada and Mexico and the United States
6 are committed to keeping the USMCA, they should
7 adhere to it in both spirit and action. The
8 agreement has been ratified by elected branches of
9 all three governments.

10 And this is part of its allure for
11 investment, the certainty that trade in the North
12 American continent will continue to flow freely and
13 unimpeded by government overreach. This means that
14 additional tariff authorities, including sectoral
15 authorities, should not be applied against USMCA
16 states by any one government with a due process
17 consideration or wider consultation.

18 The review therefore should look at
19 streamlining of tariff mechanisms and enforcement
20 by partner countries into a USMCA pact effectively
21 bringing tariff resolutions on other sectoral
22 tariffs under the rubric of the USMCA tariff
23 remedies for member countries.

24 And secondly, if a review is truly what's
25 being proposed then a review will do. However,

1 USMCA is being overstepped by sectoral tariffs.

2 Relations between Canada and the United States have
3 deteriorated.

4 To get things back on track, CNAPS has
5 authored a paper entitled, The Grand Bargain, a Path
6 to Prosperity, Security and Strength for Canada and
7 the United States. In it we argue that Canada and
8 the U.S. can do more to leverage a trade deal by
9 expanding the scope to include things that America
10 would like Canada to do in exchange for free market
11 trading.

12 For example, Canada would have to keep up
13 its end of the bargain on defense spending and
14 national security, long time irritants between two
15 countries to ensure the future of its access to free
16 trade. Canada could then demand that no unilateral
17 pipeline vetoes, such as what occurred under the
18 Biden Administration, would endanger its oil and
19 natural gas exports to the United States.

20 The USMCA is the greatest trade agreement
21 ever negotiated. It has guaranteed the prosperity
22 and growth of an entire continent in the face of
23 other rising powers and has raised the standard of
24 living and quality of life for millions of North
25 Americans. It is investment magnet, the ace in the

1 hole for the North American prosperity and security.
2 And now is not the time to walk away but to double
3 down. Thank you.

4 MR. OLIVER: Thank you for your testimony.
5 And we'll move over to Ms. Kilcrease.

6 MS. KILCREASE: Thank you. Good morning.
7 I'm Emily Kilcrease with the Center for a New
8 American Security, a bipartisan independent think
9 tank focused on national security issues.

10 Thank you for the opportunity to provide
11 testimony this morning. And thank you as well to
12 Congressman Riley for his compelling remarks, which
13 we should all keep in mind throughout the course
14 of the review.

15 My remarks will focus on the role that the
16 USMCA plays in advancing Americas strategic
17 interests with a focus on U.S. economic security
18 interests in particular. Many witnesses over the
19 course of the next three days will focus on the
20 commercial issues related to the operation of USMCA.

21 I want to frame the conversation through
22 a slightly different lens. Which is how USMCA is
23 situated in the broader geopolitical context,
24 including the important role that USMCA can play
25 in the strategic competition with China.

1 Over the past decade U.S. international
2 economic policy has changed in profound ways.
3 Moving away from a prioritization of integration
4 and efficiency and towards a more complex mix of
5 policy objectives, including economic security
6 concerns.

7 The prioritization of economic security
8 has been evident in the scope of new measures that
9 the United States, and in many cases its
10 international partners, have introduced to address
11 discrete risks, particular those that arise from
12 economic entanglement with China, which is at once
13 a major economic power and an increasingly
14 aggressive challenger to the global security order.

15 These measures include screening of
16 foreign investments, expanding export controls to
17 prevent the transfer of technologies that could
18 determine the balance of power in any future
19 military conflict, and restrictions on the import
20 of connected products that could disrupt U.S.
21 critical infrastructure.

22 These economic security measures can be
23 highly complex, difficult to enforce and
24 potentially costly to impacted firms. It's
25 therefore essential that the U.S. aligns its

1 approach with its closest international partners.

2 And that it base its economic security policy first
3 and foremost on the strength and dynamism of the
4 American economy.

5 The USMCA review provides a unique
6 opportunity to advance U.S. economic security
7 interests on all of these fronts with two
8 overarching goals for consideration. First, the
9 preservation of a stable rules-based trade and
10 investment framework in North America is itself a
11 fundamental economic security interest for the
12 United States.

13 The North American market is highly
14 integrated and complimentary and the regional
15 market is the most important source of imports and
16 exports for all three countries. This North
17 American advantage provides an important source of
18 economic strength and leverage for the United States
19 in the strategic competition with China.

20 USMCA provides a high standards framework
21 to guide these North American trade and investment
22 ties. The rules-based transparent nature of the
23 agreement has been critical to providing economic
24 actors the certainty and predictability necessary
25 to make long-term investments.

1 Policy uncertainty, on the other hand, can
2 fatally erode investor confidence. A finding
3 that's been reinforced through scenario exercises
4 we conducted at CNAS. Maintaining the integrity
5 of USMCA as a rules-based predictable framework for
6 the North American market should therefore be the
7 primary goal of the USMCA review.

8 The second overarching goal should be to
9 promote economic security objectives as a necessary
10 complement to economic integration within North
11 American. One cannot make a strategic argument
12 about the value of economic integration without also
13 having a pragmatic and specific plan for ensuring
14 that integration reduces rather than exacerbates
15 economic and national security risks.

16 The USMCA review provides an important
17 opportunity to align economic security policies
18 among the North American partners strengthening
19 their collective ability to pursue a responsible
20 de-risking from China while reinforcing their trade
21 in investment ties within North America.

22 The need for stronger economic security
23 alignment within North America is not hypothetical.

24 One can look, for example, to the role that Mexico
25 plays in assembling data center service for U.S.

1 AI infrastructure. Without robust export controls
2 or trusted technology import programs in Mexico,
3 sensitive U.S. technologies are at higher risk of
4 diversion and critical U.S. AI infrastructure is
5 more susceptible to exploitation or disruption.

6 To strengthen economic security alignment
7 within North America, a USMCA, a updated USMCA
8 should include a targeted set of commitments for
9 each country to maintain a high standard set of
10 domestic economic security authorities, including
11 for export controls, foreign investment screening,
12 trusted technology import programs and trade
13 protection for strategic sectors.

14 It should include commitments to provide
15 each other with fast track review processes,
16 licensing exemptions or other mechanisms to
17 streamline economic security regulatory processes
18 within North America. And it should include
19 commitments to coordinate common tariffs toward
20 China while exempting each other from such tariffs.

21 Additional details, including suggestions
22 from model texts are in the comments that I, along
23 with my colleague Geoff Gertz, provided to USTR as
24 part of this consultation process.

25 Importantly, we emphasize institutional

1 alignment of authorities that each government will
2 implement in its own domestic framework, not in any
3 super national structure. Recognizing that each
4 government will want to maintain autonomy to take
5 the economic security measures that it deems to be
6 in its own national security interest.

7 The administration has already taken
8 important steps to integrate economic security in
9 its recent reciprocal trade agreements. By
10 addressing economic security in the USMCA review,
11 the United States can ensure that USMCA remains the
12 highest standard trade agreement. One that
13 promotes both economic integration and economic
14 security and truly advances U.S. strategic
15 interests. Thank you.

16 MR. OLIVER: Thank you. We'll move to Mr.
17 Gresser.

18 MR. GRESSER: Thank you for this
19 opportunity to testify on behalf of the Progressive
20 Policy Institute. This hearing, I believe, is U.S.
21 tariffs largest public event since the NAFTA
22 renegotiation hearing in 2017. You have 145
23 witnesses ahead, and will get detail on every part
24 of the agreement. Auto rules, labor standards,
25 digital trade, farm exports, much more. These are

1 all very technical, very important, politically
2 complex.

3 What I want to talk to is the big picture
4 and, I think as this is the first panel, I'd like
5 to start there. Canada and Mexico are America's
6 permanent neighbors. They are our two largest
7 trading partners. And candidly, we at PPI are
8 surprised and alarmed by the Administration's
9 approach to them this year.

10 Profligate imposition of tariffs in
11 different rules. The first Trump Administration
12 in Congress wrote up, quite recently, amplified our
13 frequent rhetorical threats, have raised costs for
14 American families I industry and eroded core U.S.
15 national security relationships.

16 In this context we feel the July review
17 should limit change to technical and consensus
18 issues acceptable to all three governments as we
19 try to assess and mitigate the damages these choices
20 entail.

21 Now to the agreement itself. North
22 American Economic integration dates back six
23 decades to the 1965 U.S. Canada Auto Agreement under
24 President Johnson. A generation later the Reagan,
25 Bush and Clinton Administration supported that into

1 the U.S. Canada FTA, and then the North American
2 Free Trade Agreement.

3 USMCA is the third generation version,
4 preserves these agreements core commitment to open
5 trade with our neighbors and adds important new
6 material. For example, digital trade rules,
7 enforceable and labor and environment standards,
8 stricter rule of origin for automobiles, revisions
9 to investment policy. And five years later we
10 believe it's working reasonably well.

11 Goods trade has grown from \$1.2 trillion
12 in 2020 to \$1.6 trillion. Canadians and Mexicans
13 buy a third of U.S. exports and are the top markets
14 for 42 U.S. states. They're also the largest
15 suppliers of goods Americans need or want from
16 abroad. Whether avocados and TVs for families or
17 metal, energy and fertilizer for U.S. industry and
18 agriculture.

19 The Biden and Trump Administrations have
20 used USMCA's labor features, such as the rapid
21 response mechanism frequently. And its digital
22 chapters delivered a 64 percent jump in U.S. exports
23 who digitally delivered services. So on balance
24 of success.

25 To paraphrase, Canadian Prime Minister

1 Lester Pearson in 1965, mutual understanding,
2 goodwill and confidence between our countries have
3 joined with ambitious policy goals embodied in
4 formal agreements to build a large integrated and
5 mutually beneficial continental economy.

6 Two predictions, or some predictions made
7 in 2020 though have not come true. Let me cite two.
8 Trade balance and automotive output.

9 The first Trump Administration said 2018
10 that its primary objective was to improve the U.S.
11 trade balance and reduce the trade deficit with the
12 NAFTA countries. That hasn't happened, rather the
13 reverse.

14 The simple explanation is that national
15 trade balances match national savings investment
16 gaps. All else equal, tax cut bills, like that of
17 2017, mean higher fiscal deficits which in turn
18 reduce the national savings rate. In borrowing
19 investment collapse, trade deficits then rise as
20 happened after the 2017 bill. And also after those
21 of 1981 and 2001. If trade deficits remain a
22 concern solutions lie in fiscal policy reform rather
23 than revision to USMCA.

24 On autos, post-2020 counts of U.S.
25 assembly of 10.3 million vehicles per year are

1 slightly below the 10.7 million NAFTA error average.

2 This is mainly, I think, a statistical artifact
3 reflecting depressed production made in the COVID
4 pandemic, but it may also be that USMCA's rules of
5 origin are proving overly restrictively making
6 North American cars less competitive against
7 European and Asian rivals. That is worth study,
8 though the rules are new and the full effect is
9 perhaps still unclear.

10 More certainly, this year's overuse of
11 tariffs, 50 percent on metals, 25 percent on auto
12 parts, ten percent up in paint, wiring, lightbulbs,
13 bike radios, et cetera, makes assembling cars in
14 American more costly. A more expensive American
15 car won't sell as well here or abroad. Again, the
16 solutions are in U.S. policy reform rather than
17 revision to USMCA.

18 In sum, the agreement is generally working
19 as hoped. No really fundamental problems have
20 shown up in it. And if some 2020 predictions didn't
21 pan out, that reflects U.S. policy choices unrelated
22 to the agreement, so we see no near term need for
23 very basic changes.

24 We do however have a strategic choice to
25 make this year. What sort of relationship do we

1 want with our neighbors?

2 Previous administrations, going back six
3 decades, chose economic integration for good
4 reason. Cooling strengths can make everyone a bit
5 better off with more suppliers, more customers and
6 more common interests. In a tense and economically
7 fragmented region, by contrast, common interests
8 are harder to realize and problems not only harder
9 to solve but tend to multiple.

10 Over the past year we have drifted toward
11 that latter path with Pearson's mutual
12 understanding, good will and confidence fading and
13 their converses, suspicion, rancor, fearfulness
14 ascendant. July's review is a change to restore
15 the better vision and we hope the administration
16 will approach it in that spirit. Thank you.

17 MR. OLIVER: Thank you for your testimony.
18 We'll move over to Mr. Marczak.

19 MR. MARCZAK: Thank you, Mr. Watson,
20 distinguished members of the panel. Good morning.

21 My name is Jason Marczak, I'm Vice President Senior
22 Director of the Adrienne Arsht Latin America Center
23 at the Atlantic Council where among other things
24 we focus on how U.S. -- increased U.S. Mexico
25 cooperation can accelerate U.S. economic security

1 and competitiveness.

2 I'm excited I have the opportunity to
3 testify today and expand upon the formal comments
4 submitted during the public commentary period. My
5 core message, USMCA remains the backbone of North
6 American trade competitors, a vital pillar to U.S.
7 economic security and a cornerstone of U.S.
8 industrial strength. However, there is room to
9 further strengthen the agreement with one
10 particular means to increase efforts to achieve
11 customers harmonization and modernization.

12 Since its implementation in 2020, the
13 USMCA has become the backbone of our economic
14 competitiveness. Through our analysis and using
15 publicly available data, we conclude that USMCA has
16 strengthened supply chain integration, expanded
17 market access for U.S. exporters, reduced reliance
18 on strategic adversaries and provided unmatched
19 stability during a period of global volatility.

20 I'd now like to walk you through four
21 points with accompanying graphs that illustrate
22 these conclusions with the special focus on the
23 U.S.-Mexico dynamics of the trading relationship.

24 First, USMCA provides trade complementarity and
25 supply chain integration with Mexico, which

1 strengthens U.S. industry.

2 Our analysis shows that North America has
3 developed a vertical production chain where the
4 United States specializes in higher value
5 intermediate goods and Mexico specializes in
6 assembly and consumer products. As you can see in
7 this graph, this relationship is visible and the
8 revealed comparative advantage trends over the
9 three decades where the U.S. has comparative
10 advantage in intermediate goods is strengthened
11 while Mexico's specialization in consumer exports
12 has declined.

13 The widening RCA gap is quantifiable
14 evidence of growing integration and
15 complementarity. The growing interdependence is
16 the foundation of further accelerating U.S.
17 manufacturing strength. And also one of the
18 strongest arguments for ensuring the review
19 reinforces rather than disrupts this efficient
20 production structure. Any policy of friction or
21 divergence from the principles of the USMCA risks
22 disrupting the trade complementarity potentially
23 increasing costs for manufactures in all three
24 countries and undermining the regional platforms
25 global competitiveness.

1 Second, the USMCA expands U.S. market
2 access for the U.S. industry. The U.S. exports over
3 one-third of its intermediate products to USMCA
4 products. And that's even higher when you look at
5 sectors like transport equipment and construction,
6 as this graph shows.

7 At the same time, Mexico and Canada are
8 deeply reliant on imports from the U.S. of
9 intermediate goods representing half of their
10 imports of these goods for these industries. This
11 connects to the previous point on U.S.
12 specialization and the benefits to our own economy.

13 As well, since USMCA took effect U.S.
14 exports to both parties has accelerated
15 significantly across agriculture, machinery,
16 vehicles, electronics and more. This growth is not
17 incidental, it is the result of a stable rules-based
18 framework that USMCA provides. And one of which
19 Canada and Mexico purchase over one-third of all
20 U.S. exports supporting approximately 12 million
21 U.S. jobs.

22 Third, USMCA reduces U.S. dependence on
23 strategic adversaries. Between 2017 and 2024 the
24 share of U.S. imports coming from Mexico and Canada
25 increased significantly, while during the same

1 period, as illustrated in this graph, U.S. imports
2 from geopolitical rivals decreased with a notable
3 focus on China. While this shift is a result of
4 growing U.S. decoupling from China, it demonstrates
5 that the USMCA is already enabling strategic supply
6 chain realignment toward trusted partners with a
7 most notable shift in machinery.

8 As you can also see, this realignment
9 reduces both policy risk and supply chain
10 vulnerabilities making U.S. industries more
11 resilient. And also by favoring partners who's
12 economic and security interests align with those
13 of the United States, the agreement locks in
14 dependable access to vital components.

15 And then fourth, USMCA provides stability
16 amid global volatility. At our analysis of trade
17 performance, USMCA partners shall monitor stable
18 trade flows while imports from the rest of the world
19 show dramatic spikes largely driven by tariff
20 anticipation and global uncertainty.

21 Effective duty rates tell the same story.
22 Imports from the rest of the world surge to nearly
23 12 percent in 2025 while USMCA imports remained
24 around three to five percent. Far more
25 predictable. With these findings in mind, the

1 upcoming review should focus on reinforcing not
2 rewriting USMCA's core principles ensuring
3 predictability is essential to safeguarding the
4 vertical production chain that underpins U.S.
5 competitiveness in our global economic platform.

6 At the same time USMCA's 2026 review has
7 the opportunity to further increase the trends
8 presented today, including those to enforce greater
9 customs harmonization and modernization through
10 greater interconnectivity. Things like
11 standardizing certificates of origin across the
12 three countries, expanding trial and error across
13 agency coordination, and supporting the expansion
14 of pre-clearance programs in Mexico to be more
15 robust in additional practices, auto,
16 pharmaceutical, steel and aluminum. Thank you very
17 much for the opportunity to testify today, and I
18 look forward to your comments.

19 MR. OLIVER: Thank you for your testimony.
20 We'll turn to Ms. Stewart.

21 MS. STEWART: Good morning. My name is
22 Sarah Stewart. I'm the CEO of Silverado Policy
23 Accelerator we're a geopolitical think tank focused
24 on advancing U.S. competitiveness.

25 We've witnessed a lot of change since USMCA

1 entered into force. A global pandemic, major
2 disruptions to supply chains and new geopolitical
3 dynamics. Many of USMCA's provisions remain state
4 of the art while others could be strengthened and
5 new ones added. The U.S. must meet the moment.

6 Many, if not all of the areas, I will
7 enumerate today require concerted, not just
8 unilateral action. Getting it right is critical
9 as USMCA can provide a blueprint for other
10 agreements.

11 While our written submission includes more
12 detail, I'd like to focus today on three areas that
13 I think would be transformational for trade and
14 economic security in the region. The first deals
15 with data.

16 We need more of it. Not just a data grab,
17 but a tailored data strategy. It sounds simple,
18 but these recommendations will increase
19 transparency, and ultimately our options for
20 addressing trade harms and expanding trade
21 opportunities.

22 First, we recommend establishing a joint
23 monitoring system to identify systemic overcapacity
24 and important surges across industries before harm
25 is done to our businesses and workers. The parties

1 could cooperate to prevent or combat such import
2 surges after having identified key metrics, like
3 export volume, value, unit value, production and
4 capacity.

5 Second, the parties should commit to
6 enhanced transparency and publication and sharing
7 of customs data, to include the origin, value and
8 quantity of goods imports by each party. This will
9 help with effective monitoring and enforcement of
10 transshipment, trade remedies, circumvention and
11 customs fraud. Data suppression should be used
12 sparingly.

13 Finally, the parties should also be
14 required to furnish maximally transparent inbound
15 investment data and be able to assess the ownership
16 structures of foreign companies operating within
17 their customs territories. All of these data would
18 help to illuminate threats before they become
19 injurious while also providing a basis by which the
20 parties could act in solidarity against unfairly
21 treated imports and predatory actors such as through
22 the imposition of a common external tariff scheme
23 or other trade measures on products related to
24 economic or national security interests of all three
25 parties.

1 There is increased market power and
2 leverage in acting together on this. The second
3 area deals with critical supply chains. Some are
4 too big to fail, so to speak, as we are seeing with
5 critical minerals. These are ubiquitous inputs to
6 modern life.

7 The country or region that controls the
8 supply of these inputs will have an economic and
9 military advantage. China is currently dominating
10 mineral supply chains. And while the U.S. and
11 allies are in the lead on advance semiconductors,
12 China is also dominating global foundational
13 semiconductor production and exports. We need
14 dedicated commitments on those supply chains to
15 ensure resilience and security for the U.S. and the
16 broader North American region.

17 For minerals, we recommend a critical
18 mineral security and resiliency annex that would
19 include a regionalized, a regional harmonized
20 tariff scheme for a defined list of critical
21 minerals to reduce internal tariffs among the three
22 countries and shift sourcing away from China.
23 Complementary actions could include new sourcing
24 incentives, a high standard framework to
25 differentiate responsibly produced North American

1 products and a phased in regional value content
2 scheme for minerals and downstream products.

3 The annex would also establish a minerals
4 economics security council to coordinate counter
5 measures against predatory market actors in the
6 areas of investment screening and export controls,
7 as well as enhanced implementation of USMCAs forced
8 labor and child labor prohibitions.

9 Finally, we recommend that the minerals
10 annex spur cooperation on recycling and recovery
11 of minerals, including by refining customs
12 nomenclature for scrap and waste to help customs
13 authorities consistently identify recyclable
14 inputs and facilitate trade. Our comments include
15 similar recommendations on semiconductor supply
16 chains as well.

17 The third and final area of our
18 recommendations relates to countering regulatory
19 arbitrage. Manufacturing production across a
20 range of industries has been off-shored to
21 jurisdictions that do not have, or purposefully
22 ignore enforcement of comparable labor and
23 environmental standards to those in the U.S. This
24 results in a cost advantage to others.

25 To correct this market failure, USMCA

1 parties should collect national level emissions
2 intensity data for certain steel and aluminum
3 products to monitor embedded emissions intensities
4 in steel and aluminum production relative to U.S.
5 production. These data would reveal the extent of
6 the arbitrage and inform policy tools to address
7 it. Such as imposing an offsetting duty on imports
8 of non-USMCA parties.

9 Relatedly, expanding tools like the rapid
10 response mechanism to the environment chapter can
11 enhance effective enforcement of environmental laws
12 by the parties. Thank you for the opportunity to
13 testify today, and I welcome your questions.

14 MR. OLIVER: Thank you very much. And
15 thank you all for sharing your testimonies, we
16 really appreciate it. Now we'll turn it over to
17 our Panel of U.S. Government Officials to ask you
18 some questions.

19 And just as a reminder, each of you will
20 be asked one question, and your response will be
21 limited to two minutes. And for all of you that
22 are watching, you'll see the lights light up yellow
23 when you have one minute left, red when you have
24 run out of time. And with that, I will turn it over
25 to our U.S. Government Officials, starting with

1 Assistant U.S. Trade Representative for the Western
2 Hemisphere, Daniel Watson.

3 CHAIR WATSON: Okay. And thank you very
4 much. I really appreciate those very substantive
5 comments in your presentations.

6 So the first question is going to be for
7 Mr. Marroquin Bitar. In your testimony you
8 recommend a digital North American product
9 passport. Can you provide some additional detail
10 on how you think such a product passport would work?

11 MR. MARROQUIN BITAR: Of course. Similar
12 to what Sarah was saying, we need more and better
13 data of our supply chains. By having a complete
14 version of our map within the supply chain it would
15 be easier for us to track rules of origin, the level
16 of inputs that are being sourced from the region.

17 And by having all that data in a single
18 space, either through blockchain or using other
19 technologies, that would be a lot easier for
20 exporters, small, medium enterprises, to prove that
21 they are sourcing from within the region. They're
22 using labor within the region, they're paying wages
23 in the region. And that would facilitate a trade.

24 But basically what we need is more and better data
25 in order to come up with this North American product

1 passport.

2 MR. OLIVER: Thank you so much. We'll
3 turn to the second question from Mr. Manogue.

4 MR. MANOGUE: All right, thank you. And
5 like Daniel, I want to thank all of you for this
6 thoughtful input.

7 Ms. Tronnes, in your testimony you
8 reference grid modernization and predictability of
9 electricity and maintaining energy dominance.
10 What are some of the areas of focus we should be
11 aware of?

12 MS. TRONNES: Certainly. Thank you.
13 One of the big issues is that the inputs to the grid
14 have been tariffed at 50 percent. Steel, aluminum.
15 Many things that are made in Canada that contribute
16 directly to the electricity grid have been tariffed
17 at a rate that quite frankly is going to make it
18 very difficult for local utilities to modernize the
19 grid.

20 Canada contributes a significant portion
21 of America's domestic and exported energy. Not
22 just electrical, but oil and natural gas. And as
23 America needs to add about one hundred gigawatts
24 of electricity in the next three years just to come
25 close to meeting demand, building out the grid is

1 something that is a primary need for the United
2 States. Not just for the AI revolution, but just
3 to meet up -- to meet the local demand for power.

4 And so, ensuring that these goods can flow
5 from Canada to the United States tariff free can
6 help with the United States in building out the grid
7 and modernizing the grid, as well as in building
8 things like the nuclear power revolution, which we
9 are entering into as well.

10 Both Canada and the United States are
11 increasing the nuclear power capabilities in both
12 countries. Canada is planning specifically more
13 nuclear power to come online just for export to the
14 United States ahead of anticipated demand. But if
15 we can't get the grid built in order to export that
16 demand there is going to be shortages.

17 The demand is so high it's exponential.
18 And so, it is reiterating the importance of
19 friendship and the treatment with respect between
20 both countries, and the removal of Section 232
21 tariffs. And need for a greater way to resolve
22 these issues between the two countries for our
23 mutual electrical benefit. Thank you.

24 MR. OLIVER: Thank you. We'll turn to our
25 next question from Ms. Lynton-Grotz.

1 MS. LYNTON-GROTZ: My thanks also to the
2 Panel for their testimony. My question is to Ms.
3 Kilcrease.

4 In your written comments you had spoken
5 about the USMCA partners establishing an economic
6 security committee, which was to oversee the
7 implementation of the agreements, economic security
8 commitments that you spoke about, and to provide
9 a forum for handling disputes between the parties.

10 Now with regard to the handling disputes element,
11 my question is, how would this differ from and
12 improve upon the current dispute resolution
13 mechanisms in the agreement? Thank you.

14 MS. KILCREASE: Thank you for the
15 question. It's a quite important one. So to
16 clarify, the comments that we had provided with
17 regard to dispute settlement, we do not think it's
18 appropriate for economic security commitments such
19 as export controls, investment screening.

20 Measures that governments take in their
21 own domestic system that have an underlying national
22 security rational, we don't think it's appropriate
23 to subject specific actions that a government may
24 take in that context to, for example, a third-party
25 panel or independent arbitration. So we would see

1 the existing dispute settlement processes in the
2 USMCA as not applying to any economic security
3 commitments that the three parties may decide to
4 undertake.

5 What we've proposed instead is to develop
6 the economic security committee to provide an
7 alternative way to handle disputes that may come
8 up. So the economic security committee could have
9 several functions.

10 One of which is just to oversee and share
11 information about how each country is, in its own
12 domestic system, implementing its export controls
13 or investment screening mechanisms, et cetera, but
14 there would also be benefit in having a, what's
15 essentially a consultation process where if there
16 is a dispute that arises. If for example the United
17 States blocks a Canadian investment and Canada has
18 concerns about it, the economic security committee
19 could provide a forum for discussing that and
20 resolving, not, excuse me, I shouldn't say resolving
21 the concern because there would be no right for
22 Canada to challenge it officially, but we do think
23 that the process of engaging in that consultation,
24 having that consistent information sharing can be
25 quite important for building shared norms about how

1 these sort of economic security instruments should
2 be used, with the goal ultimately that all three
3 countries would be rowing in the same direction.

4 They'd be looking at similar types of risk and
5 taking similar types of actions, but using the
6 committee structure really just to promote that sort
7 of alignment as opposed to providing any formal
8 right of any government to challenge an action that
9 each government would take in its own interest.

10 MR. OLIVER: Thank you so much. We'll
11 turn back to Mr. Manogue for the next question.

12 MR. MANOGUE: Thank you. And this is for
13 Mr. Gresser.

14 Mr. Gresser, in your request to testify
15 you noted the importance of avoiding,
16 quote/unquote, ill-considered steps that might
17 damage American standards of living, job and export
18 opportunities and national security. Can you
19 please provide us with a few examples of such
20 ill-considered steps?

21 MR. GRESSER: Certainly. We are
22 unfortunately not short of those this year. I will
23 say for example on, I believe September 29th the
24 administration put out a federal register notice
25 imposing on national security grounds a ten percent

1 tariff on all the wood that Americans buy from
2 abroad, including from Canada. Along with tariffs
3 of 25 percent on bathroom cabinets and upholstered
4 furniture and kitchen cabinets. But not on bare
5 wood chairs or similar things.

6 So the effect of this is going to be to
7 raise the cost of making homes in the United States,
8 making wood products in the United States and
9 raising costs for people who are buying some types
10 of furniture. It is very hard to connect this to
11 a national security need.

12 And the paper, or the register notice,
13 suggested that we needed wood for thermal protection
14 systems for nuclear reentry vehicles and ballistic
15 missiles and munition. And that struck me as, you
16 know, pretty far fetched. And a kind of
17 justification for taking a step that is going to
18 raise costs for, both for families and for industry
19 without really any, you know, any feasible rational.

20 So that's the sort of thing that I am
21 concerned about. And it's not the only one. A
22 month earlier there was a decision to define
23 condensed milk and balance beams, and propane, steel
24 and aluminum derivative products.

25 And so I think we have entered a pattern

1 of taking steps for possible political reasons or
2 quick off the cuff responses to the radio
3 advertisement that the Ontario government was, you
4 know, running quoting former President Reagan. And
5 I think we really need to step back from this and
6 remember that all these things have economic
7 impacts. That they add costs to the United States,
8 that they often entail retaliation from abroad, and
9 we ought to do them only with a lot of circumspection
10 and attention to the likely effects.

11 MR. OLIVER: Thank you. We'll turn back
12 to Ms. Lynton-Grotz for the next question.

13 MS. LYNTON-GROTZ: Thank you. My
14 question is for Mr. Marczak.

15 In your written testimony you had noted
16 the role of USMCA and reducing U.S. dependence on
17 strategic rivals for key technologies. In your
18 view, what is the best example of this that is
19 attributable to USMCA and are there lessons from
20 this example that can be applied in the course of
21 this joint review?

22 MR. MARCZAK: Great, thank you for the
23 question. And I think your question reinforces
24 part of the importance of USMCA which is, as we
25 discussed as a panel, the importance of a fortress

1 North America and ensuring economic security for
2 the United States and our own economic
3 competitiveness in a global spill specifically with
4 regard to strategic rivals.

5 With regard to USMCA, as mentioned, what
6 we've seen over the last few years is a significant
7 reduction in the imports and the market share of
8 U.S. imports from China in a number of different
9 areas. But most notably machinery, but also
10 medical equipment, metals, plastic, rubber.
11 Essentially all -- essentially a nearly over eight
12 percent reduction in all imports from China, whereas
13 we've seen an increase from our North American
14 partners.

15 And I think part of the way to further
16 accelerate that as we move into this review period
17 are things like looking at our -- at how we can
18 further enhance our customs harmonization,
19 modernization process. That entails things like
20 potentially standardizing some of the certificates
21 of origin across the three countries so that there
22 is a common template to declare the origin of a
23 product that reduces some of the ambiguity around
24 the original destination -- original source of a
25 product. And also reduces any type of confusion

1 among the three countries with regard to that.

2 I think improving on the rules of origin
3 is going to be absolutely fundamental as we're
4 looking at the review and ensuring that the rules
5 of origin, and helps to reinforce industries across
6 the U.S., Mexico and Canada, especially as you
7 mention with regard to products that are critical,
8 like electronics and other products that are
9 critical for the U.S.'s own economic security. Not
10 only here within our own country but globally as
11 well.

12 MR. OLIVER: Thank you so much. We'll
13 turn to Mr. Watson for the final question.

14 CHAIR WATSON: Thank you. So, Ms.
15 Stewart, you've spoken about the importance of
16 having a trilateral overcapacity monitoring system
17 for the USMCA. What is Silverado's vision for such
18 a system, including what type of metrics might
19 trigger an alert or a remedial measure?

20 MS. STEWART: Thank you so much. I'm glad
21 that you pulled on that thread because this is a
22 really important area that I think we are falling
23 down on as a government. In all private practice
24 law firms you are looking at trends in trade data,
25 not just the volume and value of trade but unit

1 value, production, capacity in certain sectors,
2 capacity utilization. Very similar to the things
3 that the ITC would look at in a trade case. You're
4 trying to identify trends.

5 In a lot of cases for private law firm
6 that's doing that on behalf of a client or to try
7 to find a new client, they are identifying patterns
8 in, you know, trade behavior based on those metrics
9 before there is serious or, you know, even threat
10 of serious injury to domestic industries. It's a
11 relatively straightforward and easy process. We
12 could be doing it together with our partners on a
13 coordinated basis so that we could raise those alarm
14 bells.

15 Maybe we're not tracking, you know,
16 Chinese imports of electric vehicles into the U.S.
17 because we have safeguards, but Canada or Mexico
18 may see those trends and could be alerting the U.S.
19 and saying, let's work together on this. Let's see
20 if as a group we can now use every opportunity at
21 -- on the margins of other multilateral or bilateral
22 meetings that the countries are having to address,
23 you know, these patterns of export behavior with
24 the offending country so that we don't have to get
25 to a place where either we're in a trade dispute

1 with the foreign exporter or that we have injury
2 to our businesses or workers.

3 So I think that it's an important area.

4 It fills a gap as well because you could be doing
5 this across industries that are not necessarily just
6 related to national security.

7 So to Ed's point, you know, if you're
8 looking at certain more commonplace products that
9 are coming in that would nevertheless have very
10 injurious effects, but may not necessarily be
11 national security, this is going to pick up on that
12 and give you a sort of an out valve so to speak before
13 it becomes a bigger trade issue.

14 MR. OLIVER: Thank you. And thank you all
15 for sharing your testimonies, for your
16 responsiveness to the questions, and for taking the
17 time to be here with us today. With that, this Panel
18 is concluded. And we will release you all. If you
19 will please take your placards and just put them
20 over at this table to my right we would really
21 appreciate it.

22 And with that, we would ask the members
23 of Panel 3 to please come forward. We also ask that
24 you bring your placards, and sit in the order in
25 which you have been seated. In addition, we ask

1 that the members of Panel 4 please come forward to
2 the seats that are reserved for you as well to
3 prepare.

4 CHAIR WATSON: Good morning. And thank
5 you. Thank you all for being here. We're also now
6 going to be joined by one of our colleagues from
7 USDA. And I will let her introduce herself.

8 MS. ANDERSON: Good morning. My name is
9 Lisa Anderson. I'm a senior advisor for the Western
10 Hemisphere in the Foreign Agricultural Service of
11 the Department of Agriculture.

12 CHAIR WATSON: Thank you. And with that,
13 we will begin with Panel 3. As a reminder, your
14 testimony should be no longer than five minutes.

15 Once we have completed all of them we will ask one
16 question at least of each of you. Please keep your
17 responses to two minutes. And with that, I will
18 turn it over to Professor Appleton to start us off.

19 MR. OLIVER: And if you'll turn on the mic
20 please.

21 MR. APPLETON: We'll try this again.
22 Good morning, Mr. Chairman. Thank you very much
23 to your colleagues.

24 My name is Barry Appleton. I'm the
25 co-director for the Center for International Law

1 at the New York Law School. I'm also a scholar and
2 fellow at the Balsillie School of International
3 Affairs.

4 I also want to note that I filed comments,
5 not only the comments for this submission, but also
6 the 004 submission. I filed a full brief here and
7 I would incorporate those into the terms of my
8 testimony today.

9 Global trade governance is undergoing a
10 structural reset towards security driven rules
11 based competition. The era of neoliberalism has
12 ended. And understandably the United States is
13 reevaluating and updating its trade relations with
14 all of its trading partners, including Mexico and
15 Canada.

16 And as the U.S. reviews its trade
17 frameworks it should focus on the benefits gained
18 from legal stability and institutional consistency.

19 Strong trade rules rather than short-term
20 victories are what foster investor consistency.

21 Trust, supply chain resilience and public
22 support across borders all benefit from these same
23 approaches. And even in mid-trade policy reviews
24 the U.S. still derives real value from due process,
25 the rule of law. And these principles have served

1 the U.S. very well in the past.

2 So my first point would be that law, not
3 leverage, builds North American prosperity. And
4 for over 30 years Canada and Mexico, with the United
5 States, have shown that prosperity rests, not on
6 power but on predictability. Rules-based
7 cooperation is really a foundation of our
8 prosperity. I'd like to say that predictability
9 is the quiet currency of commerce.

10 Second point I'd like to get to is that
11 -- a little bit about Canada. Canada's strategic
12 value to the U.S. Canada is the United States'
13 largest foreign market for goods, second largest
14 market and source of investment as it supplies
15 roughly 60 percent of U.S. crude imports, key
16 fertilizer and aluminum inputs and critical
17 minerals essential for electric vehicle defense
18 supply chains.

19 And on critical minerals I really want to
20 focus in on the impact also of critical minerals
21 that are developing. The ring of fire in
22 particular. We're looking at significant deposits
23 of critical minerals essential for the United
24 States. We're talking about titanium, chromite,
25 platinum group minerals, nickel, various types of

1 copper. They're right on our border. They're
2 right beside us.

3 When we think about having strong
4 continental resilience, having these types of
5 minerals available to us next door is very, very
6 important. It should be something that we are
7 factoring into in the nature of this type of review.

8 Third. I'd like to talk about the digital
9 dimension. And that's Chapter 19 of the USMCA.
10 Trade no longer moves only through pipelines and
11 trucks, it moves through data and algorithms and
12 cloud infrastructure. And Chapter 19's trade
13 digital provisions, you know, they were drafted
14 before the AI revolution but they now lag global
15 practice. The U.S. should lead in modernizing
16 these rules to ensure cross-border data flows remain
17 secure, accountable and rights protected.

18 But to that end it's very important that
19 we consider foundationally that technological
20 non-alignments is actually in the United States as
21 interest rather than opposed to U.S. interest. And
22 by that I mean is that the right of states to be
23 able to participate in global AI or data and cloud.

24 Ecosystems without subordination to a
25 single approach. Resilience and ability from our

1 partners makes the U.S. system stronger, not weaker.

2 We should be encouraging that rather than
3 discouraging that.

4 And then I'd like to turn, as my last point,
5 to the foundational re-anchoring of confidence
6 before the end of 2026. And in respect, I think
7 it's probably easiest to say that trade law's not
8 really about tariffs and text, it's about trust
9 between people who share a continent. North
10 America's prosperity flows from its institutions
11 and the genius of a continents trade architecture
12 lays not on tariff schedules but in the rule of law,
13 due process, efficient interoperable standards,
14 shared defense, efficient customs administration
15 and predictable enforcement.

16 And so as we're considering the review I
17 suggest that we think about these ideas as we go
18 forward. And I thank you very much for the
19 opportunity to be able to present today. Thank you.

20 MR. OLIVER: Thank you for your testimony.
21 We'll turn to the next witness, Mr. Kucik.

22 MR. KUCIK: Thank you so much for having
23 me. I'm speaking on behalf of New York University's
24 Wahba Initiative for Strategic Competition where
25 one of the things we care about in this moment is

1 that as we're thinking about the future of North
2 American trade cooperation, we want to get to write
3 what the costs and benefits of trade deals really
4 are.

5 So one of the core questions I think that
6 underpins recent U.S. trade policy is precisely
7 that. What are trade agreements ultimately worth?

8 And common criticisms, as we know, cite
9 everything from souring trade deficits,
10 manufacturing job loses, environment degradation
11 and infringements indeed even on national
12 sovereignty. USMCA has been no exception to facing
13 these criticisms. The deal sits at the center of
14 regional conversations about labor rights,
15 immigration, agricultural practices and many other
16 issues.

17 But the far reaching public debate over
18 USMCA we think still often misses three of the
19 agreements core benefits. And we'd like to caution
20 against developments that undermine these benefits.

21 First, dispute settlement works better
22 than we often think. The negotiations that
23 produced USMCA highlighted longstanding
24 difficulties resolving certain sensitive trade
25 conflicts. So disputes over dairy, disputes over

1 soft wood lumber date back decades.

2 And enduring disagreements over these
3 issues are cited by critics frequently to claim the
4 dispute settlement mechanisms are inefficient or
5 enforcement is in some way broken. More recently
6 rules of origin disputes have become equally
7 controversial.

8 These high profile disputes are important
9 but they represent only a tiny fraction of the bigger
10 picture in regional trade cooperation and the rule
11 of law benefits that derive from agreements like
12 USMCA. So we must be cautious in inferring too much
13 from headline grabbing disputes, even though they
14 are important industries, they are not a faithful
15 depiction of the many other disputes that are
16 resolved in a timely and amicable fashion and that
17 do result in policy compliance.

18 The successful resolutions, less widely
19 discussed, may be a truer measure of well
20 functioning trade system and it's a mistake
21 therefore to let a few persistent politically
22 charged outliers obscure our net assessment of
23 whether these provisions are working according to
24 plan, which by some measures they are working.

25 Second, rules stabilize markets and that

1 stability helps workers. The single largest
2 critique of U.S. trade deals over the last decade
3 is that liberalization costs jobs. Indeed many
4 analyses of NAFTA, and now the USMCA, analyses of
5 the net effects on employment almost always focus
6 on whether import penetration crowds out jobs,
7 particularly in the United States.

8 But a single largest threat to stable
9 employment is not predictable import competition
10 it is market instability. Something that
11 economists have shown us repeatedly over the
12 decades.

13 Unpredictable sharp fluctuations in the
14 market have been shown to depress wages, dampen job
15 growth, halt capital investment. And in short,
16 trade volatility is toxic for workers across
17 industries.

18 And that volatility does not just fall out
19 of the sky, most month-to-moth trade volatility is
20 a direct result of policy volatility or policy
21 uncertainty. Sudden tariff threats, disruptive
22 regulatory shifts, things of this nature that inject
23 uncertainty into the market are the core root causes
24 and the controllable sources of trade volatility.

25 So agreements like USMCA help reduce these

1 policy disruptions creating a rules-based trading
2 system, creating and encouraging policy
3 harmonization, reigning in and reducing the
4 incentives to act unilaterally. And in doing those
5 things USMCA has been shown to reduce market
6 fluctuations that punish workers in all three member
7 countries.

8 Third and finally, USMCA helps secure
9 critical supply chains. The agreement
10 incentivizes companies of course to source and
11 manufacture within North America. And with the
12 recent push towards nearshoring production the
13 agreement reduces dependence on volatile overseas
14 trade partners focusing trade instead on more
15 predictable, more certain relationships closer to
16 home.

17 And this opens the door for, particularly
18 in the United States, more access to critical
19 sectors such as Mexican pharmaceuticals and
20 Canadian energy, two areas in which the U.S. faces
21 persistent need and strong strategic incentives to
22 keep those supply chains close to home. So I will
23 end there. And I am open to questions. Thank you
24 so much for your time.

25 MR. OLIVER: Thank you for your testimony.

1 We'll turn to the next witness, Mr. Gantz.

2 MR. GANTZ: Thank you for this opportunity
3 to testify on behalf of the Baker Institute for
4 Public Policy and its Center for the U.S. and Mexico
5 on this extremely important, in a matter of respect,
6 very welcome review coming up next year.

7 I will start by indicating -- repeating
8 that the USMCA, and NAFTA before it, helped generate
9 an integrated U.S. and North America economic
10 juggernaut. Goods manufactured, services produced
11 which compete effectively with their counterparts
12 30 years ago. It was mostly with Europe, today it's
13 mostly with China and elsewhere in Asia.

14 We have numerous sectors, autos, auto
15 parts, trucks, steel, aluminum products which
16 produce high quality products at a very competitive
17 price in the U.S. and for export to the rest of the
18 world. I think it's critical to keep in mind, as
19 with NAFTA, that the USMCA makes it possible for
20 U.S. exports to be competitive price-wise with
21 markets throughout the rest of the world,
22 particularly in the growing region in the global
23 south.

24 Some 29 percent of global GDP, according
25 to the IMF, is within North America. That's a huge

1 number for one trade agreement that has three
2 parties.

3 So in our view, basically the overriding
4 aim of the review, and revision, ought to be to
5 enhance competitiveness. Not to jeopardize it.
6 I would quote from the medical profession that said,
7 first, do no harm.

8 We don't want to do anything, I don't
9 think, that could reduce efficiency, raise cost for
10 consumers, threaten jobs, cause inflation,
11 jeopardize exports. And I don't think without a
12 robust USMCA the U.S. will be able to, in the future,
13 to complete, particularly with Asia, for sales in
14 Asia and in the developing world.

15 There's been more than 30 years of mostly
16 successful, obviously there have been some
17 significant down sides, of economic integration
18 that has benefitted all three countries. And I,
19 you know -- it seems obvious but I'll mention it
20 anyway, the first Trump Administration was wildly
21 successful in not only modernizing and modifying
22 NAFTA, you know, five years, six years ago, I think
23 similar very constructive approach would be very
24 useful again next year.

25 A couple more points. The most important

1 steps the U.S. could take would be to preserve Mexico
2 and Canada's access to the U.S. market. They
3 currently have it for about 80 or 85 percent of their
4 export goods, but there is some huge exceptions that
5 I think need to be reviewed. Steel, aluminum,
6 copper, automotive goods. I think preferential
7 treatment is a good idea there.

8 If you've read the side letters to the
9 USMCA you would see that this -- the 232 actions
10 were contemplated back in 1918 and '19. Some sort
11 of access, whether it's tariff free quotas or some
12 other mechanism, would seem to me, seem to us, to
13 be very sensible.

14 At the same time I think many of us would
15 like to see a focus on transshipment of Chinese
16 goods. Mostly from Mexico, some from Canada. We
17 already have rules on connected vehicles, ships,
18 medical supplies and such. I think there are other
19 areas of concern. Steel has been a problem in the
20 past.

21 And this, I think, can be addressed much
22 more less complicated ways than in Asia. In
23 Malaysia, in the Philippines, in Indonesia there
24 are no real rules of origin apply. Basically it's
25 a very simple rule it seems to us for Mexico or

1 Canada. The goods that comply with rules of origin,
2 existing ones or maybe amended ones, automatically
3 are not considered to be transshipped. And some
4 of those goods are coming from, directly or
5 indirectly through China, but many of them are
6 coming from Europe and elsewhere available.

7 I think we also need -- Mexico also needs
8 an equivalent to CFIUS. Some way of screening for
9 an investment. Primarily but not necessarily all
10 Chinese. Whether that could be done by Mexico
11 itself or in cooperation with the U.S. and Canada,
12 which already have mechanisms, I think is an open
13 question.

14 Obviously there are needs to develop
15 critical minerals. It was mentioned earlier, I
16 think the idea of an annex makes a great deal of
17 sense. Or maybe several annexes. But given the
18 fact that we will probably be reliant on China for
19 another five, ten, 15 years, the faster we can
20 develop alternatives, including those in Mexico and
21 Canada, as well as the U.S. would be, I think, very
22 useful.

23 I think the USMCA would also benefit from
24 a new chapter to cover regulatory alignments, stuff
25 of that sort. And finally, I think there are many

1 opportunities to revise and de-modernize the
2 chapters on data driven economy. We need to deal,
3 I think, on a regional basis with the data economy.
4 And particular with artificial intelligence.

5 There are obviously lots of other matters
6 that need addressing, but I think it's worth keeping
7 in mind that on the whole NAFTA and USMCA worked
8 very well for U.S. companies, but also for U.S.
9 consumers and we need to preserve that option and
10 practice in the future. Thank you very much.

11 MR. OLIVER: Thank you for your testimony.
12 We'll turn to the next witness, Mr. Cardenas.

13 MR. CARDENAS: Thank you. My name is
14 Julian Cardenas. I'm the director of the Center
15 for U.S. and Mexican Law at the University of Houston
16 Law Center. On behalf of the Center I appreciate
17 the opportunity to present testimony regarding
18 USMCA.

19 It is an honor to contribute to this
20 important process which is vital to the economic
21 and legal framework of North America. The Center
22 for U.S. and Mexican Law, founded in 2012, is a
23 leading institution dedicated to conducting
24 academic research on international legal studies
25 between Mexico and United States.

1 Additionally, the Center has played a
2 pivotal role as a member of the North American
3 Consortium of Legal Education, NACLE, founded in
4 1999. Which promoted legal education across the
5 United States, Mexico and Canada. Through various
6 programs we strive to develop legal professionals
7 equipped to navigate the complexities of North
8 America trade and investments.

9 My testimony will point out to three issues
10 related to legal education, legal practice in North
11 America, as a framework -- having USMCA as a
12 framework of rule of law for trade and investment.

13 First, regarding TN USMCA professional
14 visas, Chapter 16. Even the recent changes in U.S.
15 immigration relations, I would like to emphasize
16 the importance of TN USMCA professional business
17 for attorneys and researchers, holding Mexican and
18 Canadian citizenships.

19 These visas can play an important role for
20 cross border legal practice, fostering legal
21 education and promoting international law changes,
22 all critical to the durability and success of the
23 USMCA. The Center of U.S. and Mexican Law works
24 to promote U.S. legal education among Mexican and
25 Canadian law students and attorneys.

1 Many of whom go on to become licensed
2 attorneys in the United States as highly skilled
3 professional in cross-border transactions.

4 Therefore maintaining and enhancing access for
5 legal professionals ensure continued cooperation
6 and legal development across our borders,
7 strengthening U.S. competitiveness, economic
8 security, productivity and rule of law.

9 Second, USMCA investment chapter, Chapter
10 14. The USMCA investment chapter, particularly the
11 Investor-State Dispute Settlement provision, is
12 crucial for maintaining a stable and predictable
13 legal environment for foreign investors.

14 When a nation exercise its sovereign
15 powers to join an international trade and investment
16 agreement, it not only demonstrates openness for
17 the exchange of goods, services and investment.
18 By joining a global market each nation benefits from
19 access to international funding, technology and
20 knowhow, all advantages that require predictable
21 rules governed by international law.

22 The judicial and energy reforms in Mexico
23 enacted between 2024 and 2025 illustrate Mexico's
24 ongoing restructuring efforts. While their
25 outcomes remain to be seen, it is imperative to

1 preserve the stability of the foreign investment
2 protection regime established under USMCA.

3 Particularly for investors operating in
4 a strategic sector such as energy, manufacturing
5 and technology. A stable rule of law framework is
6 essential for fostering cross-border investment and
7 straining long-term economic security alignment
8 with Mexico.

9 Third, USMCA's role in international
10 trade, Chapters 2, 5 and 7. The rules of origins
11 and trade provisions within USMCA serve as the
12 backbone for a dynamic multi-trillion dollar
13 market.

14 In recent years trade among the three
15 nations has approached \$2 trillion. Underscoring
16 the agreement significance for regional stability
17 and growth.

18 The USMCA, through foster supply chain
19 integration, reduced trade barriers and promote
20 fair competition ensuring that North America
21 remains a leader in global markets. These
22 provisions are particularly important as
23 technological advancement and shifting trade
24 dynamics require resilient and predictable
25 frameworks to support continued growth, investment

1 and innovation.

2 In conclusion, the USMCA remains a
3 cornerstone in North American economic cooperation.

4 The recent collaboration among our nations, such
5 as the joint hosting of the 2026 FIFA World Cup,
6 serve as an inspiring example of cross-border
7 partnership. Reflecting the spirit, the
8 University of Houston is hosting, in 2026, the
9 international conference, the 2026 FIFA World Cup
10 and North American Cross-Border Cooperation. This
11 event will highlight importance of North America
12 integration.

13 We hope that this spirit of collaboration
14 will guide the upcoming USMCA review process. I
15 appreciate the opportunity to provide these
16 comments, and I'm available to respond to any
17 questions.

18 MR. OLIVER: Thank you for your testimony.

19 We'll turn to the next witness, Ms. Hansen-Kuhn.

20 MS. HANSEN-KUHN: Thank you for this
21 opportunity to testify regarding our proposals for
22 the USMCA review. The Institute for Agriculture
23 and Trade Policy is a non-profit organization based
24 in Minneapolis that works locally and globally to
25 ensure fair and sustainable food, farm, and trade

1 systems. We prepared our submission in this
2 process with the National Family Farm Coalition and
3 the Western Organization of Resource Councils. We
4 urge you to utilize the USMCA review process to
5 correct fundamental problems in the agreement that
6 affect farmers, consumers, and rural communities.

7 Specifically, we call for three sets of
8 changes. First, improve transparency on food
9 labels to ensure informed choices and enhanced
10 competition in agriculture. Agricultural
11 production has become extremely concentrated in
12 North America. Just four firms control 85 percent
13 of beef packing in the United States. U.S. farm
14 groups have been pushing for mandatory
15 country-of-origin labeling, or COOL, for meat for
16 many years. Consumers also want to know where and
17 how their food is produced. A 2017 survey conducted
18 by the Consumer Federation of America found that
19 89 percent of the U.S. consumers want to know where
20 their meat comes from, a figure that is likely to
21 have increased in recent years as there is more
22 interest in local foods.

23 Canada brought a trade dispute over COOL
24 for meat to the WTO in 2009, arguing that the rules
25 discriminated against imports. After a series of

1 decisions and appeals, a WTO dispute panel ruled
2 that some aspects of the program treated imported
3 meat and cattle less favorably than U.S. production,
4 and that the rules, record keeping, and verification
5 requirements were overly burdensome. In 2015, the
6 Dispute Panel authorized Canada and Mexico to impose
7 retaliatory tariffs. The U.S. Congress repealed
8 the COOL rules a few months later.

9 Given the vast expansion of data about all
10 aspects of our economy, including agriculture in
11 recent years, the argument that recordkeeping is
12 too costly now seems disingenuous. The problem is
13 not so much the compliance as the trade rules that
14 provide excuses not to comply. In addition, as
15 scientific knowledge emerges about the health
16 impacts of chemical additives in ultra-processed
17 foods, there is increasing demand for nutrition
18 labels on food that are both more comprehensive and
19 more accessible. Many countries, including
20 Mexico, have moved to front of package nutrition
21 labels that allow consumers to see information on
22 calories, sodium, and fats at a glance, with more
23 detailed information on the back. Those
24 initiatives, too, could be the subject of trade
25 disputes.

1 We urge you to amend Chapter 11 on
2 technical barriers to trade to add a kind of peace
3 clause, an annex on transparency in food labeling
4 in which Canada, Mexico, and the U.S. agree not to
5 challenge each other's labeling policies under the
6 rules in USMCA and the WTO. This would include
7 measures important to all three countries,
8 including mandatory COOL for meat, nutrition, and
9 GMO labeling. Parties to the USMCA should also
10 commit to negotiations to permanently carve out
11 measures related to transparency in food labeling
12 from trade disputes.

13 Second, encourage innovative seed
14 systems. Now more than ever, public policies are
15 needed to support new solutions to agriculture and
16 food systems. Current trade policies, including
17 those included in the USMCA, create a barrier to
18 those innovations. We urge you to remove the
19 requirement in Chapter 20 on intellectual property
20 rights that each party ratify UPOV 91, a restrictive
21 treaty that prohibits farmers from saving and
22 sharing protected seeds. This agreement greatly
23 restricts farmers' ability to develop new varieties
24 that meet their specific needs and respond to
25 changing climate conditions.

1 And third, develop new solutions to
2 overproduction and low prices of dairy and other
3 agricultural commodities. This is a complex
4 problem that will require many changes to U.S. farm
5 programs, but changes in trade policy are also
6 relevant. As a starting point, the U.S. should
7 abandon its trade challenges to Canada's dairy
8 supply management program and instead convene a
9 participatory tri-national commission to learn from
10 that, and other public programs designed to
11 stabilize prices and supplies and enhance resilient
12 food systems. We appreciate this opportunity to
13 provide input on the review process, and look
14 forward to learning more about those talks as they
15 proceed. Thank you.

16 MR. OLIVER: Thank you, and thank you all
17 for sharing your testimonies. We'll now turn to
18 our panel of U.S. Government officials who will be
19 asking some questions. Just a reminder, one
20 question to each witness, with a limit of two minutes
21 of response. And with that, I'll turn to the
22 Assistant U.S. Trade Representative for the Western
23 Hemisphere, Mr. Daniel Watson.

24 CHAIR WATSON: Thank you again to all of
25 you for your testimony. The first question is for

1 Professor Appleton. In your comments, you argue
2 that the United States should lead in the
3 modernization of USMCA's digital trade provisions
4 to ensure that the cross-border data flows remain
5 secure, accountable, and rights protective. As
6 we're thinking about the joint review, what would
7 you recommend to ensure the security of cross-border
8 data flows?

9 MR. APPLETON: Thank you, Mr. Watson, for
10 the question. I think from a U.S. perspective,
11 services in digital trade represent the most dynamic
12 component of the bilateral economic relationship
13 for the future. Every dollar invested in stable
14 and rules-based frameworks with Canada secures a
15 competitive advantage for American firms in the
16 world's largest services economy. And remember
17 that the United States has a massive services
18 surplus with Canada, especially in this area, and
19 so we really want to get this right, because it's
20 so important in terms of America. So a predictable
21 law-anchored trade relationship safeguards not only
22 the standard widgets economy, we'll call it, the
23 older economy, but also this new American-driven
24 digital economy.

25 And so, when we're looking at these types

1 of approaches, I would strongly urge that we
2 consider the concepts of technological
3 non-alignment. In other words, that we deal with
4 processes of mutual recognition to be able to deal
5 with and satisfy what we want to do, rather than
6 drive and demand that the Canadians have to follow
7 the specifics of U.S. law. But rather, that we
8 should be pleased to have resilient, strong, and
9 independent systems, because they supply America.

10 If there's a problem with a Canadian energy grid,
11 that's a problem for America. If there is a problem
12 with the Canadian ability to get strategic materials
13 to the United States, that's a problem for America.

14 And therefore, to the extent that we accept
15 and we enhance what Canada is doing, that's good
16 for America as well as being good for the United
17 States. And we could overregulate and actually get
18 it wrong in the chapter, and I think that that would
19 be the most important area that I would stress by
20 far to the committee. In other words, allowing
21 Canada to have its own data sovereignty is not a
22 negative for America; it's actually a prerequisite
23 for having a strong and robust trading partner.

24 MR. OLIVER: Thank you for your response.

25 For the next question, I'll turn to Mr. Manogue.

1 MR. MANOGUE: All right, thank you very
2 much. Mr. Kucik, you would emphasize political
3 shocks and predictability of rules. How has
4 participation in the USMCA shaped member state
5 behavior and how do you see that evolving, if at
6 all, moving forward?

7 MR. KUCIK: Yeah, so I think one of the
8 things we have to be aware of in this conversation
9 is that part of what I would argue motivated the
10 transition from NAFTA to USMCA in the first place,
11 and something we're seeing more broadly in kind of
12 the wider global conversation around international
13 trade agreements is this push for greater
14 flexibility in the rules. And the narrative is
15 sometimes something like this, that we've tried
16 strict enforcement in the past under the WTO, that
17 didn't go very well, and what we've realized is that
18 countries need greater leeway and room to maneuver
19 under the law. And so, what we've seen are
20 arguments for and some policy behaviors that seem
21 to evidence a heavier reliance on flexibility
22 provisions that permit non-tariff barrier use. So,
23 whether that's anti-dumping measures, whether
24 that's subsidies, countervailing duties.

25 These non-tariff barrier policy moves have

1 become in some respects more popular over the last
2 decade globally, not just in North America, and so
3 why is it worth talking about this? Because use
4 of non-tariff barriers are one of the key policy
5 sources of trade volatility in the marketplace. And
6 it's not to say that flexibility isn't important,
7 it's not to be unrealistic about the need for
8 flexibility in trade law, but it's rather to caution
9 against the idea that greater flexibility is
10 strictly speaking always better, and that allowing
11 countries to utilize escape clauses is necessarily
12 going to alleviate all of those pressures on the
13 local economy and the workforce that is supposed
14 to be motivating escape in the first place. Because
15 what we're seeing in the first few years of USMCA,
16 as we're seeing globally, is that use of flexibility
17 provisions is continuing to generate market
18 volatility, and that that's bad for job growth and
19 wages. Thank you.

20 MR. OLIVER: Thank you for your response.

21 For the next question, we'll turn back to Ms.
22 Lynton-Grotz.

23 MS. LYNTON-GROTZ: Thank you to the panel
24 for their testimony. My question is to Mr. Gantz.

25 Mr. Gantz, in your testimony just now you

1 highlighted the role of China in North America, and
2 in your written testimony, you talked about the
3 impact of Chinese FDI in Mexico, and the broader
4 question of access to critical minerals. Could you
5 provide a little bit more detail as to how the three
6 countries should collaborate trilaterally to
7 address the concerns you raised?

8 MR. GANTZ: On critical minerals, or on
9 both issues?

10 MS. LYNTON-GROTZ: On both issues.

11 MR. GANTZ: All right. Well, let's start
12 with critical minerals. We obviously have a
13 situation where we're going to be dependent on China
14 for quite some time, and China is very effectively,
15 evilly using that leverage in trade discussions with
16 the Administration. And I come from Arizona; there
17 are huge critical mineral deposits across the border
18 in Sonora, but they're just sitting there. Nobody
19 is developing them; the government makes it very
20 hard to do so. You don't have many competent
21 companies who could go in there with some help, not
22 only mine, but refine some of the minerals in an
23 area where it's a very safe ally and very easy access
24 to U.S. consumers. Repeat the first question
25 again, please? Sorry.

1 MS. LYNDON-GROTZ: The question was in
2 relation to the role of China in North America and
3 how the three countries can --

4 MR. GANTZ: Yes, thank you. I think that
5 there is a great bipartisan concern that Mexico,
6 and to a lesser extent Canada, will be a means for
7 getting Chinese goods into the U.S.
8 surreptitiously. Some of it is just basic
9 transshipment, we had those issues with steel a year
10 or two ago, and some of it, which gets much more
11 complicated, is companies, not necessarily Chinese
12 companies, but companies produced in Mexico, but
13 they're still heavily dependent on Chinese supply
14 chains, particularly in the electronic sector.

15 So, I think if there's going to be a
16 transshipment mechanism, it has to be very carefully
17 designed because you do have rules of origin, and
18 it would make a lot of sense to say, well, if you
19 meet the rules of origin, which obviously may be
20 amended next year, we don't have transshipment
21 issues. If you don't meet the rules of origin, then
22 we look more carefully, particularly if we're
23 worried about Chinese investment in Mexico. I
24 don't think the auto industry per se is much of a
25 problem, I think BYD has eliminated its plans for

1 the time being for obvious reasons, but there are
2 other sectors which I think probably we need to
3 watch.

4 MR. OLIVER: Thank you for your response.
5 We'll turn to Mr. Watson for the next question.

6 CHAIR WATSON: Mr. Cardenas, you
7 referenced Mexico's ongoing reforms, including the
8 recent judicial and energy reforms. As we're
9 thinking about how we handle the joint review, what
10 do you think is important for us to consider in this
11 respect?

12 MR. CARDENAS: I think the key approach
13 to this is rule of law, and understanding that the
14 fact that the transition from NAFTA to USMCA, the
15 Chapter 11 remains now, and a new Chapter 14 that
16 provide rules of international and local protection
17 to foreign investor. The dimension of the reforms
18 that are both in the judicial reform and the energy
19 reform just prove that having those types of
20 regulation is key for foreign investors in sectors
21 where require massive investment of funds in the
22 billions or hundreds of millions of dollars. And
23 those rules are the ones that provide an umbrella
24 protection to U.S. foreign investors in Mexico in
25 this case. So, I think that considering the

1 importance of the stability of these rules will be
2 crucial in the review.

3 MR. OLIVER: Thank you for your response.
4 We'll turn to Ms. Anderson for the final question.

5 MS. ANDERSON: Thank you. Ms.
6 Hansen-Kuhn, in your submission you recommend the
7 United States abandon its trade challenges to
8 Canada's dairy supply management program. Can you
9 elaborate on that, please?

10 MS. HANSEN-KUHN: Sure. This is an issue
11 we've followed along with other family farm and
12 labor unions for several years. When the dispute
13 first came up, the National Family Farm Coalition,
14 the Wisconsin Farmers Union, National Farmers
15 Union, United Food and Commercial Workers and
16 Teamsters all urged the U.S. to reconsider that
17 attack, because it was seen -- the Canadian system
18 balances supply and demand of dairy at prices that
19 keep farmers on the land. There's smaller herd
20 size; there's lower emissions; the prices to
21 consumers are slightly higher, but not as much as
22 organic milk.

23 And so, this system produces what they need
24 with some residual exports that have for the most
25 part been pretty low. It would not work with a flood

1 of imports coming from the United States.
2 Wisconsin alone produces more milk than Canada
3 consumes throughout the whole country. And what
4 we heard from different farm groups is that
5 increasing some exports to Canada wouldn't be a
6 solution to the very low prices and overproduction
7 that they're experiencing.

8 So instead, several organizations have
9 proposed legislation in Congress and put up
10 different proposals to learn from that experience.

11 It's certainly not perfect, but it does offer
12 lessons for how we might approach issues of
13 overproduction and dependence on exports, the low
14 and very volatile prices that are so ruinous for
15 farmers everywhere. And so, this seems like a
16 process to, instead of urging further challenges,
17 to step back and think where we're really trying
18 to get with rural communities and this kind of
19 production. Thank you.

20 MS. ANDERSON: Thank you.

21 MR. OLIVER: Thank you for your response.

22 And thank you again for sharing your testimonies,
23 for your responsiveness to these questions, and for
24 your time. We really appreciate it. And with
25 that, this panel is concluded. I will ask as we

1 release you for you to grab your placards and please
2 put them over on this table to the right. And would
3 the members of Panel Four please step forward? And
4 we ask that you bring your placards and sit in the
5 order in which you are seated now.

6 And in case she's in a different space,
7 I'll ask that Ms. Gass also come forward. And
8 before we get started, I'll do another check for
9 Ms. Vicki Gass? I think we'll go ahead and get
10 started, and then if Ms. Gass joins, we'll have her
11 sit up at the front. Thank you so much.

12 CHAIR WATSON: Okay, thanks to all of you
13 for joining us here today. We do have some new
14 representatives on the panel, so I'm going to turn
15 to them to introduce themselves.

16 MS. MASTMAN: Hi, I'm Katie Mastman, I'm
17 the Assistant USTR for Labor Affairs.

18 MS. TATE: Good morning, my name is
19 Samantha Tate, I'm the Division Chief for USMCA
20 Monitoring and Enforcement at the Department of
21 Labor.

22 CHAIR WATSON: And with that, we'll go
23 ahead and get started with Panel Number Four. Quick
24 reminder, I think all of you have heard the rules
25 several times, but please keep to the five minutes

1 for your presentation. After the testimony, we
2 will ask each of you one question at least, and then
3 please keep your response to two minutes. So with
4 that -- and of course we will continue in the order
5 in our schedule, and so then, let's see, we will
6 go ahead and start with Ms. St. Louis.

7 MS. ST. LOUIS: Thank you. On behalf of
8 Public Citizens, 1.5 million members and
9 supporters, we welcome the opportunity to provide
10 recommendations to this USMCA review. While some
11 important improvements were made under the original
12 NAFTA, the USMCA still contains many rules that
13 undermine the rights of consumers and workers in
14 all three countries. The USMCA review must focus
15 on fixing the damaging trade rules that have
16 contributed to the continuing offshoring of good
17 U.S. jobs as well as the root causes of migration
18 from Mexico. In our written comments, we detail
19 seven areas that must be fixed during the USMCA
20 review to put workers and the public interest ahead
21 of corporate profits, and I'll summarize those
22 briefly.

23 First, we know that the USMCA was a big
24 win for big tech companies at the expense of
25 consumers. It was the first time that extreme

1 digital trade rules were codified in a binding and
2 enforceable U.S. trade agreement. A number of
3 these digital trade provisions limit the ability
4 of Congress and state governments to hold big tech
5 companies accountable and protect consumers, and
6 thus should be removed.

7 These include provisions that prohibit
8 requirements to disclose source code to regulators
9 and researchers that would ensure algorithms are
10 not perpetuating biases facilitating
11 anti-competitive behavior, or restricting the right
12 to repair. Provisions that restrict the ability
13 of governments to regulate cross-border transfers
14 of data, which undermine efforts to protect privacy
15 online, and provisions that undermine anti-trust
16 policies that ensure competition in the digital
17 economy or that inhibit taxation of large digital
18 companies.

19 Second, we join 30 public health groups
20 in calling for the USMCA's intellectual property
21 chapter to be removed to improve access to
22 life-saving medicines. Decisions regarding the
23 balance between the rights of patent holders and
24 the rights to public health should be made through
25 democratic policymaking, not through international

1 trade agreements. Should the IP chapter be
2 retained, we recommend the removal of provisions
3 regarding patent term extensions, market
4 exclusivity, patent linkage, and TRIPS-plus
5 enforcement mechanisms. The deal should also
6 affirm Government's right to use compulsory
7 licensing to address public health needs and to
8 negotiate lower prescription medicine prices.

9 Third, the USMCA's labor standards and
10 their enforcement must be strengthened. The
11 USMCA's enforceable labor obligations and the rapid
12 response mechanism were a marked improvement over
13 NAFTA. However, the overall framework has failed
14 to deliver the wage growth, union representation,
15 and cross-border equity that was promised, and
16 companies continue to offshore jobs in pursuit of
17 low wages and weak enforcement. We stand with trade
18 unions in their demands to ensure a decent standard
19 of living for workers across borders, including by
20 strengthening and expanding the RRM to cover all
21 sectors and all forms of labor violations in all
22 three countries, and establishing a North American
23 minimum wage for manufacturing workers in key
24 sectors.

25 Fourth, a key priority for the review must

1 be to spur a race to the top in environmental
2 standards to ensure that clean U.S. manufacturing
3 is not undermined by unfair competitors that take
4 advantage of weak enforcement standards abroad.
5 We thus support the changes to the environmental
6 chapter proposed by prominent environmental
7 organizations, which include requiring parties to
8 implement all necessary measures to fulfill their
9 current and future multilateral environmental
10 agreement commitments, even when such compliance
11 may conflict with other provisions in the USMCA,
12 and making environmental obligations binding and
13 enforceable, including through the creation of a
14 facility-specific mechanism like the RRM.

15 Fifth, we call for the full removal of
16 investor state dispute settlement, a mechanism that
17 has empowered foreign investors to undermine
18 democratic governance. Republicans and Democrats
19 alike have opposed U.S. ISDS because it's
20 unnecessary, harmful, and undermines sovereignty.

21 While the USMCA made significant progress by
22 eliminating ISDS between the U.S. and Canada and
23 restricting its application with Mexico, ISDS
24 rights are preserved for companies with covered
25 government contracts in Mexico and certain sectors,

1 and these terms should be fully removed.

2 Sixth, we recommend an overhaul of the
3 USMCA's agriculture rules. While large
4 agribusiness corporations have benefitted from
5 export expansion and consolidation, small and
6 medium farmers, rural workers, and indigenous
7 communities have faced displacement and declining
8 incomes in all three countries. Among other fixes,
9 we call for restoring policy space for governments
10 to manage agricultural imports and stabilize
11 markets, and reinstating country-of-origin
12 labeling for major food products including beef,
13 pork, dairy, eggs, and seafood, to guarantee
14 informed consumer choice.

15 Finally, the USCMA review is taking place
16 amid ramped-up efforts to unjustly scapegoat
17 immigrants, terrorizing communities through ICE
18 raids and violating due process. These tactics are
19 not only cruel, they do nothing to address the root
20 causes of migration, which stem from decades of
21 economic dislocation driven by trade deals like
22 NAFTA. We stand in solidarity with prominent
23 migrant justice groups in calling for USMCA reforms
24 that will allow people to live and work with dignity
25 in their homeland and protect the rights of

1 migrants. I'll conclude by urging a fully
2 transparent and participatory USMCA review process
3 including by publishing textual proposals and
4 negotiating texts and having a Congress vote.
5 Thank you.

6 MR. OLIVER: Thank you for your testimony.
7 We will now turn to Ms. Lara De La Cruz, and if
8 Ms. Gass is here, we welcome you to come forward.
9 But with that, begin with your testimony.

10 MS. LARA DE LA CRUZ: Good morning and
11 thank you for this opportunity. I speak on behalf
12 of Colectiva, a group of women working in Mexico's
13 federal judiciary. Women commitment to justice,
14 equality, and the defense of human rights. Women's
15 participation in public policy is essential for
16 economic development, prosperity, and security.
17 These goals are also central to the review and future
18 of the USMCA. We appreciate the commitment of our
19 international partners to women's rights and gender
20 equality, because strong institutions and fair
21 systems benefits all three nations.

22 As members of the federal judiciary, our
23 duty is to help guarantee an impartial and
24 independent legal system that offers certainty to
25 the investors and the public. The USMCA is not only

1 a trade agreement, it's a framework of cross
2 corporation and shared responsibility across North
3 America. Mexico remains commitment to higher
4 labor, social, and governance standards. In recent
5 years, Mexico has had advance in labor reforms,
6 transparency, union democracy, and gender
7 inclusion. Challenges remain, and we work every
8 day to ensure labor rights, equal pay, gender
9 inclusion, and effective dispute resolution.

10 These are essential to fair competition under USCMA.

11 Looking ahead to 2025 and beyond, all
12 economic actors including governments and companies
13 share responsibility for compliance and
14 corporations. Businesses must understand the
15 current regulatory environment. Judicial reform
16 affects how commercial disputes are resolved, and
17 requires reliable access to independent courts.

18 Changes in regulatory agencies raise new questions
19 in sectors such as telecommunications and energy.

20 Ongoing labor reforms require companies to adapt
21 continually and responsibly.

22 As in many countries, Mexico's tax
23 administration has grown, and companies must
24 evaluate compliance risks carefully. These are not
25 obstacles, but realities that investors must

1 analyze with professional advice and long-term
2 planning. International arbitration also reminds
3 an important tool for resolving complex disputes.

4 To strengthen regional and value and change, we
5 highlight five key areas for corporations.

6 Number one, active engagement in labor and
7 equality rituals. Number two, participations in
8 forums on how the USMCA adapt to the utilization,
9 immigration, and sustainability. Number three,
10 ethical business conduct to appoint legal and
11 reputational risk. Number four, competitiveness
12 based on equality, inclusion, and sustainability.

13 Number five, prevention of long-term risk and
14 oversight and responsible management.

15 Additionally, we propose the creation of a permanent
16 international dialogue round table. This space
17 will allow Mexico, the United States, and Canada,
18 to share best practices, coordinate early responses
19 to risk, and strengthen customary international
20 cooperation. It will support transparency,
21 communication, and a stable regional growth.

22 Our goal is not confrontation, but
23 co-responsibility. We want Mexico to meet its
24 commitments, and we want the three countries to work
25 together on policies that promote inclusion,

1 sustainable development, and shared prosperity.
2 The success of the USMCA will not be measured only
3 in three numbers, it will be measured in the strong
4 institutions, respect for human rights, and
5 participation of women in decision making. There
6 is the vision with Colectiva on North America, where
7 economy, democracy, and social justice must move
8 forward together. I'm sorry for my English, I do
9 my best, and I want to thank you all for your
10 attention and for your willingness to jointly
11 strengthen cooperation between Mexico, the United
12 States, and Canada. Let us continue moving forward
13 with patience and responsibility to where a more
14 solid and effective framework of collaboration.
15 I will be open to all your question, I hope I can
16 answer all of them. I mean, I can respond all of
17 that in the proper way. Thank you very much.

18 MR. OLIVER: Thank you so much. We'll now
19 turn to Ms. Wallach.

20 MS. WALLACH: Thank you for this
21 opportunity to testify on behalf of American
22 Economic Liberties Projects, Rethink Trade. We
23 urge the administration to use the mandatory
24 six-year USMCA review process to renegotiate key
25 parts of the pact and secure terms that can better

1 deliver on more balanced trade, wage gains, and U.S.
2 manufacturing capacity and job creation, which is
3 what President Trump promised for USMCA when it was
4 launched in 2020, while also altering or removing
5 terms that conflict with U.S. law or undermine
6 public interests. We oppose extending the pact as
7 is for another 16 years. We think USMCA made
8 important improvements on the NAFTA, but as members
9 of Congress and unions and other private sector
10 groups said at the time of USMCA's passage, there
11 was a lot of skepticism about whether it could
12 actually end or even slow down the trends of
13 race-to-the-bottom job offshoring to exploit the
14 much lower wages and environmental standards in
15 Mexico, as well as concerns were expressed about
16 new terms that were added, such as relating to
17 digital trade that could undermine the public
18 interest.

19 While the USMCA has become for certain a
20 new standard every new trade agreement should meet,
21 further progress certainly is needed, as the
22 five-year record of its outcomes show. In our
23 written testimony, we focus on three main issues.

24 First, improvements are needed to USMCA's digital
25 trade rules, to remove what are now conflicts with

1 existing U.S. federal and state laws and policies
2 enacted since the 2020 effective date of the USMCA.

3 This is necessary to avoid international
4 preemption of U.S. existing law, by digital trade
5 rules in the USMCA. Number two, USMCA outcomes with
6 respect to trade flows and balancing jobs are
7 opposite of what President Trump promised -- with
8 respect to balance trade and an end to job
9 offshoring.

10 We have seen, with ECLAC data, increased
11 investment of U.S. firms in Mexico, particularly
12 in manufacturing. The U.S. bilateral deficit with
13 Mexico is up 30 percent under USMCA. Manufacturing
14 wages in Mexico remain 40 percent lower than in
15 China, and even in the two-year period before trade
16 adjustment assistance ended between July 1st, 2020
17 to 2022, U.S. Department of Labor certified 249
18 petitions, almost 42,000 U.S. workers who had lost
19 their jobs to USMCA. Contrary to Ed Gresser's
20 notion that this is driven by a lack of U.S. savings,
21 the outcomes described have to do with the rules
22 of the agreement and the context of broader global
23 trends in trade. As our written testimony
24 describes, we believe that there are four important
25 key sectors, a need to increase MFN tariff rates

1 amongst the three USMCA partners, as well as
2 tightening rules of origin and improving labor
3 standards, and instituting wage standards in key
4 industrial sectors.

5 The third area is the labor rights, RRM,
6 system of enforcement, which is an enormous
7 improvement on the existing state of labor rights
8 enforcement in the other trade agreements. We have
9 a report with detail recommendations, however on
10 further improvements given in the final two years
11 of RRM implementation, there is a lack of good
12 settlements that are benefitting workers relative
13 to the first three years. Our trend data shows this
14 in the Closing the Gap report.

15 With my remaining minute, I will focus on
16 the digital trade issues, given on Friday you have
17 two panels of corporate representatives who will
18 be testifying to what should be done to further limit
19 domestic policy in the U.S., regulating big tech
20 through these rules. In sum, there is a set of
21 changes to five specific provisions in that chapter
22 that are necessary to avoid conflict with existing
23 U.S. law. The rules on data flows and storage must
24 be altered to avoid undermining laws, such as the
25 unanimously in the House, Republican House passed,

1 2024 Protecting Americans' Data from Foreign
2 Adversaries Act, the 2025 Trump Administration
3 preventing access to Americans' bulk sensitive data
4 regulations, and the U.S. government's current
5 procurement rules for cloud computing services
6 requiring domestic storage of data, as well as
7 Montana's 2023 Genetic Information Privacy Act.
8 I see I'm out of time, so hopefully this comes up
9 in the questions. Thank you very much.

10 MR. OLIVER: Thank you for your testimony,
11 we appreciate it. Mr. Stamoulis, we'll welcome you
12 next.

13 MR. STAMOULIS: Good morning. Thank you
14 for the opportunity to testify today. Again, my
15 name is Arthur Stamoulis, I am the Executive
16 Director of Citizens Trade Campaign, which is the
17 National Coalition of Labor, Environmental, Family
18 Farm, Faith, and Consumer Organizations that's been
19 working together to improve U.S. trade policy since
20 the original NAFTA debate in the early 90s.

21 When Congress approved the U.S., Mexico,
22 Canada agreement in 2019, our coalition's position
23 was that despite some improvements, the revised
24 NAFTA deal remained a far cry from the type of
25 transformative trade policy that should serve as

1 the template for new trade agreements moving
2 forward. Six years later, witnessing the increase
3 in the U.S. trade deficit under this pact as well
4 as the spike in imports of everything from
5 automobiles to aerospace to agriculture, we believe
6 the validity of our viewpoint has been confirmed,
7 and more so that the upcoming USMCA renegotiation
8 must be used as an opportunity to better sector the
9 interests of working people, family farmers, and
10 communities.

11 This past June, CTC sent Ambassador Greer
12 a letter from over 680 labor and civil society
13 organizations that outlined priority changes we
14 believe were needed, to the USCMA, including those
15 designed to reduce the offshoring of good paying
16 jobs, raise wages across the region, strengthen
17 rural communities, address root causes of economic
18 displacement and migration, stop abuses by big tech,
19 shut down special rights for foreign investors, and
20 make medicine more affordable.

21 And I'll note, these are popular
22 positions. Last month, our member organizations
23 and other allied groups together collected public
24 comments from 23,596 individuals that read the
25 following. By prioritizing the interests of greedy

1 corporations over working people, family farmers,
2 and communities, the U.S. Mexico Canada agreement
3 trade deal has failed to deliver the benefits that
4 President Trump promised. Among other serious
5 problems, the President's signature trade deal
6 helps corporations ship good paying jobs abroad to
7 take advantage of ongoing labor rights violations,
8 lacks pollution controls, and abysmally low wages.

9 As a result, his trade agreement is destroying
10 livelihoods at home and increasing exploitation in
11 Mexico. To reverse the USMCA's race to the bottom
12 for working people, strong new provisions to better
13 enforce labor and environmental standards and raise
14 wages throughout the region must be added.

15 Dangerous giveaway provisions for big tech, big
16 pharma, and other corporate special interests must
17 also be removed. Recognizing that corporations and
18 billionaires have been the primary beneficiaries
19 of President Trump's policies to date, we oppose
20 the scapegoating of immigrants in neighboring
21 countries. A renegotiated deal should address root
22 causes of economic displacement and put the needs
23 of workers, rural communities, and a health
24 environment in all three countries ahead of the
25 whims of corporate elites.

1 So, I urge you to please make these views
2 the centerpiece of the USMCA's renegotiation, and
3 to proceed with upcoming talks in a fully
4 transparent manner by allowing the public to review
5 countries' written proposals, any composite texts,
6 and other negotiating documents in real time, and
7 to hold stakeholder sessions that are open to the
8 public during negotiating rounds. Thank you for
9 your consideration.

10 MR. OLIVER: Thank you, Mr. Stamoulis.
11 And thank you all for sharing your testimonies, we
12 greatly appreciate it. We will now turn to our
13 panel of U.S. Government officials to ask you some
14 questions, and as a reminder one witness will get
15 one question with a maximum of two minutes of
16 response. And with that, I'll turn it over to our
17 U.S. Government panelists, beginning with Mr.
18 Watson.

19 CHAIR WATSON: Hello, and thank you again
20 for your testimony. My first question is going to
21 be for Ms. St. Louis. You recommend -- you talked
22 about the need for a mechanism similar to the rapid
23 response mechanism for labor to help ensure timely
24 compliance with environmental standards. Can you
25 say a little bit more about how you would envision

1 that mechanism working in that context?

2 MS. ST. LOUIS: Thank you for the
3 question, and I am also happy to follow up with more
4 kind of detailed written response. You know, I
5 think that the RRM has shown in the labor context
6 to have been successful in some cases, and needing
7 to be strengthened. When it came to the environment
8 chapter however, there was no such mechanism. No
9 meaningful enforcement at the facility specific
10 level, so we are seeing companies engaging in
11 environmental dumping to exploit weak environmental
12 standards.

13 And so, in order to actually have any
14 environmental provisions in the USMCA have teeth,
15 and to incentivize high-road investment that
16 protects the environment and does not engage in such
17 arbitrage, we believe that it is important to have
18 such a mechanism like the RRM that would, at point
19 source violations of the USMCA and relevant
20 environmental standards to, and protections by
21 specific facilities. And so, you'd have to
22 appropriate provisions in Chapter 30 and 31 of
23 dispute settlement to support the operation of a
24 new RRM, and it should be supported by harmonized
25 data collection and information provision

1 requirements for emissions that would enable
2 uniform and consistent access to information on
3 facilities in the U.S., Mexico, and Canada. So,
4 I think that having and then establishing an
5 inter-agency body to gather input and meet regularly
6 to address emerging concerns that affect the climate
7 and the environment as unintended consequences or
8 abuse of the USMCA.

9 MR. OLIVER: Thank you for your response.
10 And given Ms. Gass' unavailability, we will turn
11 to Mr. Manogue for the next question.

12 MR. MANOGUE: Thank you very much. So,
13 this is for Ms. Lara De La Cruz. So, in your request
14 to appear at this hearing you cited dangerous
15 giveaway provisions for big tech, big pharma, and
16 other corporate interests. Could you please share
17 with us some examples of these provisions you
18 recommend we address?

19 MS. LARA DE LA CRUZ: I'm sorry,
20 recommendations about gender?

21 MR. MANOGUE: You talked about dangerous
22 giveaways for provisions for big tech and big pharma
23 and other corporate special interests, and we wanted
24 to know if you had any examples of what you would
25 like us to address.

1 MS. LARA DE LA CRUZ: Sorry, I don't
2 understand so well. So, it's about the gender
3 participation in the USCMA, that's the question?
4 Or I understand in the wrong way.

5 MR. MANOGUE: Yes. Sorry, my Spanish
6 isn't very good.

7 (Foreign language spoken.)

8 MS. LARA DE LA CRUZ: Okay, thank you very
9 much. We quote that in the solicitation of the
10 hearing because we think that barometric
11 centralization creates vulnerabilities across
12 multiple dimensions, like privacy, cyber security,
13 and commercial data flows. We speak about it from
14 separate industries because we have no regulation
15 about the taxes in Mexico. I mean, we have it, but
16 this increase so the investors has to know that once
17 they come with the company at Mexico, this has to
18 be provided, and your imbursing, it's increased.

19 So, I quote the barometric centralization because
20 these central databases can be exploited for
21 political surveillance and discriminatory
22 practices. So, the companies maybe will be like
23 a spy, and that's why we quote it in the solicitation
24 of this hearing. I don't know if I answered your
25 question properly.

1 MR. MANOGUE: Yes, thank you very much.

2 MS. LARA DE LA CRUZ: Okay, thank you very
3 much.

4 MR. OLIVER: Thank you, and we'll turn to
5 Ms. Tate for the next question.

6 MS. TATE: Lori, you mentioned one of the
7 improvements would be on the labor value content
8 requirements. We were wondering if you could
9 elaborate on your recommendations related to the
10 LVC, and what impact your recommendations would have
11 on wages across the three countries?

12 MS. WALLACH: So, our concern on the LVC
13 is two-fold. First, it was sold, and many people
14 understood it as a way to raise wages and distribute
15 the work. And it really was a way to distribute
16 the work and to make sure particularly the
17 transplant auto companies, because it only supplies
18 to that sector, would have some processing and some
19 facilities and supply chain in the U.S. And in that
20 regard, it may have worked. But what it didn't do
21 is try and bring up the wages so that the combined
22 wage level we hoped would be including, raising
23 wages in Mexico. So, we support the position of
24 the Labor Advisory Committee the UAW that a more
25 useful way to do that would be to set industrial,

1 specific, sectoral, international minimums for
2 North America. To have a floor, as compared to do
3 a formulaic rule of origin. Obviously, it would
4 be like a rule of origin, because you'd have to
5 certify that the wage was met as for the good to
6 get the benefits, but it wouldn't be a mathematic
7 formula. So, that's number one, to really aim at
8 the wages, we should focus at the wages.

9 Number two, with respect to the labor value
10 content itself, the actual formula used allowed for
11 too much gaming. And so, and this is something that
12 was criticized at the time, which has proved to be
13 true, which is by allowing things like various
14 salaried, professional employees to go into the \$16
15 minimum, you ended up basically not having to raise
16 wages at all for the big three in their supply chain
17 with respect to actual line workers in Mexico. We
18 think that having an approach that sets minimums
19 in key sectors, plus tightens up actually the labor
20 value content with respect to try and distribute
21 the work, which it did actually work to do, added
22 with key improvements to the rapid response
23 mechanism which we lay out in a lot of gory detail
24 in our recent report, could actually help raise the
25 standards of wages and labor rights in Mexico so

1 we could have a high-standard North America.

2 MR. OLIVER: Thank you for your response.
3 We'll turn to Ms. Mastman.

4 MS. MASTMAN: Thank you. And my question
5 is for Mr. Stamoulis. Thank you so much for your
6 testimony. Given CTC's routes and state affiliates
7 across the country, and that your coalition members
8 have membership across the country, can you tell
9 us your membership's main concern about the USMCA
10 and its effects on American workers?

11 MR. STAMOULIS: Yeah, thank you for that
12 question. Our main concern, going back to NAFTA,
13 has been that this pact, both before and today, makes
14 it easier for corporations to ship good paying jobs
15 from the United States to Mexico, to take advantage
16 of low wages, lax pollution controls, and ongoing
17 labor rights violations. The USMCA certainly made
18 improvements relative to the original NAFTA, but
19 we think more improvements are not just warranted
20 but are absolutely necessary to protect good paying
21 jobs in this country and to prevent and downward
22 pressure on wages and benefits in the jobs that are
23 left.

24 So, that includes many things we've
25 already heard today about strengthening the rapid

1 response mechanism for labor rights. One of things
2 we'd like to see, among others, is including some
3 requirement for consultation with parties that are
4 bringing complaints before remedies are announced.

5 We think that would be very useful. There are ways
6 potentially to speed up the process, also to ensure
7 that Mexican regulators have greater authority on
8 their own to impose sanctions against violations.

9 We'd like to see, again, a rapid response style
10 enforcement mechanism for point source pollution,
11 so that the companies that are offshoring pollution,
12 you know, have a lot less incentive to do so. And
13 again, we want to see direct wage standards. Over
14 now 30 years, the wage gap between U.S. workers and
15 Mexico workers in our view hasn't really improved.

16 I believe it's like 10 to one in terms of
17 manufacturing workers. Many Mexican workers are
18 making less than their Chinese counterparts. We
19 can do a lot better.

20 MR. OLIVER: Thank you for the response,
21 and thank you all for sharing your testimonies, for
22 your responsiveness to the questions, and for your
23 time today. We really appreciate it. And with
24 that, this panel is concluded. I'll just ask that
25 you bring your placards over here to the right of

1 me. And with that, I'm also going to be able to
2 say something that I hope we'll be able to say over
3 the next couple of days, which is, we are ahead of
4 schedule, and we will pause for lunch.

5 So, for those of you participating in Panel
6 Five that are around, we ask that you come back a
7 few minutes early, and all of you just give time
8 to go back through security if you are exiting the
9 building. But we will be starting promptly at 1:00,
10 or even a couple of minutes before if we are able.

11 So, thank you all.

12 (Whereupon, the above-entitled matter
13 went off the record at 11:20 a.m. and resumed at
14 12:58 p.m.)

15 MR. OLIVER: Thank you, everybody.
16 Welcome back from lunch. For some of you, welcome
17 for the first time. For others of you, just a couple
18 of housekeeping rules before we get started.

19 For those of you that are speaking, just
20 a reminder, make sure to turn on your mic and turn
21 it off when you're speaking and not speaking,
22 respectively.

23 As a reminder as well that remarks will
24 be limited five minutes. You'll see some lights
25 in front of you and around the room that will turn

1 green when your time has started, will turn yellow
2 when you have one minute left, and will start
3 blinking red when you have run out of time. Given
4 the number of panels and witnesses we're going to
5 be sticklers on this five-minute rule, so we
6 appreciate you respecting that as well.

7 And once you all have given your statements
8 we'll then turn it over to our USG Panel up here
9 to ask you some questions, and the responses will
10 be limited to two minutes, which we'll also be
11 tracking with that same yellow with one minute
12 remaining; red flashing when your time has elapsed.

13 So with that, I'll turn it over to
14 Assistant U.S. Trade Representative for the Western
15 Hemisphere, Daniel Watson.

16 CHAIR WATSON: Okay. Well, thank you for
17 being here. We're going to go ahead and jump right
18 because, as Randall said, we have a lot to do today.

19 And so to get us started we're going to go in the
20 order that was in our agenda. So we will start with
21 Jed Bower.

22 MR. BOWER: Good afternoon. Thank you
23 for allowing me to testify today. My name is Jed
24 Bower. I'm the President of the National Corn
25 Growers Association, or NCGA. NCGA has over 36,000

1 dues-paying members representing half of a million
2 corn growers across the United States.

3 NCGA's mission is to protect and advance the
4 interests of corn growers. I farm corn and soybeans
5 in Southwest Ohio with my wife and children, my
6 family's fifth generation farm.

7 American corn growers rely on trade to be
8 successful. About one-third of our corn crop is
9 exported. The most important customers for the
10 U.S. corn industry are Mexico and Canada. The
11 United States exports nearly \$5 billion worth of
12 corn to Mexico. This is about 40 percent of the
13 total corn exports. And the United States exports
14 almost \$1 billion worth of ethanol to Canada, which
15 is 35 percent of ethanol exports.

16 The strength of these export markets is
17 all because of the United States-Mexico-Canada
18 Agreement, or USMCA. President Trump was the
19 architect of USMCA, and it passed Congress with
20 enormous bipartisan support. Mexico has always
21 been a strong partner and USMCA has submitted its
22 importance as the number one customer as corn
23 exports grew by 83 percent between 2020 until now.

24 Because of USMCA's provisions our corn
25 became very cost-competitive for the Mexican

1 importers, driven by their livestock industry. Now
2 the Mexican market is the same size as the second,
3 third, fourth, and fifth largest markets for U.S.
4 corn combined. USMCA has provided a key tool to
5 address Mexico's harmful policy banning corn
6 derived from biotechnology. If Mexico's
7 presidential decree was allowed to remain, other
8 countries around the world could follow suit
9 imposing their own policies not based on science,
10 which would discriminate against U.S. corn.

11 The United States called for the dispute
12 panel under Chapter 31 of the USMCA. The final
13 panel report was a clear and resounding decision
14 that determined Mexico's actions were not based on
15 science and violated the USMCA. Mexico complied
16 with the panel report, withdrew the decree. This
17 provided without a doubt that the USMCA's dispute
18 settlement chapter worked for the U.S. corn
19 industry. We will remain vigilant toward any
20 action by Mexico that negatively impacts the trade
21 of corn, but we know that the tools provided under
22 USMCA are effective.

23 The USMCA also includes committees and
24 working groups that should be utilized to their full
25 potential to increase ethanol access in Mexico,

1 mutually beneficial for both Mexico and for the U.S.
2 corn industry. Ethanol blending should not face
3 restrictions. It reduces emissions and makes fuel
4 more affordable for customers. For U.S. corn
5 farmers nationwide ethanol access in Mexico would
6 provide a new demand opportunity and the potential
7 to reduce the overall trade deficit with Mexico by
8 16.7 percent. Let me say that again. Ethanol
9 access into Mexico can reduce the agricultural trade
10 deficit by 16.7 percent. This is a very effective
11 tool to create more balance.

12 Canada is a success story for the U.S.
13 ethanol market access. One-third of U.S. ethanol
14 is exported to Canada. When the USMCA first entered
15 into force ethanol exports to Canada had largely
16 plateaued. The Canadian regulatory environment
17 drastically improved in 2022, paving the way for
18 ethanol to become a key part of Canada's fuel matrix.

19 As they sought to reduce emissions USMCA
20 facilitated the U.S. ethanol industry's ability to
21 respond to new regulatory environment and grow as
22 a supplier.

23 NCGA encourages the continued
24 accessibility of this market and values the role
25 of USMCA to maintain barrier-free trade flows.

1 Freight rail has been vital to moving U.S. corn,
2 bridging the gap between farms and markets across
3 North America for nearly two centuries. USMCA
4 ensure that the rail system is efficient, and all
5 three nations leverage this transportation system
6 for a competitive advantage over other global
7 suppliers. Disruptions are very costly to corn
8 producers and we encourage the working groups to
9 improve collaboration and respond immediately to
10 disruptions.

11 To conclude, American corn growers are
12 globally competitive because of the trilateral
13 partnership in North America. We are successful
14 because of USMCA, because of how it preserves and
15 promotes market access for agriculture. We support
16 a full 16-year extension of the agreement because
17 of its overwhelming success to the U.S. corn
18 industry. Thank you for giving us the opportunity
19 to share our views.

20 MR. OLIVER: Thank you for your testimony.
21 And we'll go to our next witness, Ms. Castillo.

22 MS. CASTILLO: Good afternoon. My name
23 is Alejandra Castillo and I am the President and
24 CEO of the North American Export Grain Association,
25 NAEGA. Thank you for the opportunity to appear

1 today before you.

2 NAEGA is the trade association
3 representing exporters of bulk shipments of U.S.
4 agricultural commodities and their derivative
5 products, and our mission is to promote and sustain
6 the reliability of commercial agricultural exports.

7 My oral testimony today supplements the
8 formal comments we submitted on November 3rd, and
9 our full testimony for today's hearing submitted
10 on November 24th.

11 The USMCA region has enjoyed an era of
12 phenomenal growth in agricultural trades since the
13 enactment of the North American Free Trade Agreement
14 in 1994. The U.S.-Mexico trade in agriculture
15 alone grew from just over \$5 billion in combined
16 nominal value in 1990 to more than 50 billion in
17 2020. Today Mexico and Canada account for 25
18 percent of U.S. agricultural exports. Roughly one
19 in 10 acres of U.S. crop land production is exported
20 to Mexico or Canada.

21 The USMCA has not only promoted economic
22 partnership, it has also built a foundation for
23 North American food security. U.S. corn imports
24 now account for a third of Mexico's overall corn
25 consumption.

1 Wheat grown in Montana, Idaho, and North
2 Dakota is used to make beer in Mexico, some of which
3 is exported again for consumption in the U.S. and
4 Canadian domestic markets.

5 Seeds produced in the United States are
6 grown into canola in Canada and re-imported into
7 the U.S. where it is fed to cattle boosting U.S.
8 dairy productivity by almost 100 gallons per year
9 per cow.

10 Seventy percent of agricultural goods
11 imported to the U.S. from Canada are used in the
12 production of other goods, including over \$700
13 billion worth of biofuels that support U.S. energy
14 security and keep prices down at the pump.

15 As the governments prepare for a formal
16 review of the USMCA, NAEGA believes the core
17 components for long-term success and predicable
18 trade are already in place. As such, NAEGA supports
19 a full 16-year renewal of the agreement and strongly
20 recommends no changes to the underlying agreement.

21 We ask that the negotiating partners consider using
22 the existing tools of the USMCA and resist reopening
23 the text.

24 Through use of these tools that include
25 committees, side letters, and consultations we

1 would ask USMCA partners to continue working
2 together to address the following impediments to
3 trade:

4 Number one, actions at border. Goods may
5 be subjected to inspections or may even be rejected
6 without apparent scientific justification.

7 Mechanisms that reduce checks and speed up trade
8 should be developed.

9 Science-based risk analysis. Many
10 SPS-based import bans and restrictions do not
11 conform to the North American Plant Protection
12 Organization and the Codex Alimentarius guidelines.

13 U.S. negotiators should secure commitments under
14 existing authorities to effectively require the
15 timely completion of sound risk assessments with
16 adequate opportunities for comment by the public.

17 And number three, transparency
18 provisions. U.S. negotiators should pursue clear
19 and transparent timelines for disclosure and
20 resolution of adverse import checks that prevent
21 or delay import shipments.

22 To address these trade impediments NAECA
23 recommends that negotiators pursue the following:

24 Number one, maintain market access, tariff
25 concessions, and other provisions that have enabled

1 economic integration in the North American
2 marketplace and supply chain over the last three
3 decades.

4 Number two, create a rapid response
5 mechanism that enables a timely and transparent
6 resolution of adverse import checks.

7 Number three, adopt risk management and
8 risk assessment procedures that prevent the use of
9 non-tariff barriers that lack scientific merit.

10 Number four, promote regulatory
11 consistency and cooperation provisions.
12 Commercial trade benefits enormously when
13 governments coalesce around widely-accepted good
14 regulatory practices and core principles such as
15 transparency, impartiality, and due process.

16 Number five, strengthen efforts to address
17 TBT matters including through the convergence of
18 mutual recognition of regulatory standards and the
19 enforcement of no less favorable treatment to
20 national conformity assessment bodies.

21 Finally number six, increase transparency
22 and cooperation on authorization processes for
23 modern agricultural production techniques
24 including seed breeding technologies.

25 Through pursuing these objectives the

1 review process could lead to mutual recognition
2 agreements and harmonization of regulatory
3 standards in the areas of pesticide regulation and
4 products of modern agricultural technology.

5 Trade agreements do not eliminate
6 irritants to trade or prevent new trading issues
7 from emerging, however when properly negotiated
8 they are essential frameworks to facilitate trade
9 through providing parties with clear pathways to
10 effectively resolve their disputes.

11 The value of trade agreements is in the
12 sustainability of the tools that they establish that
13 enable parties to resolve their concerns and seek
14 meaningful enforcement. We believe the existing
15 text of the USMCA meets the threshold test.

16 Therefore, we urge no changes to the underlying text
17 of the agreement confident that the existing
18 mechanisms enable U.S. negotiators to further
19 improve the predictability of trade. Thank you.

20 MR. OLIVER: Thank you for your testimony.

21 And we'll turn to the next witness, Mr.

22 Swanson.

23 MR. SWANSON: Thank you. Good afternoon.

24 My name is Stu Swanson. I'm a third-generation
25 corn, soybean, and swine farmer from Wright County,

1 Iowa. I am also the Chairman of the Iowa Corn
2 Growers Association and serve as the Western
3 Hemisphere A Team leader with the U.S. Grains and
4 Bioproducts Council. I'm thankful for the
5 opportunity to be here today and speak with you about
6 the importance about the USA's trade
7 agreement--USMCA trade agreement with the U.S.
8 Grains Council.

9 USMCA represents a gold standard in trade
10 agreements which has enabled Mexico to become the
11 top export market for U.S. corn and Canada to be
12 the top export market for U.S. ethanol.

13 Before I throw more trade stats at you,
14 I want to spend a few moments describing the rural
15 America where we grow corn, sorghum, and barley that
16 we export to the world.

17 Wright County, Iowa, where I live, has lost
18 3.8 percent of its population since 2010 while the
19 overall U.S. population has grown by 7.7 percent.

20 While my home county has been losing people for
21 decades, Polk County, which is home to Iowa's
22 largest metro area of Des Moines, has seen its
23 population increase by 15.9 percent since 2010.
24 And I could repeat this stat for countless rural
25 counties across our country.

1 As rural America continues to lose
2 population the tax bases in rural counties shrink,
3 the labor force which businesses look for shrinks,
4 health care and schools shrink. The reason for this
5 trend in America is not complicated. Americans are
6 smartly moving to where the economic opportunities
7 are.

8 This has played out in my own family with
9 our four adult daughters, all four graduating with
10 degrees in agriculture. They have professional
11 careers in seed, equipment, crop protection, and
12 animal/ag industries. Only one of our lives in
13 rural Iowa, where the other three have moved to Des
14 Moines, Ames, and Minneapolis.

15 Now the good news is we're here to talk
16 about one of the great economic success stories for
17 grain farmers in rural America, the USMCA. The
18 USMCA is cherished by farmers since it guarantees
19 zero tariff trade and harmonized sanitary and
20 phytosanitary standards and prevents arbitrary
21 restrictions such as Mexico's attempted ban on
22 genetically-engineered corn.

23 In 2024, Mexico imported nearly 1 billion
24 bushels of U.S. corn, or roughly 6.5 percent of the
25 2024 U.S. corn crop. Mexico is the single largest

1 foreign market for U.S. corn and the Mexican animal
2 feed industry sources 99 percent of its corn from
3 the U.S. Since entry into force of NAFTA in 1994,
4 corn exports to Mexico have increased from 3 million
5 metric tons to 25.5 million metric tons in the
6 '24-'25 marketing year. That equates to a compound
7 annual growth rate of 7.39 percent, and we expect
8 this market to continue growing if duty-free access
9 is maintained.

10 Mexico is the second largest market for
11 U.S. sorghum after China consistently importing
12 hundreds of thousands of metric tons each year, and
13 the steady demand from Mexico is deeply intertwined
14 with the growth of its livestock and poultry sectors
15 which demand on imported sorghum for animal feed.

16 More than 75 percent of the total U.S.
17 barley products exports go to Mexico and the primary
18 use for imported barley in Mexico is malting, which
19 supplies a robust Mexican beer industry. The
20 symbiotic trade relationship ensures that the
21 success of the U.S. barley sector is closely linked
22 to the health and growth of the Mexican beer
23 industry.

24 In 2024, we exported 675 million gallons
25 of ethanol to Canada, equal to 35 percent of all

1 U.S. ethanol exports and making Canada far and away
2 the largest export market for U.S. ethanol.

3 Export markets to Mexico have varied over
4 the past five years with current exports setting
5 records at 70 million gallons. These imports are
6 only for industrial usage, not for on-road fuels.

7 Mexico does not currently blend ethanol into its
8 gasoline, however blending U.S. ethanol would
9 reduce its reliance on the

10 environmentally-problematic additive MTBE, which
11 the U.S. quit using in 2005. Replacing MTBE with
12 ethanol would provide Mexico with more octane at
13 a lower cost and cleaner burning gasoline.

14 For American corn, sorghum, barley, and
15 ethanol exporters the USMCA is indispensable. The
16 agreement sustains billions of dollars in trade,
17 enforces science-based regulations, and locks in
18 duty-free access to our closest export markets.

19 The increased demand fostered by USMCA
20 ultimately supports commodity prices and
21 contributes to the economic vitality of rural
22 communities across the U.S. These economic
23 benefits help keep farmers in business and enable
24 them to weather tough economic challenges like many
25 of us are currently experiencing while remaining

1 competitive against our South American rivals.

2 Solidifying this trilateral partnership
3 for the next 16 years will give U.S. farmers
4 confidence to maintain and invest in their
5 operations and ultimately help ensure family
6 farming as a viable economic option for the next
7 generation who wants to live and work in rural
8 America. Thank you.

9 MR. OLIVER: Thank you for your testimony.
10 And we'll go to our next witness, Mr.
11 Seyfert.

12 MR. SEYFERT: Good afternoon and thank you
13 for the opportunity to testify today. My name is
14 Mike Seyfert, President and CEO of the National
15 Grain and Feed Association.

16 NGFA was founded in 1896 and represents
17 a broad cross-section of the American grain, feed,
18 processing, biofuels, milling, export, and
19 livestock feed industries. Our members include
20 cooperatives, private, and publically-traded
21 companies operating more than 8,000 facilities
22 across the country.

23 The broader grain and feed sector directly
24 employs more than 175,000 Americans and supports
25 over 1.16 million jobs nationwide. The economic

1 health of U.S. agriculture and the communities we
2 support depends on an open, predictable,
3 rules-based trading system. That is why NGFA
4 strongly supports a complete 16-year renewal of
5 USMCA with no changes to its underlying terms.

6 Negotiated and codified under President
7 Trump during his first term USMCA has been an
8 unquestionable success for our industry. It's
9 helped grow our exports substantially and it's
10 reduced tariff barriers. It has strengthened
11 cooperation and provided the certainty needed for
12 companies to invest, expand, and deliver food, feed,
13 and fuel to markets across North America and around
14 the world.

15 Mexico and Canada are two of the most
16 important export markets for U.S. corn, soybeans,
17 wheat, and other commodities. Mexico purchased
18 more than 12 billion in U.S. grain and oilseed
19 products last year and is expected to surpass China
20 as our largest export customer.

21 Ensuring that trade remains seamless,
22 predictable, and science-based is essential to
23 America's farmers, grain handlers, feed
24 manufacturers, exporters, and transportation
25 partners. However, there are meaningful

1 opportunities to strengthen market access within
2 the agreement, particularly in addressing
3 non-tariff barriers related to sanitary and
4 phytosanitary standards in ag biotechnology.

5 Let me begin with official grain
6 inspection. Today U.S. grain moving to Mexico is
7 inspected by the Federal Grain Inspection Service
8 or its designated agencies. These inspections
9 confirm the grade and quality of the shipments and
10 that they meet the importing country's
11 phytosanitary requirements.

12 Despite this, Mexico's agency known as
13 SENASICA stops shuttle trains at the border and
14 reinspects them under a zero-tolerance standard for
15 soil, which differs significantly from U.S.
16 practices. This has real economic consequences.

17 Reinspection delays trains, increases
18 transportation costs, and often triggers fumigation
19 orders that can cost shippers up to \$70,000 per
20 train. Rail carriers may send cars back empty
21 rather than risk delays and grain companies must
22 purchase additional train capacity to keep supply
23 chains running. These are onerous and duplicative
24 procedures. They are not science-based
25 protections.

1 We believe USMCA provides a clear pathway
2 for the United States and Mexico to harmonize
3 inspection procedures, reduce redundant
4 reinspections, and eliminate technical barriers
5 that slow trade and raise costs for sellers and
6 buyers in both countries.

7 We respectfully urge USTR to prioritize
8 this issue in the ongoing review. It's of such
9 importance to our industry that just last month NGFA
10 had two senior representatives attend the USDA Trade
11 Mission to Mexico City where they had the
12 opportunity to discuss rail grain inspection with
13 Mexico's Minister of Ag, as well as with our sister
14 Mexican Trade Association, APPAMEX.

15 The second area is ag biotech. USMCA
16 includes forward-leaning provisions that recognize
17 the importance of innovation including new plant
18 breeding technologies and require the parties to
19 manage low-level presence, or LLP, of biotech traits
20 in a predictable and science-based way. While
21 these provisions were a significant step forward,
22 LLP policies have not yet been implemented and this
23 gap continues to create a risk for cross-border
24 grain trade.

25 We strongly encourage USTR to work with

1 its Canadian and Mexican counterparts to activate
2 the Ag Biotech Working Group contemplated in USMCA
3 to develop clear LLP procedures and ensure
4 transparent science-based regulatory processes for
5 both existing and emerging technologies.

6 Stakeholder engagement before and after these
7 discussions will be critical.

8 Finally, I commend USTR for its use of
9 USMCA's dispute settlement procedures regarding
10 Mexico's 2023 decree restricting biotech corn. The
11 panel's finding that Mexico's measures were not
12 based on scientific evidence and violated USMCA
13 obligations was essential to preserving market
14 access and maintaining trust in the agreement.
15 That action reinforces why USMCA's enforcement
16 tools matter and why they must remain strong and
17 fully intact.

18 In closing, USMCA has been an
19 unquestionable success for the North American grain
20 and oilseed industry. It's strengthened supply
21 chains, enhanced competitiveness, expanded export
22 opportunities, and contributed meaningfully to
23 economic growth across the continent, and more
24 especially to America's farmers and ranchers in our
25 grain and feed industry. A stable long-term

1 renewal with no changes paired with focused efforts
2 to address SPS and biotechnology-related trade
3 barriers will allow our integrated North American
4 ag system to continue thriving.

5 Thank you for your leadership and an
6 opportunity to testify. We're grateful for the
7 administration's efforts and leadership on this
8 critical topic. Thank you.

9 MR. OLIVER: Thank you, Mr. Seyfert.
10 We'll turn next to our next witness, Dr.
11 Crowell.

12 DR. CROWELL: Thank you very much. Good
13 afternoon. My name is Dr. Sam Crowell and I'm
14 providing the following remarks on behalf of the
15 American Seed Trade Association, ASTA.

16 ASTA is one of the oldest trade
17 associations in the U.S. We were founded in 1883
18 and we have nearly 700 members comprised of
19 companies, universities, and researchers that are
20 involved in all aspects of seed production.
21 Ninety-five percent of these members are small
22 businesses and we represent approximately 85
23 percent of the total seed industry in the United
24 States.

25 In short, ASTA members develop, produce,

1 and distribute a huge variety of seeds across all
2 crop types: grasses, forages, flowers, vegetables,
3 row crops, cereals. These seeds are used across
4 all agricultural production systems: conventional,
5 organic, and biotechnology. Farmers are our
6 primary customers and U.S. seeds drive the economic
7 success of nearly all downstream agricultural
8 production within the United States.

9 Unlike other agricultural goods which are
10 exported primarily for immediate use in food and
11 feed or processing, the seed sector relies on trade
12 for commercial sales and as a fundamental step of
13 years-long research and development pipelines. We
14 rely on trade to test and produce seeds in a wide
15 variety of markets. We must use counter-seasonal
16 production. When it's winter in the U.S. we produce
17 seeds in warmer locations to bulk, to test seed,
18 to grow seed in specialized environments that are
19 free from pest and diseases. For some crops it's
20 not uncommon for a seed to travel between as many
21 as six or seven countries during this R&D process
22 prior to sale to a U.S. farmer.

23 The complexity of this industry is
24 reflected in our global trade statistics. We
25 export to over 100 markets under 80 tariff codes

1 and approximately 40 percent of our total exports
2 are destined for Canada and Mexico alone, 40 percent
3 of \$1.7 billion in seeds.

4 These trade numbers seem small compared
5 to my colleagues here today who are also testing
6 guidance, but these seeds as the foundation for the
7 nearly \$180 billion in U.S. ag exports. So it's
8 really critical for policy alignment and trade of
9 seed to continue to drive the success of the U.S.
10 seed sector.

11 To date the obligations under USMCA are
12 among the most robust of any trade agreement. We
13 strongly place a high priority as ASTA on
14 maintaining the obligations in this agreement and
15 we believe that it's not constructive to renegotiate
16 or to open the text at this juncture. Instead, we
17 think that there are opportunities through existing
18 provisions within the agreement such as exchanges
19 of letters or expanded work under existing USMCA
20 working groups and committees to further strengthen
21 implementation on key topics.

22 We have provided a tremendous amount of
23 detail in our written comments, but I will attempt
24 to quickly summarize those here today.
25 Our priorities fall into four buckets.

1 The first, we really need to maintain
2 tariff-free market access for seeds within North
3 America. The provisions within USMCA are critical
4 to preventing U.S. companies from experiencing
5 compounding costs within their R&D process as they
6 move seed in and out of the United States multiple
7 times. Because of the unique aspects of our supply
8 chain we are also hoping and requesting for
9 additional flexibility on duty-free access for seed
10 produced outside of USMCA countries.

11 We recognize that that can be done through
12 other processes such as existing executive actions
13 with the PTAC process, but if that is not feasible
14 at this time, we would request other flexibilities
15 under the agreement itself through minor tweaks to
16 the harmonized tariff schedule or through the use
17 of duty drawback provisions within the market access
18 chapter.

19 Our second big bucket of priorities is
20 focused on agricultural biotechnology within
21 Chapter 3 of the agreement. We believe that these
22 obligations provide tremendous opportunity for
23 cooperation between the parties, but we think that
24 exchanges of letters could take this cooperation
25 further, provide legal clarity for plant breeding

1 innovations like genome editing and make it every
2 clear for all involved that not all products of
3 agricultural biotechnology require pre-market
4 approval from a regulatory perspective.

5 We also believe that there are
6 opportunities to strengthen and implement the
7 provisions on low-level presence, LLP, in this
8 chapter. And notably, we think it would be very
9 helpful for the parties to acknowledge that not --
10 that products of modern biotechnology are subject
11 to LLP provisions, but not other products of
12 agricultural biotechnology. And we are happy to
13 discuss that in further detail.

14 Our third priority is on SPS obligations.
15 I commend USTR for its work on addressing Mexico's
16 biotech corn policies. We think we need to defend
17 this chapter vigorously. We do not want to open
18 the SPS chapter at this juncture though we do think
19 there's opportunities for engagement on SPS issues
20 specific to seed before they become trade irritants.

21 And finally our fourth bucket of
22 priorities is on intellectual property. It takes
23 10 to 15 years to produce a seed and we need robust
24 IP protections in place. To date Mexico has not
25 implemented its obligation to adopt and ratify the

1 Convention on the International Union of Plant
2 Protection for new varieties, UPOV 91, and we
3 strongly feel we need to hold Mexico accountable
4 to that obligation. I'll say we also have ideas
5 on how we can cooperate on other IP issues, but I'll
6 save that for the Q&A.

7 Thank you very much for your time and I'm
8 happy to answer questions.

9 MR. OLIVER: Thank you, Dr. Crowell.

10 And thank you all for sharing your
11 testimony. We really appreciate it.

12 We'll now be turning to our U.S. Government
13 officials up on the dais starting with Assistant
14 U.S. Trade Representative for the Western
15 Hemisphere, Mr. Daniel Watson.

16 CHAIR WATSON: So good afternoon,
17 everybody, and again thank you for your testimony.

18 I think the first of four consecutive panels that
19 deal primarily with agricultural issues and it
20 occurs to me we failed to introduce ourselves at
21 the beginning. So we're going to do that now and
22 then we'll turn to questions.

23 So I'm Daniel Watson. I'm the Assistant
24 USTR for the Western Hemisphere.

25 MS. CALLAHAN: Good afternoon, everyone.

1 I'm Julie Callahan, the Assistant USTR for
2 Agriculture.

3 MS. ANDERSON: And I'm Lisa Anderson,
4 Senior Advisor in the Foreign Ag Service at USDA.

5 CHAIR WATSON: And so this is the panel
6 you'll be seeing for the next four groups.

7 So the first question is for Jed Bower.

8 So in your submission you requested the creation
9 of a dialogue under the USMCA on ethanol market
10 access in Mexico, and you talked about that a little
11 bit today as well. So can you provide further
12 details on what steps your organization envisions
13 would lead to an E10 blend rate in Mexico and the
14 achievement of your other goals in Mexico?

15 MR. BOWER: So as far as the detail side
16 of that I would have to resubmit that, get back with
17 staff to get the true details on that. I can see
18 from a grower perspective the opportunity to
19 increase that blend rate not only would help farmers
20 across the country, it would also benefit rural
21 America, and it would simplify the fuel system from
22 the U.S. to Mexico.

23 CHAIR WATSON: Thank you.

24 MR. OLIVER: Thank you. The next
25 question will come from Ms. Callahan.

1 MS. CALLAHAN: This question is for Ms.
2 Castillo. Would you please describe -- or excuse
3 me, your submission highlights the expansion of U.S.
4 grain exports under the USMCA while also noting some
5 of the challenges including around rail freight
6 capacity and customs and inspection practices in
7 Mexico. And could you please expand on what
8 opportunities you see for improvement in these
9 areas, please?

10 MS. CASTILLO: Thank you for the question.
11 And as my colleague, Mike Seyfert, mentioned in
12 his testimony, rail inspections and rail issues in
13 regards to not only delays in shipments because of
14 rail backlogs, but specifically on inspections
15 given to soil presence, which Mexico has a
16 zero-tolerance level, which is -- in opposition to
17 what we do in the United States where we don't have
18 tolerances at zero. That causes significant delays
19 in inspections, potential rejections that harms or
20 goes into a domino effect on both sides of the
21 border.

22 Where we see opportunities, and we have
23 been working actively -- and by we, the export
24 industry, as well as with our partner associations
25 like NGFA and others -- we've been working primarily

1 with the railways, both in the U.S. and in Mexico
2 to address the backlog, but we need consistent
3 support on the inspections piece because this
4 touches on APHIS and SENASICA's authority. And we
5 believe that there is room for the -- within the
6 USMCA working groups to address these issues and
7 be able to tackle them.

8 We do see a significant amount of interest
9 from industries in both Mexico and in the U.S. to
10 not only address these, but actually have some
11 action items already being rolled into place such
12 as importers in Mexico retrofitting their plants
13 so that they can do inspections in-country, thus
14 limiting the amount of delays at the border
15 crossings, for example.

16 MS. CALLAHAN: Thank you.

17 MR. OLIVER: Thank you. And the next
18 question will come from Ms. Anderson.

19 MS. ANDERSON: This is a question for Mr.
20 Swanson. Would you please elaborate on what
21 factors have contributed most to the success of the
22 U.S. sectors represented by your organization and
23 what you would like to see in the future under the
24 USMCA to ensure continued success?

25 MR. SWANSON: Yes, thank you for the

1 question. I think that we really look at the
2 agreement, USMCA agreement, as a building of trust
3 between the partners. And it goes from the
4 government level to the farm gate.

5 We have seen the opportunity, and I
6 personally have had the opportunity to host the end
7 users on my farm to see the products that we are
8 selling being grown. I have taken them to the
9 elevator where these products are delivered, loaded
10 on the rail cars, and then delivered across the
11 border.

12 So in addition I've had the opportunity
13 to see my product, the actual bushels that I have
14 produced, being fed in Mexico or ethanol produced
15 in Goldfield, Iowa being shipped to Canada. And
16 I think the development in the trust and the
17 relationship building that has occurred over the
18 years has allowed us to build infrastructure and
19 industry on all sides of the border that allow this
20 to be a huge success for agriculture.

21 Going forward we truly appreciate the
22 biotechnology chapter on USMCA. We saw that in
23 action where we were able to defend the GM corn
24 issue. So really we don't see a lot of challenges
25 or changes that need to be addressed.

1 One thing, if the U.S. could help open the
2 market for U.S. ethanol into Mexico, much like the
3 question that Jed answered, that would be huge
4 improvement for us, eliminating water quality
5 issues in drinking water in Mexico by eliminating
6 MTBE and replacing it with ethanol.

7 MR. OLIVER: Thank you. And we'll turn
8 back to Ms. Callahan for the next question.

9 MS. CALLAHAN: Thank you. This question
10 is for Mr. Seyfert. Your submission raises
11 inspection of U.S. grain exports by Mexico, as we
12 discussed just now. And could you please provide
13 additional detail on the scope and impact of this
14 issue on current trade as well as some context on
15 how do Mexican practices differ from other trading
16 partners' practices. Thank you.

17 MR. SEYFERT: Absolutely, and thank you
18 for the question. Well, first I would say Mexico
19 has a zero tolerance. I believe the standard in
20 the U.S. is two or three percent for number two corn.

21 And so that is a much more restrictive tolerance
22 that they have in Mexico versus U.S.

23 And I would just second what Alejandra
24 said. I think there's agreement and alignment on
25 addressing this between U.S. shippers, Mexican

1 buyers, our organizations, our sister org in Mexico.

2 And I'd also say I think -- don't want to speak
3 for them, but based on conversations with the U.S.
4 rail lines and Mexican rail lines, alignment as
5 well, I think everybody agrees, needs to be
6 addressed.

7 The number I have off the top of my head,
8 I believe it's some of the height of some of the
9 issues that we've had with this. I don't have it
10 with me, but I believe, and we can clarify this,
11 the number was around up to 10 percent of shuttles
12 were getting stopped when -- at the height of when
13 we've seen significant issues.

14 And I think a couple things I would
15 emphasize on that is that two-thirds of our rail
16 shipments -- of our ag exports are going to Mexico
17 via rail. One-third is going through the Gulf of
18 America. For many of our NGFA-member companies
19 that are exporting to Mexico they are not bulk
20 shippers. They are not vessel shippers. Mexico
21 is their export market. It's a number of coops,
22 small, medium-sized coops, privates that are
23 shipping there. When they get held up, that's their
24 export market. Impacts their bottom line, impacts
25 basis for producers back into the country side.

1 The other thing is that -- because when
2 they get stopped and they have to do the fumigation,
3 the train can be held for up to 72 hours. So that
4 has severely restricted the ability to send
5 individual hopper cars, but even more so for
6 container shipments of U.S. corn, U.S. beans, U.S.
7 wheat, some of the niche markets into Mexico because
8 if a container gets flagged, it may be the only ag
9 container on that train, but the entire train may
10 be held for 72 hours. And that's simply something
11 -- you can't blame the U.S. rail lines for not being
12 able to take on that risk with the additional
13 customers that they're trying to serve in Mexico.

14 And so it is restricting the shuttle
15 trains, but I think there's real opportunity to
16 expand particularly on the container side U.S.
17 exports, if we can get this addressed, for a number
18 of small and medium-sized coops and companies that
19 aren't otherwise in the export marketplace.

20 MR. OLIVER: Thank you. And we'll turn
21 to Ms. Anderson again for the final question.

22 MS. ANDERSON: Thank you. This is a
23 question for Dr. Crowell of ASTA. Would you please
24 summarize how you envision USMCA in its current
25 form, how it can support advances for plant

1 varieties developed using genome editing, and what
2 significance those advancement hold for U.S.
3 farmers?

4 DR. CROWELL: Thank you very much for the
5 question. Building on my colleagues' comments on
6 this panel, we view USMCA as the gold standard for
7 cooperation between the countries. The way we
8 bring innovative crops to market is through repeated
9 trial and error in multiple markets. And the fact
10 that North America represents something like 40
11 percent of our combined seed sales, it's a testament
12 to how much emphasis we place on the provisions
13 within this agreement.

14 We think that cooperation under the
15 committees and the working groups is a great way
16 to lean in and to lead the world on a lot of these
17 regulatory and trade issues that affect the seed
18 business. That includes things like creating legal
19 certainty for genome-edited crops so that we don't
20 have to go through a seven-year regulatory process
21 and \$116 million to get a trait approved, which is
22 what we have to do for an old GMO.

23 Canada and U.S. have already established
24 regulatory exemptions for genome-edited products.

25 We think it's time for Mexico to align with the

1 rest of North America, and we think that USMCA
2 provides creative ways we could do that without
3 having to open the agreement.

4 We have a working group. We have
5 opportunities for exchanges of letters to clarify
6 legal provisions. And we think there are a lot of
7 really concrete steps that could be taken at the
8 trade level to coordinate the regulatory agencies
9 and the downstream scientific agencies on those
10 topics.

11 But having regulatory clarity is not
12 enough. It takes a lot to move a seed, right? We
13 need SPS cooperation. We need phytosanitary
14 dialogues. We need the ability to move seed in and
15 out of countries multiple times. And that requires
16 more simplified SPS certification approaches. It
17 requires leadership in international
18 standard-setting bodies. It requires alignment
19 between the countries.

20 I don't think there's any other block in
21 the world like USMCA that could lead the charge
22 globally on SPS issues in the 21st century, and I
23 think that it provides an awesome platform for us
24 to do that through working groups and committees.

25 And then finally, on the IP issues, if

1 you've got to register a new variety in every single
2 market all over the world before you can actually
3 commercialize it, it would be great to harmonize
4 and be able to commercialize variety in a single
5 go in these three markets all at once.

6 We could do that through joint plant
7 variety protection working groups. We could do
8 that through reciprocity on data packages. Those
9 should not be hard lifts from an IP perspective.

10 And we're already seeing cooperation between the
11 U.S. and Canada on some of these topics. We just
12 need a venue to get it started from a trade
13 perspective and we think that USMCA's got all the
14 nuts and bolts to make that happen. So thank you
15 very much.

16 MR. OLIVER: Thank you. And thank you all
17 for sharing not only your testimonies, but for your
18 responsiveness to the questions and for taking the
19 time to be here. We really appreciate it.

20 And with that, we will conclude this panel.
21 If you could just bring your placards over to this
22 table over here, that would be great.

23 And we'll ask that Panel 6 please move
24 forward. Please bring your placards with you and
25 please be seated in the same order that you're seated

1 now up here.

2 One final point. For those that are in
3 Panel 7, we ask that you please start to step forward
4 to be seated at your reserved seats up at the front
5 as well. Thank you.

6 Okay. Thank you again for joining us.
7 We're going to just do a couple quick reminders.

8 Please keep your testimony to five minutes. When
9 we're done we'll ask you one question -- at least
10 one question each, and your response should be two
11 minutes. So let's keep us on track.

12 And with that, we'll go ahead and get
13 started with Mr. Bushue.

14 MR. BUSHUE: Yes, good afternoon. I'm
15 Riley Bushue. I'm Vice President of the Northwest
16 Horticultural Council on behalf of the apple, pear,
17 and cherry growers in the Pacific Northwest. Thank
18 you for the opportunity to share the immense benefit
19 that the U.S.-Mexico-Canada Agreement has been for
20 our industry and the importance of maintaining that
21 transparent, open, and preferential access into the
22 future.

23 The Northwest Horticultural Council
24 represents the growers, packers, and shippers of
25 fresh apples, pears, and sweet cherries in Idaho,

1 Oregon, and Washington. Our growers produce 77
2 percent of the fresh apples, 87 percent of the fresh
3 pears, and 68 percent of the fresh sweet cherries
4 grown in the United States.

5 Our industry generates \$13.2 billion of
6 economic output, employing some 100,000 people and
7 is critical to the economic and social health of
8 many rural communities in the Pacific Northwest.

9 Exports are a critical component of that.

10 On average, 30 percent of each crop is exported
11 to over 40 countries, but over half of those exports
12 go to Canada and Mexico. In fact, in total 17
13 percent of the apple crop, 26 percent of the pear
14 crop, and 13 percent of the cherry crop are exported
15 to both countries with a total value of over \$880
16 million annually.

17 The stable trading relationship and
18 duty-free access provided by USMCA, and NAFTA before
19 it, underpins that export success. Since 1994,
20 apple exports to Mexico and Canada have grown 210
21 percent. Pear exports to Mexico have doubled and
22 cherry exports to Canada have increased over 700
23 percent. It's clear U.S. tree fruit growers have
24 greatly benefited from the opportunities afforded
25 by the USMCA.

1 We have not experienced implementation or
2 operational challenges affecting our industry and
3 their ability to export. We're not aware of any
4 compliance issues pertaining to trade in U.S.
5 apples, cherries, or pears between USMCA member
6 countries. Rather, the rules regarding trade in
7 these fresh fruits are clear, well-established, and
8 operate well.

9 In addition to duty-free access USMCA's
10 rules directing science-based SPS measures have
11 fostered a positive and transparent dialogue on
12 plant pest and disease and other technical issues
13 between regulators and member countries. Such an
14 environment is crucial to avoiding costly
15 non-tariff barriers for our growers.

16 Modifying the agreement or otherwise using
17 this review process to attempt to address individual
18 crop-specific trade concerns would put at risk that
19 longstanding and successful trading relationship.

20 Those individual issues should be
21 addressed separately outside of this process in
22 agreement utilizing other existing remedy
23 mechanisms. Failing to maintain and extend the
24 transparent, open, and preferential access under
25 USMCA would significantly reduce exports for U.S.

1 growers and harm one sector that contributes to a
2 positive U.S. trade balance.

3 Unfortunately, that's not a theoretical
4 analysis. We've seen that outcome before.

5 Between June of 2018 and May of 2019 Mexico imposed
6 an unfair 20-percent tariff in response to U.S.

7 Section 232 action on steel and aluminum. Apple

8 exports to Mexico during that time went down 21

9 percent from the prior season. Growers lost an

10 estimated \$60 million in exports to Mexico.

11 Avoiding these sorts of lost export sales

12 is as important as ever. Since 2018, apple, cherry,

13 and pear growers have lost over \$900 million in

14 exports to China due to unfair retaliatory tariffs.

15 With thousands of American family tree fruit farms

16 already at risk of going out of business, losing

17 preferential access to Mexico and Canada would be

18 devastating.

19 There are no other export market

20 opportunities capable of offsetting the severe

21 economic losses to growers in the event that we lose

22 preferential access to Mexico and Canada under USMCA

23 or some other alternative agreement. We strongly

24 urge USTR to protect the hard-earned and historic

25 access to Canada and Mexico for U.S. apples, pears,

1 and cherries and extend the term of USMCA.

2 Once again, on behalf of our growers thank
3 you for the opportunity to share the success story
4 of USMCA, and we look forward to working with USTR
5 and the rest of the USG team to maintain these
6 positive benefits into the future. Thank you.

7 MR. OLIVER: Thank you for your testimony.
8 And we'll go to our next witness.

9 MR. NUXOLL: Good afternoon. My name is
10 Dennis Nuxoll and I am the Vice President of Federal
11 Affairs for Western Growers and I'm pleased to have
12 this opportunity to provide public testimony today.

13 Before I start, let me note that Western
14 Growers is made up of small, medium, and large-size
15 businesses that produce, pack, and ship fruits,
16 vegetables and tree nuts from our home states of
17 California, Arizona, Colorado, and New Mexico.
18 Beyond our home states, Western Growers members
19 produce in and contribute to the economies of more
20 than 30 states. In total, our members account for
21 roughly half of all the annual fresh produce grown
22 domestically.

23 Western Growers provided extensive and
24 detailed comments to the administration for this
25 review. In this testimony, I will highlight a few

1 of the key elements from those comments.

2 Over the past 30 years, North American free
3 trade cooperation has resulted in an astonishing
4 growth in U.S. produce exports. In 1995, the United
5 States sold a mere \$1.4 billion in fresh produce
6 to Canada and Mexico. Yet, by 2024, we sold over
7 \$6 billion to our neighbors. Through our dedicated
8 grower, packer, and shipper members, Western
9 Growers itself represents a significant share of
10 this trade. Indeed, our home states accounted for
11 42 percent of what was sold. As a result, Western
12 Growers strongly support this review maintaining
13 crucial tariff-free access between our three
14 countries for produce.

15 While Western Growers supports extending
16 the agreement, we also believe that this review
17 should be used to make improvements to it and here
18 are a few. First, over the past few years, the
19 United States Government has increasingly focused
20 on the food safety of domestic farms and American
21 producers have invested heavily in enhanced food
22 safety systems. However, food-safety compliance
23 cannot stop at the border. In 2021, roughly 60
24 percent of all fruit and nearly all 40 percent of
25 all vegetables consumed in the United States were

1 imported with a large majority of those imports
2 coming from Mexico or Canada.

3 To ensure a safe food supply entering the
4 United States, Western Growers strongly recommend
5 that food-safety oversight of produce imports be
6 strengthened in an updated USMCA. To that end, we
7 would like to see a two-step process put in place.

8 In step one, produce from identified
9 foreign farms will be sampled and tested at the port
10 of entry. Currently, the United States inspects
11 less than two percent of all food imports, but if
12 a foreign farm is the source of an outbreak, then
13 under our proposal, inspection rates would rise to
14 ten percent for that farm with these higher rates
15 remaining in place for at least the remainder of
16 the export season of the crop. Repeated positive
17 tests would trigger a hold on imports until
18 reasonable verification of food safety control is
19 proven.

20 The FDA currently inspects domestic farms
21 during outbreak investigation. If food safety
22 systems are deemed inadequate, they expect the farm
23 to remedy the failing or they prohibit produce from
24 entering the stream of commerce. The same sort of
25 system should apply to foreign farms if they are

1 the source of an outbreak. In our second step, we
2 propose that FDA hire local staff to conduct these
3 same types of on-farm investigation. This is
4 similar to the avocado inspection system that USDA
5 has had in place for years and would both enhance
6 food safety and best utilize FDA resources.

7 In the United States, the Perishable
8 Agricultural Commodities Act, grants fresh produce
9 shippers first priority creditor status in the event
10 of a buyer bankruptcy. This protection is
11 essential as highly-perishable products cannot
12 typically be reclaimed or resold from bankrupt
13 buyers. After years of advocacy, Canada passed
14 Bill C280 which creates a similar PACA mechanism.

15 As part of this review, we urge Mexico to also adopt
16 a similar PACA structure so all exporters of
17 perishable agricultural commodities would have
18 protection across North America.

19 Finally, we believe reinforcing labor
20 requirements in Mexico will foster fairer
21 competition with the United States. We strongly
22 support efforts to build upon USMCA's existing labor
23 provisions and as a result, we commend the
24 recommendations made by the U.S. Government's
25 independent Mexico Labor Export Board which

1 recently analyzed Mexico's USMCA compliance.

2 Furthermore, while we know that American
3 growers operating in Mexico are subject to retailer
4 mandated certification requirements that include
5 prohibitions on the use of child labor, not all
6 growers operating in Mexico fall within these
7 provisions. Since the potential for child labor
8 exploitation represents a humanitarian and economic
9 ill, we urge the administration to embed existing
10 Department of Labor recommendations to curb child
11 labor in renewed USMCA.

12 To conclude, the trade partnership between
13 the United States, Canada, and Mexico is critical
14 for U.S. farmers. At a time of unprecedented trade
15 uncertainty in markets around the world, losing this
16 agreement and the long standing zero tariff access
17 for U.S. produce into our top two export markets
18 would be a severe blow. Western Growers thus
19 strongly support a renewed, but improved, USMCA.

20 Thank you.

21 MR. OLIVER: Thank you for your testimony.
22 We'll move to our next witness.

23 MS. ESPINOZA: Good afternoon and thank
24 you for the opportunity to speak today. My name
25 is Raquel Espinoza and I am the Chairwoman of the

1 Fresh Produce Association of America. Our members
2 import and distribute fresh produce grown in Mexico
3 that supplies families across the United States and
4 sustains a wide network of American businesses
5 across the fresh produce supply chain.

6 I share this not only as a chairwoman, but
7 also as a business owner whose story would not have
8 been possible without the integrated North America
9 supply chain. I founded my company because USMCA
10 allowed small and mid-size businesses to
11 participate in cross-border trade. I am just one
12 of many companies across the border states doing
13 the same. This is real economic opportunity that
14 strengthens communities while supplying Americans
15 with nutritious, fresh fruits and vegetables. We
16 strongly support a full renewal of the USMCA and
17 the preservation of tariff-free trade amongst our
18 North American partners.

19 The United States is home to 335 million
20 people and the reality is simple. We cannot grow
21 enough fresh fruits and vegetables year round to
22 meet demands. Member companies import fresh
23 produce from Mexico during the winter months because
24 that is Mexico's season. Attempts to use trade
25 restrictions would limit supplies, raise consumer

1 prices, and make healthy food less accessible and
2 more expensive for American families.

3 We support American producers but
4 protectionist measures that reshape supply chains
5 only hurt consumers, not help them. Protectionism
6 enriches a few at the expense of American consumers
7 and agricultural exporters.

8 Mexico's moderate winter climate does not
9 constitute unfair trade. It is a natural
10 comparative advantage within the integrated North
11 American supply chain. For example, Mexican
12 avocados helps more than double the U.S. per capita
13 consumption. Mexican vine ripe Romas and specialty
14 tomatoes led U.S. retail tomato sales. We would
15 not have consistent affordable avocados and
16 tomatoes without Mexico.

17 North American agriculture works because
18 we complement each other. The trade between Mexico
19 strengthens the U.S. economy in every region. In
20 2024, Mexico imported over \$30.2 billion in U.S.
21 agricultural products. Along the U.S.-Mexico
22 border, fresh produce imports generated \$40.8
23 billion in economic impact in 2022, including 55
24 percent of all U.S. fresh fruits and vegetables
25 imports entering through Texas and nearly 5,000 jobs

1 supported in Arizona. Prosperity works in both
2 directions. California exports over seven percent
3 of its table grape crops to Mexico. The USMCA has
4 enabled integrated supply chains that have led to
5 consistent supplies and market stability.

6 Disrupting that stability would raise costs and
7 reduce availability for American families.

8 In regards to sanitary and phytosanitary
9 alignments, today pesticide residue limits vary
10 across the three USMCA countries. Harmonizing
11 maximum residue limits would benefit producers and
12 consumers in all three countries and can serve as
13 a template for future alignments with other export
14 markets. We ask that this issue be considered and
15 acted on as it would streamline businesses within
16 the region and facilitate additional export
17 opportunities for American farmers. This is good
18 governance and we believe this is good science.

19 In regards to infrastructure and border
20 modernization, the USMCA supports trilateral
21 efforts to modernize border facilities, expand
22 inspection capacity, strengthen trust trader
23 programs, improve expedited lanes and streamline
24 Customs and security procedures across all three
25 nations. A resilient supply chain requires a

1 modern, coordinated border across the United
2 States, Mexico, and Canada.

3 Our recommendations are to preserve free
4 trade for fresh fruits and vegetables, to reject
5 seasonal trade remedies and protectionist carve
6 outs, to strengthen sanitary and phytosanitary
7 harmonization, to invest in North American border
8 infrastructure for imports and for exports.

9 In closing, renegotiating the USMCA is an
10 opportunity reaffirm North America's commitment to
11 fair, efficient, and integrated trade. This
12 agreement supports the supply of healthy, fresh
13 fruits and vegetables. It supports American jobs,
14 strengthens rural communities, and it enhances
15 shared prosperity across all three countries. We
16 might be competitors, but we're also partners in
17 supplying healthy food to America. Thank you very
18 much for your time and consideration.

19 MR. OLIVER: Thank you for your testimony.
20 We'll move to the next witness.

21 MR. MELBAN: Good afternoon. I'm Ken
22 Melban, President of the California Avocado
23 Commission. I appreciate the opportunity to
24 testify today, driving home two pressing import
25 concerns that threaten the viability of the

1 California avocado industry.

2 The first relates to the potentially
3 devastating phytosanitary risks posed by Mexican
4 avocados under the current import protocol. For
5 years, from 1997 to 2024, USDA's inspection rules
6 governing Mexican avocados provided the safeguards
7 needed to protect U.S. production. The cornerstone
8 of those safeguards and what made them effective
9 for 26 years was the assurance that APHIS personnel
10 would conduct both the orchard and packing house
11 inspections in Mexico.

12 However, in early 2024, when cartel
13 activity threatened APHIS personnel, the prior
14 administration replaced APHIS inspectors with
15 inspectors employed by Mexico in the groves. The
16 prior administration opted to preserve ongoing
17 trade, but in doing so, destroyed the paramount
18 safeguards of the 1997 protocol, sharply increasing
19 the pest risks and making the inspection system more
20 susceptible to cartel activity.

21 As a sign of how deficient the system has
22 become, when APHIS conducted the in-field
23 inspections prior to 2024, pest interceptions in
24 the packing houses were rare. In fact, from January
25 1 of 2024 until August of 2024, there were zero

1 detections in packing houses. After the APHIS
2 inspectors were withdrawn, over 150 pest
3 interceptions were reported in just a four-month
4 period. This is a serious infestation risk waiting
5 to happen, and when it does, it could financially
6 break out industry. We are therefore asking for
7 a two-part USMCA solution.

8 First, the 1997 protocol, including all
9 APHIS inspection requirements should be fully
10 reinstated and memorialized under USMCA. Second,
11 the Mexican Government, not our industry, should
12 bear the responsibility for fixing the cartel
13 concern. If the Mexican Government fails to ensure
14 the safety and integrity of the process, U.S. access
15 should be shut down until those risks are adequately
16 solved.

17 Let me turn now to our second,
18 equally-pressing concern, the risk that surging,
19 low-priced imports will make our industry
20 unsustainable. Here, too, the data tell the story.

21 As a new USDA report confirms, the Mexican
22 industry's production levels and exports to the U.S.
23 have enjoyed explosive growth. Over a recent
24 14-year period, Mexico's production levels jumped
25 by 134 percent, yet their export levels to the U.S.

1 shot up by 312 percent. The Mexican avocado
2 industry is now by far the dominant player in the
3 U.S. market with volumes far exceeding U.S.
4 production.

5 A far smaller player, but a growing source
6 of market disruption during our marketing season,
7 is Peru. While imports drive, the trend lines for
8 our industry all point to decline. Over the past
9 two decades, our grower ranks have shrunk by 55
10 percent. Our production levels have plunged by 46
11 percent. And despite significantly higher costs,
12 our market price has progressively eroded.

13 The past season, due to import pressures,
14 our average grower price sank to \$1.08 per pound
15 in August, a level that no California grower can
16 sustain. Because foreign avocado production isn't
17 significant over supply, and U.S. consumption is
18 flat, the downward trends in our industry have no
19 chance of abating on their own.

20 To ensure that our nation continues to feed
21 itself with U.S.-grown avocados, we are calling on
22 the U.S. Government to restore market equilibrium
23 by imposing an effective TRQ arrangement on fresh
24 avocado imports during the California industry's
25 March to September marketing season. The most

1 effective approach would be TRQs imposed under
2 Section 232 of the Trade Expansion Act, so that all
3 imports are covered. At a minimum, we ask the U.S.
4 Government to establish during the joint review a
5 seasonal TRQ on Mexican avocados.

6 We look forward to working the U.S.
7 Government to achieve these imperative
8 phytosanitary and TRQ measures and thank the
9 administration for its strong commitment to
10 sustaining America's food production. Thank you.

11 MR. OLIVER: Thank you for your testimony.

12 We'll move to our next witness in the second row,
13 starting with Mr. Joyner.

14 MR. JOYNER: Good afternoon. My name is
15 Mike Joyner and I serve as the President of Florida
16 Fruit and Vegetable Association. We are grateful
17 today to have the opportunity to address how USMCA
18 has impacted Florida, our produce industry.

19 The Florida produce industry shares the
20 administration's concerns to skyrocketing imports
21 of offshore agriculture posing a grave risks for
22 U.S.-grown production. Years of surging Mexican
23 produce shipments during Florida's season and
24 that's key, during Florida's season, proved the
25 extent of the risk and the urgent need for corrective

1 measures.

2 When USMCA was enacted by our country in
3 2020, it promised to improve trade fairness and
4 economic prosperity for American interests. Its
5 impact on our industry has been just the opposite.

6 Since 2020, the Mexican industry has seized
7 substantial additional market share and further
8 depressed prices during Florida's marketing season,
9 causing that much more devastation to our grower
10 community.

11 The Mexican Government has played a heavy
12 hand in fostering the Mexican industry's booming
13 growth at the expense of our industry. For well
14 over two decades, that government has provided
15 hundreds of millions of dollars or more in targeted
16 subsidies to build a multi-billion dollar,
17 export-oriented, protected, produce industry. As
18 intended by these subsidy schemes, many of which
19 still confer benefits today, Mexican production
20 has enjoyed explosive growth in a full range of
21 fruits and vegetables, nearly all of which are being
22 sent to the U.S. during our season.

23 As imports from Mexico have soared,
24 Florida growers have paid a crippling price in the
25 form of lost sales, market share, and jobs.

1 Multi-generational farms have had no choice but shut
2 their doors. One of our growers who not long ago
3 faced the end of the family's 30-year pickle
4 business, put it this way and the photo was of he
5 and his wife with their hand on the lever of the
6 packing house, pickle packing house, and their
7 Facebook post said the end of an era has come.
8 Mexico wins this one. To say it lightly, I have
9 lost a piece of my heart.

10 Import data shows how closures and
11 financial distress of this nature are so pervasive
12 throughout Florida. Since 2014, Mexican
13 blueberries have captured nearly four times more
14 of the U.S. market, while Florida's share has been
15 cut in half. Its market share for bell peppers has
16 doubled since 2004, while Florida has dropped by
17 73 percent. The same trends repeat across
18 tomatoes, cucumbers, squash, and many other produce
19 in Florida.

20 Our growers find it impossible to
21 understand why this country would allow them to be
22 sacrificed under NAFTA and then would allow the
23 problem to compound under USMCA. They are hopeful,
24 however, that under our country's renewed
25 commitment to America First trade principles that

1 our Government will right this wrong. At this late
2 date, our country cannot right the wrong by pursuing
3 advisory committees or measures that do not curb
4 imports, that don't curb imports.

5 To stem our decline, we urgently need the
6 administration to establish product-specific
7 seasonal TRQs that will effectively limit imports
8 of Mexican produce, especially strawberries,
9 blueberries, bell peppers, squash, cucumbers,
10 watermelons, sweet corn, and lettuce. Without
11 these measures, American consumers may soon be
12 forced to rely entirely on foreign-sourced fresh
13 produce during several months of the year.

14 Compromising our country's core
15 nutritional needs in this manner jeopardizes
16 America's food security and by extent our national
17 security. We therefore ask the administration to
18 take all steps necessary to achieve these TRQ
19 measures during this joint review. Thanks for your
20 attention.

21 MR. OLIVER: Thank you for your testimony.
22 We'll move over to the next witness.

23 MR. KOUKOULIS: Hi. My name is Teddy
24 Koukoulis. I'm the Chairman of the North American
25 Blueberry Council and I'm also a Florida blueberry

1 grower. Thank you for having me.

2 The North American Blueberry Council
3 represents high bush blueberry growers, packers,
4 and distributors across the United States, Canada,
5 and Mexico. The NABC supports the renewal of
6 U.S.-Mexico-Canada agreement. The USMCA has been
7 critical to the growth of our industry by ensuring
8 tariff-free trade, strengthening regional supply
9 chains, and enabling year-round availability of
10 blueberries that American consumers now expect.
11 Since USMCA took effect in 2020, the U.S. blueberry
12 exports to Canada and Mexico have grown by 37
13 percent, reaching an estimated value of \$175
14 million. Canada is our largest export market,
15 accounting for 80 percent of that, and U.S.
16 blueberry exports and over 90 percent of U.S. fresh
17 blueberry exports.

18 In Washington State, our nation's leading
19 blueberry-producing state, many farms sit just
20 miles across from the Canadian border. Over the
21 life of the USMCA and the NAFTA before it, we created
22 a coordinated and highly-effective system for
23 moving fruit back and forth for processing,
24 packaging, and storage.

25 Mexico is also a critically-important

1 partner for both as a major supplier to the U.S.
2 and as a growing export market for U.S. blueberries.

3 The integrated North American supply chain works
4 for everyone. Reliable export markets strengthen
5 opportunities for U.S. growers at the same
6 integration supports a steady year-round supply
7 that keeps blueberries on the shelves and drives
8 consumer demand. It's this combination made
9 possible through USMCA that underpin the continued
10 growth of our industry.

11 Growing consumer interest in health has
12 driven significant new demand for blueberries and
13 because consumers can count on a consistent supply,
14 blueberry consumption has continued to soar. The
15 total consumption has risen from about 94,000 metric
16 tons in the early 1990s to about 920,000 metric tons
17 between 2020 and 2024. Per capita consumption has
18 grown as well, rising from just 1 pound in 2010 to
19 2.6 pounds in 2023.

20 In addition to farming, much of my career
21 has been spent working for blueberry marketing
22 companies. I have watched this industry transform
23 from a niche seasonal crop into a year round
24 super-food category. Retailers answer to
25 consumers and consumers are asking for more

1 blueberries. They can be produced in the United
2 States. Our growing seasons have natural limits
3 and imports from countries like Mexico fill those
4 gaps to keep up with the growing demand and ensure
5 blueberries are on the shelves all times of the year.

6 While I believe in the future growth of
7 this industry so much that I planted 220 acres of
8 blueberries at a farm in Florida, it is also
9 important to recognize that it is a challenging time
10 for many U.S. blueberry growers. Labor costs are
11 at historic highs and labor availability continues
12 to decline and the rising import costs of input costs
13 are significant pressure on farms.

14 I understand first hand the concerns that
15 come with competing against regions that have lower
16 labor costs and environmental standards. The
17 hourly wage rate for farm workers in Mexico is far
18 less than here in the United States. Such
19 disparities are frustrating and feel unfair to
20 domestic growers who comply with stringent U.S.,
21 state, and federal wage requirements. This is
22 precisely why strong labor enforcement within the
23 USMCA matters. Reinforcing Mexico's compliance
24 with the USMCA labor requirements can help narrow
25 these disparities and support a more level playing

1 field.

2 We support efforts to reinforce and build
3 upon the USMCA's labor provisions including
4 consideration of recommendations made by the
5 independent Mexico Labor Export Board and reported
6 data on October 6th, 2025. The NABC will continue
7 to work hard for domestic farm policies to allow
8 U.S. growers to survive and thrive in today's global
9 marketplace. At the same time, we recognize the
10 USMCA is the most successful trade agreement in our
11 country's history and has been and continues to be
12 an important success to the U.S. blueberry industry.

13 This is by the North American Blueberry Council
14 continues to support its renewal. Thank you again
15 for the opportunity.

16 MR. OLIVER: And thank you for your
17 testimony. We'll move now to the next witness.

18 MR. RADER: Good afternoon, Dr. Callahan
19 and Mr. Watson, Ms. Anderson, and the other members
20 of the Review Committee. Thank you for the
21 opportunity to appear before you today to share the
22 U.S. raspberry industry's interest in the United
23 States-Mexico-Canada trade agreement. My name is
24 Brad Rader. I'm the General Manager of Rader Farms,
25 a red raspberry farming and processing operation

1 in Lynden, Washington. I'm the third generation
2 to manage our business and I've gained extensive
3 knowledge of our farming, processing, and marketing
4 operations over my 30 years in the business.

5 I serve as a board member for the
6 Washington Red Raspberry Commission and Chair of
7 the Advocacy and Trade Committee. My recent trips
8 to D.C. remind me my first trips with my dad when
9 he testified on trade action against Canada and
10 Chile. I'm honored to represent the Commission
11 today to help provide our growers with a better
12 future.

13 The Washington Red Raspberry Commission
14 was formed in 1976 to support and promote the
15 processed raspberry industry. The Commission
16 represents approximately 60 farms which employs
17 thousands of both seasonal and full-time staff.
18 Our growers produce over 90 percent of the U.S.
19 raspberries grown for the frozen berry market. Our
20 local area is the best suited for raspberry
21 production and lacks other crop options.

22 For Washington's raspberry growers,
23 volatile markets and influx of low cost, imported
24 fruit from Mexico and escalating production
25 expenses are making it increasingly difficult to

1 remain in business. Unfortunately, we have
2 numerous examples of previously reliable customers
3 reducing or canceling their orders from our
4 processors and instead choosing to purchase low cost
5 frozen raspberries imported from Mexico.

6 At the request of the U.S. Trade
7 Representative Robert Lighthizer, the ITC conducted
8 a Section 332 investigation for raspberries in 2021.

9 According to this report, between 2015 and 2020,
10 Mexico emerged as the leading supplier of fresh
11 raspberries for processing largely due to its
12 favorable trade conditions. Mexican raspberry
13 imports have continued to increase since 2020. As
14 a result, Mexico has been able to expand its presence
15 in the U.S. market, putting U.S. growers out of
16 business by supplying raspberry products at prices
17 we cannot match.

18 During this same period, Washington's
19 total raspberry production has declined, reflecting
20 the growing pressure from lower-cost imports from
21 Mexico. Mexican imports typically undercut the
22 prices of U.S.-grown raspberries by 40 percent or
23 more. Since these berries are a byproduct of the
24 Mexican fresh industry and were historically left
25 in the field or sent to a landfill, they have no

1 effective price floor. For the 2025 harvest
2 season, Washington raspberries are being offered
3 in the U.S. market at approximately \$2.75 per pound
4 while Mexican raspberries are being offered at \$1.50
5 a pound, well below the cost of production in
6 Washington.

7 Mexican producers benefit from
8 substantially lower labor costs, as well as reduced
9 regulatory and environmental compliance expenses.

10 With strong support for export infrastructure and
11 favorable trade conditions, under the current
12 USMCA, Mexican suppliers can move large volumes of
13 raspberries into the U.S. at minimal expense.

14 As USTR prepares for the upcoming USMCA
15 review, we respectfully encourage renewed
16 consideration of policies to support the
17 competitiveness and long-term viability of our
18 industry. While there may be no single solution
19 to the current trade imbalance, we are open to a
20 range of approaches, including the establishment
21 of quotas from Mexican imports to provide relief,
22 and a level playing field for Washington's
23 raspberry producers.

24 I would like to thank you for the tireless
25 work you are doing and efforts to improve the trade

1 relations for American agriculture. Thank you for
2 allowing me to testify today. I look forward to
3 any questions you may have.

4 MR. OLIVER: Thank you for your testimony.
5 We'll move to the final witness.

6 MR. BJORN: Good afternoon and thank you
7 for the opportunity to write comments regarding our
8 experiences in reputation of USMCA.

9 My name is Soren Bjorn. I'm the CEO of
10 Driscoll's, a 100 year old family-owned fresh berry
11 company located in Watsonville, California.

12 We work with hundreds of independent
13 farmers across United States, Mexico, and Canada
14 to grow, pick, and pack fresh strawberries,
15 raspberries, blackberries and blueberries, for
16 families across North America.

17 Today I wanted to speak directly to the
18 real world benefits USMCA delivers to American
19 consumers, American berry farmers, and the
20 agricultural workforce across our continent.

21 First, the benefit to you as consumers is
22 clear and profound. Thirty years ago, fresh
23 berries were a summer luxury. Today, thanks to
24 USMCA and North American corporation, American
25 families enjoy affordable, high-quality berries all

1 year around.

2 USDA data shows that per capita,
3 strawberry consumption has soared from 1.4 pounds
4 per capita in 1990, to 9.2 pounds in 2024.

5 This isn't just a statistic, it's the story
6 of better nutrition, more choice, and stable prices
7 for millions of Americans.

8 U.S. berry imports, most of which count
9 as seasonal, don't undermine domestic growers.
10 Rather, they expand the market, ensuring the berries
11 are available in winter and summer alike.

12 And giving consumers access to healthy
13 foods, whenever they want them.

14 Secondly, USMCA has been a catalyst for
15 growth and opportunity for American berry farmers.

16 Predictable, duty-free and rules-based
17 trade gives farmers the confidence to invest,
18 innovate, and expand.

19 Since 2020, U.S. berry production has
20 increased by 140 percent. In Florida alone, winter
21 strawberry acres grew from 9,900 acres in 2020, to
22 16,200 in 2024. And I think that number is actually
23 going higher this year in 2025.

24 This growth is not just for the domestic
25 market. American strawberry growers exported over

1 350 million pounds of fresh strawberries last year,
2 mostly to Canada and Mexico, making 98 percent of
3 all exports were to Canada and Mexico.

4 And with duty-free access on berries, we
5 expect demand for American berries to Canada and
6 Mexico, to grow about 9 percent every year for the
7 next 5 years.

8 USMCA has created a contiguous,
9 complimentary market where American farmers can
10 thrive, not just survive.

11 Thirdly, USMCA provides the framework
12 through a standards for all agricultural workers.

13 They have obligations to our core enforceable part
14 of USMCA.

15 All three countries have committed to
16 establishing and enforcing laws and practices
17 governing minimum wages, hours of work,
18 occupational safety, and health.

19 In Mexico, minimum wage is set to increase
20 by 12 percent annually, through 2030, and has
21 already started a couple of years ago.

22 And new laws require anti-harassment
23 training, specifically in the agricultural fields.

24 And at Driscoll's, we publicly disclose
25 all our global labor standards, which are consistent

1 across the world, regardless of where we grow.

2 And of course, wages are different among
3 the three parties to USMCA, just like they vary
4 across industries within the USMCA participants.

5 And I might add, just like they vary
6 across, among states in the United States.

7 In agriculture, wages are a large
8 percentage of the cost of production, but they are
9 not the only driver.

10 It is important to recognize the
11 non-harvest costs, so the non-harvest related costs
12 such as crop establishment and compliance, are often
13 much higher in Mexico, than in United States.

14 Through the principles outlined in USMCA,
15 Mexico has made real progress on labor. Over the
16 last 5 years, several laws have been passed to
17 strengthen worker rights, and improve employee
18 conditions.

19 Enforcement, however, is key and we
20 support continued government oversight and centers
21 to ensure that every worker in every country, is
22 treated fairly.

23 And finally, USMCA's improvement in
24 sanitary and phytosanitary standards, have
25 strengthened food safety and market access.

1 Regulatory alignment, transparency and
2 supplication, and technical consultations have
3 built mutual trust among regulators and within the
4 industry, to ensure that fresh, safe berries reach
5 consumers quickly.

6 USMCA provides the mechanism for the three
7 countries to collaborate on sound scientific
8 methods to address issues as they arise.

9 This regional approach to safety benefits
10 everyone. Growers, retailers, and families.

11 One of the greatest successes of USMCA,
12 is how strong rules-based trade allows for free and
13 fast trade of highly perishable horticulture
14 products, something that is often a major challenge
15 in other trade relationships.

16 So as you consider the future of USMCA,
17 I urge you to recognize its role to create a regional
18 food block, supporting American consumers,
19 empowering American farmers, and raising the
20 standards for all.

21 Thank you for your leadership and for your
22 commitment to policies that assure Americans have
23 access to healthy, delicious fruits all year long.

24 Thank you.

25 MR. OLIVER: Thank you, and thank you all

1 for your testimonies. We appreciate it.

2 We'll now be turning to the panel of U.S.
3 government officials ahead of you, and just a
4 reminder each witness will get one question, limited
5 to a two minute response.

6 And with that, I'll turn it to Mr. Watson.

7 CHAIR WATSON: Okay, thank you all for
8 your thoughtful testimony. The first question is
9 for Mr. Bushue.

10 You have discussed the importance of
11 duty-free access to the success of U.S. exports of
12 apples, pears, and cherries.

13 Can you elaborate on what has contributed
14 most to your industry's success, and what actions
15 would you recommend the U.S. government take to
16 ensure the continued growth of your industry?

17 MR. BUSHUE: Sure, I'll just reiterate.

18 Duty-free access is huge. We've seen the downside
19 to that in Mexico, and I'd add to that comment that
20 I made about the decline in that period of time.

21 That was prior to the European Union
22 gaining duty-free access into Mexico. I would
23 anticipate that that number would be much more
24 significant if we were to see increased tariffs into
25 Mexico now, under that new arrangement.

1 Beyond that, if you go back into the early
2 '90s and getting access into their SPS issues were
3 a bit of a dog fight between us and Mexico.

4 And now, it's fairly routine. There's
5 one-off things here and there as there always are,
6 but it's routine. Everybody understands what the
7 rules are; how it works.

8 And if there is something that needs to
9 be resolved, it's worked out fairly, fairly smoothly
10 as it can be at the timeframe that these things take
11 between APHIS and SENASICA.

12 So, it's really that clear, transparent
13 process and duty-free access that is, has been so
14 beneficial to our ability to continue shipping to
15 essentially what is our home court.

16 They are our neighbors and particularly
17 in Washington state, not far away.

18 MR. OLIVER: Thank you. And the next
19 question will come from Ms. Callahan.

20 MS. CALLAHAN: Thank you, this question
21 is for Mr. Nuxoll. You had highlighted some
22 important protections for exporters of perishable
23 agricultural products, in the event of a buyer
24 bankruptcy under Canadian law.

25 And, could you please elaborate on how

1 these protections have benefitted U.S. producers
2 to date, and also how you would envision similar
3 protections being established in Mexico? Thank
4 you.

5 MR. NUXOLL: That is a wonderful question,
6 thank you for asking it. So the Perishable
7 Agriculture Commodities Act, is not something that
8 most people really know very much about, other than
9 in our sector, everybody here at these tables.

10 So the PACA Act was established by the
11 United States, and is administered by USDA. And
12 what that does is it basically provides protections
13 for perishable producers when they sell to buyers.

14 If those buyers are in financial
15 difficulty, go bankrupt, et cetera, it provides a
16 series of guarantees for those buyers to be first
17 in line in order to get payment.

18 Or depending on the type of financial
19 difficulty if it's short of bankruptcy, a mediation
20 process.

21 And so, that is something that U.S. growers
22 have enjoyed for many, many decades.

23 The Canadian government recently,
24 Canadian Parliament I should say, recently passed
25 a very similar mechanism.

1 It does quite work exactly the same, under
2 a law called Bill C-280. And it would establish,
3 it hasn't yet actually been up and running. It's
4 not quite up and running; they passed it earlier
5 this year so the regs aren't out yet.

6 But in any case, it would establish a very
7 similar mechanism in Canada. Such that a produce
8 buyer would have certainty that if I sell to -- a
9 producer sell would have certainty.

10 If I sell to a buyer in Canada from the
11 United States, that buyer goes bankrupt. I am in
12 first in line in order to get payment.

13 Because most of the products that we
14 provide are perishable. We all know this when you
15 go to the grocery store after a week or two, as
16 wonderful as Soren's products are and I consumer
17 many of Driscoll's strawberries, at some point they
18 go bad.

19 So, it's unlikely that you're going to be
20 able to recoup those products unlike other goods.

21 We would like to see the Mexican government
22 implement the same structure, and pursue that same
23 structure in Mexico.

24 That would allow exporters in the United
25 States, exporters from Canada, to export into Mexico

1 and have those same sort of certainties that we enjoy
2 now in the United States, and we enjoy in Canada.

3 MR. OLIVER: Thank you for your response.

4 And the next question will come from Ms. Anderson.

5 MS. ANDERSON: Thank you. This question
6 is for Ms. Espinoza. In your submission, your
7 submission includes recommendations against a
8 seasonal produce trade remedy, quotas, and other
9 measures.

10 Are there any actions you would recommend
11 to address concerns raised regarding the impact of
12 fresh produce imports from Mexico, on U.S. growers?

13 MS. ESPINOZA: So what we're talking about
14 those, the seasonality, they are pockets. Most of
15 the trade or the imports that are coming in from
16 Mexico, are during the months of probably the winter
17 months starting maybe November up until May.

18 And so, we need to see a different sector
19 because maybe during that timeframe, especially the
20 commodities that I deal with, they're not in
21 production and they're complementary to producers
22 here in the United States.

23 So I think that we need to do an analysis
24 of the different types of commodities to see what
25 really does affect, because it seems to us that it's

1 just seasonal and it's just temporary.

2 And it could just be little pockets here
3 in the United States, when really it would not make
4 a huge impact because most of the product that's
5 coming in is during the winter season.

6 MR. OLIVER: Thank you for your response.
7 And the next question will come again from Ms.
8 Callahan.

9 MS. CALLAHAN: Thank you. This question
10 is for Mr. Melban, and this is kind of a two-part
11 question.

12 You mentioned the requested establishment
13 of a TRQ for avocado imports during California's
14 growing season.

15 And, could you provide further information
16 on how you would expect this TRQ to affect California
17 avocado producers, what effect you could see on
18 Mexico, and also the effect on product availability
19 and price for consumers.

20 And then, the next part is are there other
21 actions that might also be complimentary, that could
22 increase competitiveness of California avocados?

23 MR. MELBAN: Thank you for the questions.

24 On the first one, the effects of a TRQ specifically
25 to California avocado producers, our season gets

1 very busy within our market, which is the West Coast
2 primarily.

3 We look to be the local supplier. Nobody
4 can beat us on freshness. Nobody can beat us on
5 premium and quality in our core market.

6 So that's where we thrive; that's where
7 we want to survive, and live. The challenge is it's
8 becoming more and more crowded because of the
9 mismanagement frankly, by our administration, of
10 bringing in volumes, and volumes, and volumes with
11 no end in sight.

12 And so, we would submit that during our
13 season, it would help just bring some equilibrium
14 within our core market, to assure that our growers
15 are able to sell their healthy, nutritious product
16 that costs money to grow, at a price that they can
17 earn a living and be viable into the future.

18 In terms of the impact on the importing
19 country specifically Mexico, look, they are
20 suffering with some low pricing too, in the U.S.
21 okay?

22 We're all in this situation together. And
23 they have other states. Nayarit is trying to come
24 online. They want to get into this market.

25 Frankly, it was Michoacan and California

1 that really worked hard to build this strong U.S.
2 market, and we are now seeing evidence that because
3 of the strength of the market what it was, everybody
4 is coming into this market.

5 And there's no management of it, and it's
6 really resulting in a challenge I would submit, for
7 all of the market players now.

8 And I think we need to have a conversation
9 about how we bring better management into this
10 market, so that it works for all of us.

11 MR. OLIVER: Thank you, we appreciate it.

12 MR. MELBAN: In terms of other options,
13 I at this point, we need the government's help to
14 manage this market. And, I don't see another option
15 short of that. Thank you.

16 MR. OLIVER: Thank you. The next
17 question will come from Ms. Anderson.

18 MS. ANDERSON: This is a question for Mr.
19 Joyner, also a two-parter. Your organization
20 recommends the establishment of product-specific
21 TRQs during the fall-spring marketing season, to
22 protect Florida producers from the impacts of
23 imports from Mexico.

24 First part. Would you please provide
25 further explanation on how you would expect

1 establishment of TRQs would impact Florida
2 producers, including sales and market share?

3 Also impact imports from Mexico and
4 product availability, and prices for consumers.
5 That's question one.

6 Question two. What other actions do you
7 see as important to help increase competitiveness
8 of Florida fruit and vegetable producers?

9 MR. JOYNER: Thank you very much, and I
10 hope I answer your question. The issue for us is
11 just this onslaught of the products coming into
12 Florida during our season.

13 When we talk about establishing a tier for
14 a quota, we think we can establish the TRQ that would
15 continue to allow imports from Mexico, but not at
16 levels that will risk destroying U.S. growers.

17 And that's that sweet spot that I honestly
18 believe we can find.

19 One of the things that we haven't said
20 today, is affordability. And I think that's the
21 second, maybe the second piece of that question.

22 And I don't mean to be crass at all when
23 I say this, and if you know me, you know I'm just
24 not going to be crass.

25 But to me, a worst case scenario would be

1 for, or worst case scenario for U.S. consumers and
2 U.S. growers, would be that we are absolutely out
3 of the market during that time of the year.

4 And, consumers will rely on other
5 countries to provide fruits and vegetables during
6 those winter months.

7 Our window is that fall-spring-late spring
8 window. So again, not to be flippant or crass, but
9 if we become wholly dependent on other countries
10 during certain times of the year, it would be
11 interesting to what the price would do at that point.

12 So let me just say this to kind of reiterate
13 maybe some of the things, and maybe this will also
14 answer the question.

15 I really do believe that the survival of
16 our industry is at stake. I've been in this
17 industry my whole life. And I think it's at stake.

18 We do need a sense of urgency and I know
19 y'all have that sense of urgency. But we
20 desperately need a sense of urgency.

21 My phone starts ringing in the morning at
22 about 6:15 from my growers. And usually it's a hey,
23 good afternoon, Mike.

24 And then, I just hear these stories every
25 day. The principle problem for us is just this

1 relenting and unfairly priced volumes of produce
2 that come into the U.S. during our season.

3 Now curbing imports for us is a key. And
4 to your second question and I'm sorry, to your second
5 question, we are past the point of other things that
6 would be helpful for us, in my opinion.

7 This is kind of a last step for us. So
8 I wish I had other things. I wish I had a menu of
9 things that I could provide to you, but I think we're
10 past that point. Thank you.

11 MR. OLIVER: Thank you. And the next
12 question will come again from Ms. Callahan.

13 MS. CALLAHAN: Thank you, this is for Mr.
14 Koukoulis. And, you had highlighted the growth in
15 U.S. blueberry exports under the USMCA.

16 And, if you could please highlight or
17 elaborate on what contributed to your industry's
18 success in your view, and also what actions could
19 be taken by the U.S. government that could ensure
20 continued market access growth for U.S. exports.

21 MR. KOUKOULIS: Thanks for your question.
22 So, I want to answer this question as truthfully
23 and honestly as I can.

24 Our export has risen to Canada
25 extraordinarily. Our exports to Mexico would be

1 very minimal. So let's not confuse the two
2 countries.

3 So USMCA works I think fairly well, with
4 the blueberry growers whether they're in Florida,
5 which I'm in Florida, as well as the State of
6 Washington because we do have access to their
7 market, and their retailers.

8 And they are consumers of blueberries.
9 But let's face it, blueberries are probably not a
10 priced commodity that would cross the border in
11 shape, way, or form.

12 And I would say the other part of that
13 answer is, if the Mexican public were buying a
14 significant amount of blueberries, it would be less
15 Mexican blueberries coming across the border.

16 So I think the reality is we have one really
17 good partner, which is Canada, and we have one
18 really, we have a partner that we need to work on.

19 And, I don't have the answer to how we get
20 more access to their market, but I think consumers
21 drive that.

22 If they were buying blueberries in Mexico,
23 we would be shipping blueberries to Mexico.

24 MR. OLIVER: Thank you. The next
25 question will come again from Ms. Anderson.

1 MS. ANDERSON: Thank you. This question
2 is for Mr. Rader. Similar to the one for Mr. Joyner,
3 your submission recommends the establishment of
4 tariffs and other trade measures, to protect
5 Washington raspberry producers from the impacts of
6 imports from Mexico.

7 Can you provide further explanation on how
8 you would a) expect establishment of tariffs and
9 other trade measures to impact your producers, to
10 impact imports from Mexico, and to impact product
11 availability and prices for consumers.

12 And b) what other actions you see as
13 important to increase competitiveness for your
14 producers.

15 MR. RADER: Thank you for the question.
16 I tried to highlight in my comments, the fact that
17 what comes into the U.S. from Mexico, is for, and
18 what we're talking about is for the frozen market.

19 And, there's a big disparity between what
20 we're selling for U.S. produced product, and what
21 the Mexican product is coming in for.

22 So it would take some creative work to come
23 up with how do we close that gap, which we're looking
24 to level the playing field.

25 With the labor costs that we're dealing

1 with in Washington, I don't know to compare that
2 to Mexico, I don't know how that would be possible.

3 I think it's going to take some duties,
4 some creative work on behalf of staff. Like we
5 said, we've been back here before to discuss things.

6 We're happy to work together on that but
7 once again, this is a byproduct of the fresh
8 industry.

9 So fresh growers are benefitting from
10 being able to sell the fresh market. This is simply
11 a byproduct that has been a creative work by some,
12 to look at an opportunity to undercut us in the U.S.
13 markets.

14 And, it could put us out of business. And
15 it will if we don't do anything. So as far as other
16 ideas, we've been establishing markets for
17 smoothies, for a lot of different things.

18 We've been working hard on that. We're
19 a pretty small industry but we've done some pretty
20 big things.

21 And there's a lot of frozen berries
22 consumed in the United States. Not just
23 raspberries, but other berries.

24 So happy to have a complimentary influx
25 of pounds, but just not being undercut. We can't

1 afford that, and we're looking forward to different
2 opportunities to work on.

3 We are not looking at growing our acreage
4 from 8,000 to 40,000 acres. We just want to stay
5 at 8,000.

6 We want to stay at 60 million pounds. We
7 don't want to go 120, 140 million pounds. Thank
8 you for your time.

9 MR. OLIVER: Thank you. And the final
10 question will come from Mr. Watson.

11 CHAIR WATSON: Yes, the final question is
12 for Mr. Bjorn, and this also has two parts. So,
13 you've spoken about the benefits of tariff free
14 access both in terms of providing consumer access
15 to fresh fruits and vegetables, and also to
16 increased investment in the production of berries
17 throughout North America.

18 Can you talk a little bit more about what
19 you see as the benefit specifically for U.S. berry
20 producers, is one part of the question.

21 The other part is, are there any actions
22 you would recommend to address concerns raised,
23 regarding the impact of dairy imports from Mexico,
24 on U.S. growers?

25 MR. BJORN: Yes, so I think the evidence

1 is pretty clear that when you have a product that's
2 available year-round, and consumers can get it every
3 day, that the overall consumption rates just goes
4 up significantly.

5 So I think you can probably think of your
6 own experience of going into a grocery store years
7 ago, and sometimes strawberries are available in
8 big quantities in the summer time, and then in the
9 winter they were barely available.

10 And the raspberries and blackberries,
11 blueberries, were back in the corner.

12 Today when you go into your local grocery
13 store, it's the first thing you see in the store,
14 and the display is always there.

15 So the fact that you have year-round
16 availability has just driven up the demand, right?

17 It's just something that's on everybody's shopping
18 list. It's no longer just an impulse item.

19 I think the number one thing that we see
20 that can be improved in the current USMCA, is really
21 the enforcement mechanism.

22 I don't think it's going to come as a
23 surprise to too many people in the room, that the
24 Mexican government has been consistently cutting
25 all of its budgets, which also means that a lot of

1 the budgets that had gone to enforcement and to
2 facilitate the trade, those parts have also been
3 cut.

4 And so in particular when it comes to the
5 labor standards that are part of the current
6 agreement, we don't need to revise the standards,
7 I think we need to hold the Mexican government
8 accountable for making sure that they enforce the
9 standards that they have agreed to.

10 That is the thing that's going to create
11 more of a level playing field between the U.S. and
12 Mexico. Thank you.

13 MR. OLIVER: Thank you, and thank you all
14 for your testimonies and your responsiveness to the
15 questions, we appreciate it. And with that, we'll
16 close this panel.

17 We ask that you take your placards and
18 please put them over here. And we also ask that
19 the members of Panel 7 please step forward.

20 Please bring your placards with you and
21 set them here in the order in which you are seated
22 currently. Thank you.

23 And as they are being seated, just a
24 reminder please while these panels are going on,
25 please no reporting -- or recording, and please,

1 no pictures. Thank you.

2 CHAIR WATSON: I think you all have been
3 waiting patiently so you know the rules, so I won't
4 go over the 5 minutes, and the 2 minutes.

5 But let's go ahead and get started, and
6 we will begin with Mr. Walton.

7 MR. WALTON: Yes, thank you for the
8 opportunity to testify today on the United States
9 Trade Representatives Review, of the United
10 States-Mexico-Canada Trade Agreement, or USMCA.

11 My name is Dave Walton, and I'm a soybean
12 farmer from Iowa. I also have the privilege of
13 serving as the secretary of ASA, which represents
14 U.S. soybean farmers across 30 main soy producing
15 states.

16 ASA has submitted full comments on the USTR
17 docket with our sister organization, the U.S.
18 Soybean Export Council.

19 But in my time today, I'd like to provide
20 a brief overview of the U.S. soybean industry, our
21 dependence on export markets, and share our support
22 for a full 16 year renewal of USMCA.

23 Soybeans are the largest ag export in the
24 U.S., and a robust international trade is a top
25 priority for our industry.

1 In the last complete marketing year,
2 Canada and Mexico together, exceed \$4 billion in
3 U.S. soybean exports, or nearly 14 percent of the
4 total soy complex exports.

5 For the U.S. soybean sector, the USMCA and
6 its predecessor, the North American Free Trade
7 Agreement, that provided stability and
8 predictability for integration of the North
9 American Agricultural markets, especially through
10 the guarantee of duty-free treatment of soy and soy
11 products.

12 USMCA upgraded NAFTA in several important
13 ways, particularly through the inclusion of
14 strengthened chapter on sanitary and phytosanitary
15 measures.

16 Which builds on the rules that are already
17 applied as part of the World Trade Organization's
18 SPS agreement.

19 The revised agreement also included a
20 novel section on agricultural biotechnology, that
21 preempted disruptive trade barriers stemming from
22 the use of genetically engineered trades.

23 Both additions modernized the agreement
24 for U.S. agriculture, and are considered the gold
25 standard of language for U.S. trade agreements.

1 ASA's top priority in the 5-year review
2 of USMCA is the whole-hearted preservation of the
3 trilateral agreement between the countries, that
4 maintains the comprehensive duty-free access of
5 USMCA, the WTO plus SPS chapter, and an effective
6 dispute settlement mechanism.

7 We support a full 16 year extension of the
8 current agreement, and do not advocate for major
9 changes to existing provisions of the agreement.

10 USMCA is critical for the U.S. soybean
11 sector and should be continued without creating
12 disruptions or additional uncertainty.

13 However, there are minor adjustments
14 included in USMCA that the three parties could
15 consider, including adjustments that help the
16 agreement better facilitate agricultural trade.

17 These recommendations include setting
18 maximum residue limits more effectively, without
19 undermining the effectiveness of the regulatory
20 approval processes.

21 We strongly encourage all three
22 governments to base domestic pesticide residue
23 regulatory approaches, on international standards
24 developed by the Codex food code.

25 And ensure that regulatory decisions

1 remain based in science, and do not undermine the
2 integrity of risk assessment process and create
3 unnecessary barriers to trade.

4 We also encourage USMCA partners to abide
5 by the spirit of the agreement, and avoid imposing
6 trade and tariff barriers on each other.

7 Tariff predictability is a cornerstone of
8 growing opportunities in international trade, and
9 U.S. soy products have enjoyed tariff-free access
10 to both Canada and Mexico, since the original NAFTA
11 entered into force.

12 However, U.S. soy bean exports are
13 currently facing large amounts of tariff
14 unpredictability with other export markets,
15 including our largest customer, which is China.

16 This unpredictability has allowed Brazil
17 and Argentina to expand their exports to China,
18 while U.S. soy's market share in China has
19 decreased.

20 The ever-expanding tariffs on Mexico and
21 Canada through section 232, the International and
22 Emergency Economic Power Act and other authorities,
23 increase the likelihood that U.S. soybean farmers
24 will end up in the cross-hairs of potential
25 retaliation.

1 At a time when U.S. soybean farmers begin
2 to recover our largest export market due to the harm
3 of retaliatory tariffs, our industry will not
4 survive an additional prolonged tariff battle with
5 our two closest customers in Canada and Mexico.

6 It is nearly impossible to overstate the
7 importance of maintaining free, open, rules-based
8 and fair trade within the North American continent
9 for U.S. agriculture.

10 Soybean farmers are facing the most
11 challenging landscape in a generation. Failure to
12 renew USMCA would be catastrophic for us.

13 President Trump negotiated this
14 agreement, overwhelming bipartisan majority
15 supported it, and entire industries, companies,
16 farmers, and families, depend on it.

17 ASA strongly supports a full 16 year
18 renewal of USMCA without delay. Our industry looks
19 forward to working alongside USTR to accomplish that
20 goal.

21 MR. OLIVER: Thank you for your testimony
22 and we'll move to the next witness.

23 MR. TUPPER: Thank you. Good afternoon,
24 my name is Justin Tupper, I'm President of the United
25 States Cattlemen Association.

1 I'm a second generation auction market
2 owner; third generation rancher, but we ranch with
3 my wife and four children in a state that has way
4 more cattle than people. We have 3.5 million cattle
5 and 925,000 people.

6 Thank you for the opportunity to testify,
7 and to the USTR for soliciting comments ahead of
8 this critical joint review of the United States
9 Mexico Canada Agreement.

10 I'm honored to sit here with you today as
11 the rest of my fellow American ranchers are out on
12 their land, with their cattle, in the bitter cold
13 and unfavorable conditions.

14 They are folks who know that taking care
15 of and feeding livestock is not only a 365 day a
16 year job, it's a way of life.

17 Our core message is simple. Mandatory
18 Country-of-Origin labeling for beef is America
19 First policy agenda, and we must update USMCA's
20 rules of origin to reflect that.

21 Why? Because mandatory COOL is necessary
22 to protect our U.S. cattle producers, ensure
23 consumers are informed when they buy beef, and to
24 protect the trusted brand of American beef.

25 American producers have been elevating the

1 standard of raising beef for hundreds of years.

2 These ranchers and their families have
3 worked extremely hard to build U.S. beef's global
4 reputation as a standard of quality, and good taste.

5 It is wrong to let our brand value be
6 tarnished because of misleading or truly missing
7 labels.

8 USMCA's joint review presents an
9 opportunity to deliver meaningful reform for U.S.
10 cattle producers, by transforming the product of
11 the U.S. label from voluntary designation into
12 mandatory, enforceable, and auditable standard.

13 While USDA's 2024 voluntary initiative is
14 a step forward, it remains insufficient. Voluntary
15 standards are vulnerable to abuse, and can mislead
16 consumers who believe they are purchasing truly
17 domestic beef.

18 Cattle producers believe that consumers
19 have the right to choose. And if they have that
20 informed choice, this is what consumers want.

21 Consumers are demanding transparency in
22 their food supply chain, especially when it means
23 knowing where their food comes from.

24 In a 2017 survey, 88 percent of adults
25 favored the requirement on sellers to indicate on

1 the label, the country where the animal was born,
2 raised, and processed.

3 Studies show they are willing to pay a
4 premium for beef that reflects American standards
5 of quality and value.

6 According to the 2022 USDA study,
7 consumers are willing to pay more for meat products
8 bearing a product of the USA label.

9 Claim especially when all product steps
10 occur in the United States.

11 Consumer demand for knowing where their
12 food comes from gives U.S. producers crucial market
13 leverage.

14 It also allows them to demand a processors
15 who can then supply consumers with exactly what
16 they've been asking for, verifiable American beef.

17 Ultimately, buy American rhetoric means
18 very little if there's no strong labeling standards
19 on the imported beef that allows well intentioned
20 consumers to buy just that, American beef.

21 USMCA joint review is a pivotal moment to
22 deliver real reform. The administration's
23 commitment to American First, must reflect in
24 concrete action within the beef sector.

25 Our advocacy for modernizing rules of

1 origin and MCOOL, is centered on truth in labeling.

2 Not a call for renewed trade barriers or tariffs.

3 We recognize the upside of the zero tariff
4 treatment that benefits U.S., Mexico and Canada.

5 The goal is to find compliant pathways that
6 achieve labeling transparency, without fear of
7 trade retaliation and the WTO challenges.

8 Here's what has to happen. Affirm the
9 right to label. The agreement must explicitly
10 affirm the United States' right to require Mandatory
11 Country-of-Origin labeling, without fear of trade
12 retaliation.

13 Modernize rules of origin. Rules must
14 ensure that only beef from animals born, raised,
15 and harvested in one country, qualify as
16 origination.

17 This prevents repackaging of imports from
18 being disguised as domestic beef.

19 Mandatory COOL protects ranchers and keeps
20 multi-generational operations alive. Transparent
21 labeling secures a future for the next generation
22 of ranchers by offering U.S. producers competitive
23 advantage in their home market, and making trade
24 deals that work for the United States.

25 We ask that you make truthful labeling

1 available. It must be non-negotiable standard in
2 all agreements.

3 Thank you for your time and I look forward
4 to your questions.

5 MR. OLIVER: Thank you for your testimony
6 and we'll move to the next witness.

7 MS. DOWNING: Good afternoon. I'm Dana
8 Johnson Downing, Senior Vice President of the North
9 American Renderers Association.

10 Rendering is an industry that rarely makes
11 headlines, but plays a critical role in our
12 agriculture system.

13 I grew up around the livestock side of
14 agriculture because my family ranched in Nebraska.

15 While I didn't exactly follow in my
16 parents' footsteps, I have spent the majority of
17 my career advocating on behalf of farmers and
18 ranchers, working on Capitol Hill, at USDA, and
19 later in the private sector promoting exports of
20 soy and animal products.

21 Even with that background, it wasn't until
22 I began working at NARA that I fully grasped how
23 essential rendering is to our agricultural
24 sustainability.

25 When most Americans think of livestock

1 agriculture, they might think of a juicy steak on
2 their plate.

3 Few consider what happens to the fat, bone,
4 trimmings, and other byproducts. And that's where
5 rendering steps in.

6 Our members collect those materials from
7 meat processing and upcycle them into safe, high
8 value ingredients for food, feed, fuel, and a
9 multitude of everyday consumer goods.

10 NARA represents a large, the large
11 integrated firms such as Tyson and JBS, that process
12 their own raw material.

13 And also independent renderers that
14 collect byproducts, expired meats, used cooking
15 oil, from smaller slaughter facilities, butchers,
16 supermarkets, and the HRI sector.

17 Rendering keeps nutrients in circulation,
18 creates jobs in rural communities, and exemplifies
19 the highest standard of resource efficiency in
20 environmental stewardship.

21 Today I'm joined by a few of our
22 longstanding customers from Mexico, Tecnoalimentos
23 and the Scoular Company.

24 They choose to import U.S. product not just
25 for its quality, but because of the trust built over

1 decades.

2 These are not transactional
3 relationships; these are trusted partnerships built
4 on the framework of free and fair trade, which the
5 USMCA was designed to protect and enhance.

6 USMCA has delivered very meaningful
7 benefits for U.S. agriculture, and providing
8 tariff-free access to our closest trading partners.

9 However, Mexico's retroactive application
10 of a 16 percent value added tax on U.S. exports of
11 rendered animal meals and other feed inputs, is
12 restricting trade.

13 This VAT operates as a de facto tariff,
14 undermining the spirit and the letter of the USMCA.

15 The objective of my testimony is to urge
16 full enforcement of USMCA's national treatment, and
17 free trade commitments.

18 There's been a lot of dialogue with
19 Mexico's tax authority, the SAT, on this issue.
20 In 2018 that agency made a formal ruling in writing,
21 confirming that meat and bonemeal is exempt from
22 the tax.

23 In 2020 the agency for the protection of
24 the taxpayer, which is known as PRODECON,
25 reconfirmed that the tax rate on meat and bonemeal

1 should be zero percent.

2 Despite those rulings of the last two
3 years, SAT has reversed course and has been issuing
4 VAT demand letters, which I provided to USTR.

5 According to our partner association in
6 Mexico, at least 13 feed inputs are now subject to
7 this VAT, including animal-based meals, soybean
8 concentrate, DDGS, and a number of feed additives.

9 This VAT has become a contagion
10 threatening to spread to other products, and
11 widening our trade deficit with Mexico in the
12 process.

13 Remarkably, domestically produced animal
14 meals in Mexico are not subject to the VAT. This
15 is clearly a national treatment issue under USMCA,
16 disadvantaging U.S. imports.

17 The retroactive nature of the VAT reaching
18 back up to 5 years, further undermines stability.

19 The potential financial exposure on
20 rendered products is around \$80 to \$100 million USD,
21 which could cripple small and medium-sized Mexican
22 feed companies, and jeopardize our trade
23 relationships.

24 The VAT threatens to erode the value of
25 our products, and block exports to our third largest

1 market in the world.

2 At a time when we're already losing market
3 share in Asia due to political friction with trading
4 partners, we cannot afford to lose access to our
5 neighboring Mexico market.

6 Therefore, we respectfully urge the U.S.
7 government to number one, engage immediately with
8 Mexico's tax authority the SAT, to restore the VAT
9 exemption on rendered products and other feed
10 ingredients.

11 And number two, to clarify and enforce the
12 USMCA commitments on nondiscrimination national
13 treatment, and stable trade for feed ingredients.

14 Simply put, this is a matter of right and
15 wrong. Mexico's VAT is an indefensible trade
16 barrier and on behalf of the North American
17 Renderers Association, we ask you to insist that
18 Mexico live up to its commitments under the USMCA.

19 Thank you.

20 MR. OLIVER: Thank you for your testimony
21 and we'll turn to our final witness, Ms. Rockwell.

22 MS. ROCKWELL: Good afternoon. My name
23 is Alicia Rockwell, Chief Government Affairs
24 Officer for Blue Diamond Growers.

25 I'm here today representing over 3,000

1 family almond farmers, who own and operate Blue
2 Diamond Growers, the world's leading almond
3 processing and marketing cooperative.

4 Our average member farms are less than 100
5 acres and together we employ over 1,600 team
6 members, and generate \$1.5 billion in annual sales.

7 California produces 80 percent of the
8 world's almonds, and 70 percent of our crop is
9 exported to over 100 countries.

10 Mexico and Canada together represent
11 \$315.8 million in annual almond exports, making them
12 absolutely critical markets for our industry's
13 continued success.

14 The 2025 California almond crop is
15 forecast at 3 billion neat pounds, a 10 percent
16 increase over last year.

17 With production growing, maintaining and
18 expanding access to markets like Mexico and Canada,
19 isn't just important. It's essential for the
20 survival of thousands of family farms.

21 USMCA has delivered tangible results for
22 Blue Diamond and the entire almond industry. In
23 Canada, we've increased annual ingredient sales by
24 35 percent since USMCA's implementation, driven by
25 dry roasted whole almonds, blanched flour, and

1 non-pareil almonds.

2 Our branded snack nut business grew 25
3 percent by volume, in fiscal year 2025. Canada now
4 represents over 3 million pounds of ingredient
5 opportunities.

6 In Mexico, we've increased shipments by
7 30 percent with strong growth in manufactured
8 ingredients.

9 We see potential for an additional 2
10 million pounds of growth in this price sensitive
11 market.

12 USMCA continued NAFTA zero duty treatment
13 for all almond products in shell, shelled, flour,
14 and meal, and prepared and preserved almonds.

15 This duty-free environment has been
16 essential for maintaining competitiveness against
17 Australia, and Spain.

18 Supporting growth in value added products
19 like almond butter and almond milk, and enabling
20 supply chain integration with North American food
21 manufacturers.

22 While USMCA has been tremendously
23 successful, regulatory barriers continue to
24 restrict the full potential of North American almond
25 trade.

1 In Canada, the all or nothing
2 fortification requirement for almond milk
3 unnecessarily restricts product flow, with limited
4 consumer benefit.

5 This rigid approach creates market access
6 challenges that deserve attention during this
7 review.

8 In Mexico, labeling requirements present
9 significant impediments. Front of package warning
10 labels and the prohibition on the using the term
11 milk for almond milk products, requiring them to
12 be labeled as vegetable beverages, creates consumer
13 confusion.

14 Almond milk is a globally understood
15 concept. These labeling barriers limit market
16 access and consumer choice, particularly in a market
17 with higher lactose intolerance.

18 The Mexican market is extremely price
19 sensitive. Should tariffs on U.S. almonds be
20 imposed, we estimate the market would turn to Chile,
21 Spain, or Australia, to meet their needs, resulting
22 in a potential 30-35 percent decline in U.S.
23 shipments.

24 For a commodity where California growers
25 depend on export markets for 70 percent of

1 production, such a loss would be devastating.

2 As you conduct this joint review, we
3 respectfully urge you to focus on three priorities.

4 First, maintain the zero duty environment
5 for all almond products. This is a foundation for
6 everything we've achieved.

7 Second, enhance regulatory transparency
8 and stakeholder engagement, to address the labeling
9 and formulation barriers that restrict trade,
10 despite zero tariffs.

11 And third, continue streamlining customs
12 processing and infrastructure to facilitate the
13 efficient movement of both bulk commodities, and
14 value-added products.

15 In conclusion, USMCA works for American
16 almond growers. It has opened doors, created
17 opportunities, and supported thousands of family
18 farming operations.

19 The duty-free environment must be
20 preserved, and remaining non-tariff barriers must
21 be addressed to fully realize the promise of North
22 American agricultural integration.

23 Blue Diamond stands ready to work with
24 USTR, USDA, and our government partners to advance
25 this vital trade relationship.

1 The families who grow almonds in
2 California are counting on us to protect and
3 strengthen the market access that supports their
4 livelihoods.

5 Thank you so much for the opportunity to
6 testify today. I welcome your questions.

7 MR. OLIVER: Thank you, and thank you all
8 for your testimony. We'll now to turn to questions
9 from our U.S. government officials.

10 And just as a reminder, there will be one
11 question to each witness with a maximum response
12 of 2 minutes.

13 And with that, we will turn to Mr. Watson.

14 CHAIR WATSON: Okay, the first question
15 is for Mr. Walton. In your comments, you talked
16 about the potential for increased cooperation on
17 renewable fuels, and other bioproducts.

18 And you also talked about the need to
19 ensure regulatory structures that facilitate,
20 rather than undermine that trade.

21 What more can you tell us, what more
22 details can you give us about what your, which
23 specific actions your organization would be looking
24 for with regard to renewable fuels?

25 MR. WALTON: Sure, first of all, USMCA has

1 worked for us. It's provided stability in the
2 marketplace.

3 We've seen soybeans flow into Mexico and
4 Canada. And Mexico has turned into our second
5 largest customer.

6 The Mexican market is generally a whole
7 bean market. We do import some or export some meal
8 to it, but in regards to the biofuel question, what
9 we hope is that we continue to see that free flow
10 of whole beans to Mexico, and the oil to come back
11 to the U.S. as feedstock.

12 As you know, the renewable volume
13 obligation has expanded and we need feedstocks in
14 the U.S. to create that biodiesel. And so, that
15 oil is critical for us as a feedstock.

16 MR. OLIVER: Thank you, we appreciate the
17 response. And the second question will come from
18 Ms. Callahan.

19 MS. CALLAHAN: Thank you. This question
20 is for Mr. Tupper. You had mentioned that the
21 absence of mandatory Country-of-Origin labeling,
22 reduces market share for U.S. beef products and
23 suppresses prices and returns for American
24 ranchers.

25 Could you provide a bit more detail on

1 this, and also how does the USDA voluntary product
2 of U.S.A. label fall short of meeting these
3 objectives? Thank you.

4 MR. TUPPER: Yes, thank you for your
5 question. I think when we look at how some of the
6 movements of live cattle versus meat imports, are
7 very different. And I think they need to be very
8 separate in how we address them.

9 Live Cattle movements happen pretty
10 regularly on both ends of the spectrum, both
11 borders, Canada and Mexico.

12 When we look at the meat imports from other
13 countries and the quality standards that some of
14 those have to abide by, some of them are very
15 different from ours ourself.

16 And we have a risk-based assessment as we
17 let those in to our country, and we definitely want
18 to maintain and make sure that we can ensure that
19 our product is the safest, best protein on the
20 planet.

21 When we talk about the second part of your
22 question, when we allow for those markets to work
23 how they should, and allowing the consumer to
24 decide.

25 And we think this is a consumer today that

1 wants to know where their food comes from, that that
2 is the best choice.

3 And we would put our product up against
4 anybody when it comes to the meat case, as long as
5 labeling was correct.

6 We also understand and know that a lot of
7 the lean trim has to be co-mingled. But as those
8 products if they are co-mingled and they're labeled
9 with the product of all the countries that they're
10 co-mingled with, then I think that's fair to the
11 consumer, and also fair to the producer. Because
12 we know that has to happen.

13 So I think again, we believe in our
14 product, and we believe that we would stand tall
15 in the market place, and that we can be very
16 competitive, even if it is at a slightly higher price
17 point, to be all U.S. beef.

18 MR. OLIVER: Thank you, and the next
19 question will come from Ms. Anderson.

20 MS. ANDERSON: Thank you. This question
21 is for Ms. Downing. Your organization submission
22 raised concerns with a VAT, as did your statement
23 here today.

24 Could you please provide further details
25 on how this tax treatment is impacting your members

1 specifically, and their member sales to Mexican
2 customers, and what this could mean for the future
3 of rendered products in Mexico?

4 MS. DOWNING: We currently have about 88
5 rendering plants that are approved for export to
6 Mexico.

7 Actually, not all of them are rendering
8 plants, some are transloaders, some are gel bone
9 facilities. But 88 of our plants are approved to
10 export to Mexico.

11 So when you think of the large packers like
12 Tyson, Cargill, JBS, they're either directly
13 exporting to Mexico themselves, or they're using
14 a trader like the Scoular Company, who is
15 represented here today.

16 Scoular is literally buys from almost
17 everyone, and they're exporting that. They're also
18 on the other side of the transaction as the importer
19 of record in Mexico.

20 And so, they're receiving these demand
21 letters from the state tax authority in Mexico.
22 And it's a significant amount of money.

23 I did say during my testimony that we
24 estimate the total exposure to be \$80 to \$100 million
25 dollars because of this retroactivity of the VAT

1 going back, some of these demand letters going back
2 as many as 5 years.

3 We were on the Hill earlier today and I
4 was visiting with some staff and I explained, and
5 a great analogy is if you got non-profit status 2
6 years ago, and then the IRS came and said just
7 kidding, we're going to take your non-profit status
8 back and guess what, you're going to owe taxes on
9 those 2 years that you thought you had non-profit
10 status, it would never work.

11 And so, these are some huge demand letters
12 and it's threatening to put our Mexican customers
13 out of business.

14 We've already had some that have told our
15 U.S. exporters that come the beginning of the year,
16 they're no longer going to be able to import from
17 the U.S.

18 We basically have 100 percent market share
19 there now because of our geographic position, and
20 competitiveness.

21 With a 16 percent added essentially de
22 facto tariff, that starts to put product from Brazil
23 is going to price in and be able to take over market
24 share from us.

25 And, we just simply ask that the government

1 intervene and make sure that this VAT exemption is
2 restored.

3 MR. OLIVER: Thank you for your response.
4 And the final question will come again from Mr.
5 Watson.

6 CHAIR WATSON: Yes, and this is for Ms.
7 Rockwell. In your submission, you talked about
8 duty-free access under the USMCA as enabling
9 long-term supply chain integration in North
10 America.

11 Can you say more about how U.S. almonds
12 have benefitted from that integration?

13 MS. ROCKWELL: Absolutely. At the end of
14 the day, USMCA has been an absolute win for almonds.

15 Our growth rate basically within Canada
16 since 2003 when we first received the zero duty
17 status, was over 500 percent the growth rate, just
18 in Canada.

19 In Mexico, it was over 800 percent growth
20 rate since 2003. So undeniably, this has been
21 enormous for almonds.

22 And keeping that integration is an extreme
23 value to all of our growers. In addition, we've
24 been experiencing as an industry, some significant
25 declines in domestic consumption.

1 Shipments have been down about 7 percent
2 and so for us especially as a brand, we really need
3 the Canadian market and the Mexican market, to help
4 support us in times when we're having a decline like
5 we're seeing right now in the domestic market.

6 So it really is important. We appreciate
7 all the work that you all are doing, and especially
8 during this upcoming review in June. So, thank you
9 for your work.

10 MR. OLIVER: And thank you all for sharing
11 your testimony for your responsiveness to the
12 question, and for your time joining us today. We
13 really appreciate it.

14 And with that, this panel is concluded;
15 I will release you all. If you could all please
16 grab your placards and please put them on the table
17 here to the right.

18 And with that, I'm able to say of the second
19 time today we're ahead of schedule so we will pause
20 for about a 20 minute break and return at 3:30.

21 For those of you participating in Panel
22 number 8, we ask that you be here a little bit before
23 3:30 so that you can go ahead and take your seat,
24 and please bring your placards with you and set them
25 in the order that they're currently seated.

1 Thank you everybody.

2 (Whereupon, the above-entitled matter
3 went off the record at 3:08 p.m. and resumed at 3:30
4 p.m.)

5 MR. OLIVER: Welcome back from the break.
6 Welcome to some of you for the first time. Welcome
7 back to others.

8 A couple housekeeping notes just before
9 we get started, just as your resident broken record.

10 Please make sure to keep the mikes close
11 to you.

12 Remarks are limited to five minutes.

13 When we get to the question period, one
14 question per person, with the response limited to
15 a two-minute response.

16 There will be sort of a light up right there
17 in front of you and around, around the room. It
18 will turn yellow when you have one minute left, both
19 for your remarks and the question. And it will
20 blink red when you're out of time.

21 So, we appreciate it.

22 And with that, we will convene Panel No.
23 8. Thank you all for already being seated.

24 For those that are in panels 9, 10, or 11,
25 I think we already have the seats reserved for you

1 up here. So, just look for your name and, as you
2 come in, go ahead and take those seats so that once
3 we get to your panel we can just jump right from
4 there over to here.

5 So, really appreciate it.

6 And with that, we'll start with the order
7 that we have right here with Ms. Morris, and go from
8 there.

9 MS. MORRIS: All right. Good afternoon.

10 I'm Shawna Morris, Executive Vice President for
11 Trade Policy and Global Affairs for the National
12 Milk Producers Federation and the U.S. Dairy Export
13 Council.

14 Thank you for the opportunity to share our
15 priorities for the 2026 USMCA review.

16 USMCA is a critical agreement for the U.S.
17 dairy community. The U.S. dairy industry strongly
18 supports USMCA, particularly because of the
19 U.S.-Mexico agricultural trade flows it supports
20 and the improvements it was designed to delivery
21 in dairy trade with Canada.

22 It's vital that the Administration
23 maximize use of the review to make targeted
24 improvements to USMCA so that the agreement's
25 anticipated dairy benefits are finally fully

1 achieved.

2 Mexico has long been our top export market,
3 accounting for over a quarter of total U.S. dairy
4 exports last year. The USMCA has laid the
5 groundwork for continuing that success. The U.S.
6 and Mexican dairy industries have worked very
7 closely for decades to grow total dairy consumption
8 in Mexico to the benefit of both industries.

9 The review should ensure that we can
10 maintain that positive, free-flowing dynamic with
11 Mexico. A key part of that is Mexico's
12 implementation of commitments on geographical
13 indications and common food names. We urge USTR
14 to ensure clear and definitive implementation by
15 Mexico of its USMCA GI and common name commitments,
16 and preservation of access for dairy terms
17 previously used in this important partner market.

18 In many cases it is U.S. producers who
19 created specific markets in Mexico for these
20 cheeses. Mexico's policies should not be permitted
21 to upend those sales.

22 We also urge the Administration to work
23 with Mexico to ensure that no future regulatory
24 issues create impediments to trade.

25 As part of that, it's critical to closely

1 monitor changes in Mexican dairy production
2 standards, and other regulatory and customs
3 requirements to guard against any attempt by Mexico,
4 including actions by its congress, to create
5 barriers to trade by imposing cumbersome
6 requirements for imported products.

7 In contrast to Mexico, Canada has always
8 been a particularly challenging dairy trading
9 partner. Regrettably, Canada has a long history
10 of working to identify and exploit loopholes in its
11 dairy trade commitments, rather than abiding by them
12 in good faith.

13 Throughout USMCA negotiations with Canada
14 the U.S. sought to address two persistent issues:

15 First, the need to expand U.S. access to
16 the tightly-limited Canadian dairy market, and;

17 Second, the offloading of artificially low
18 priced Canadian dairy proteins onto the global
19 market in ways that undercut commercially priced
20 U.S. products.

21 Unfortunately, Canada's implementation in
22 both areas has fallen short, resulting in an
23 impairment of USMCA's intended benefits to American
24 dairy farmers and manufacturers.

25 On the first front, USMCA created several

1 new TRQs for U.S. dairy exports. And that access
2 has resulted in some increased exports but not the
3 full measure the USMCA allows for.

4 This shortfall in access as seen in the
5 TRQ fill rate, as low as 3 to 12 percent, is driven
6 by Canada's decision to where the vast majority of
7 the TRQ access may be in dairy processors rather
8 than allowing others, such as retailers,
9 restaurants, importers, and distributors fair
10 access to the TRQs.

11 And the result is that U.S. exporters have
12 been cheated out of access USMCA should have
13 delivered.

14 To combat this, reforms to Canada's USMCA
15 dairy TRQ system must be secured in the upcoming
16 review so that U.S. dairy exporters can maximize
17 opportunities the negotiators sought out to create.

18 In addition to harming U.S. exports to
19 Canada, Canada has also been continuing to impact
20 U.S. dairy sales to other markets by exporting
21 growing quantities of nonfat milk solids. U.S.
22 negotiators sought to curb this problem with reforms
23 to Canada's Class 7 milk pricing policy, and
24 limitations on Canadian dairy exports benefitting
25 from that policy.

1 Rather than right-sizing its milk
2 production and industry in the wake of USMCA, Canada
3 has instead chosen to shift its dairy protein
4 production into new product categories
5 intentionally designed to evade USMCA dairy
6 discipline. These products benefit from ample
7 government subsidies, and impact the commercial
8 markets U.S. producers rely upon.

9 In the upcoming USMCA review we urge the
10 Administration to address Canada's growing
11 artificially low priced dairy protein exports and
12 its blatant attempts to circumvent USMCA's previous
13 efforts to limit this process.

14 We urge USTR to ensure that the review
15 addresses these targeted implementation problems
16 with Mexico and Canada to create an even stronger
17 agreement that will be up to the task of facilitating
18 U.S.-Canadian -- U.S.-Mexico-Canadian trade for
19 years to come.

20 Thank you.

21 MR. OLIVER: Thank you for your testimony.
22 We'll move to the next witness.

23 MS. RASDALL VARGAS: Good afternoon. My
24 name is Becky Rasdall Vargas and I am the Senior
25 Vice President for Trade and Workforce Policy at

1 the International Dairy Foods Association.

2 IDFA represents the U.S. dairy
3 manufacturing and marketing industry, which
4 supports more than three million jobs that generate
5 \$780 billion in economic impact. IDFA member
6 companies make the majority of milk, cheese, ice
7 cream, yogurt, and dairy ingredients produced in
8 the United States and sold throughout the world.

9 On behalf of U.S. dairy processors, IDFA
10 appreciates the opportunity to testify on USMCA.

11 And today we urge USTR to pursue a review that
12 encompasses three key outcomes:

13 To preserve the positive elements of
14 USMCA;

15 To build on the agreement's progress, and;
16 Importantly, to rectify longstanding
17 violations and operational challenges.

18 Taking these outcomes in order, I'd like
19 to focus first on preserving USMCA's positive
20 elements.

21 While dairy is commonly known for having
22 some of the most renowned trade barriers in USMCA,
23 there are also many benefits to U.S. dairy exporters
24 and, indeed, across U.S. agriculture contained
25 within the agreement.

1 Mexico and Canada are the two largest
2 markets for U.S. dairy outside of the United States,
3 and account for 44 percent of all U.S. dairy exports,
4 which is about \$3.6 billion annually. It seems that
5 Canada and Mexico are outlets for nearly half of
6 all U.S. dairy exports. And these trading partners
7 support an integrated cross-border supply chain for
8 many U.S. companies.

9 Therefore, the importance of USMCA cannot
10 be understated. It is critical to maintain some
11 form of preferential trade agreement between the
12 United States, Canada, and Mexico.

13 Not only that, but specific elements of
14 USMCA set new gold standards for U.S. trade
15 agreements, one example of which is the sanitary
16 and phytosanitary measures chapter. These
17 provisions are particularly important to maintain
18 in an era where science-based regulation and risk
19 assessments are being eroded in international
20 trade.

21 There are many other examples of the
22 benefits of this agreement for which time does not
23 permit. But for today IDFA and our members urge
24 you to work towards a USMCA review outcome that
25 preserves these many benefits while driving towards

1 the future.

2 Regarding additional progress we believe
3 can be built upon with this agreement, there are
4 many new issues that have arisen since the time of
5 negotiation.

6 For instance, we believe certain work uses
7 agreed upon with Mexico could be reviewed and
8 improved upon to modernize them for today's needs
9 in agriculture.

10 We also wonder whether the parties benefit
11 from cooperation on restoring certain industrial
12 manufacturing to this continent, or on the impact
13 of non-market -- cooperation of non-market
14 economies in global trade.

15 However, these improvements require a
16 constructive and active agreement in place to
17 effectively consider them. We, therefore, urge
18 negotiators to build on the significant progress
19 of USMCA and to enhance it by focusing on future
20 U.S. needs.

21 Finally, and perhaps most importantly,
22 this USMCA review must correct the violations of
23 the agreement and the implementation challenges
24 that U.S. dairy has encountered within it. For U.S.
25 dairy these challenges center on Canada's dairy

1 policy, as you just heard.

2 Canada's dairy tariff rate quota policies
3 actually limit U.S. dairy exporter access to the
4 Canadian market instead of improving it, as was
5 intended. Canada achieves this by, among other
6 methods, allocating the majority of its available
7 quota to Canadian processors who may or may not use
8 the quota to meet their own needs.

9 This policy has resulted in approximately
10 only 30 percent of available Canadian dairy TRQs
11 actually being used at all, and even less of it being
12 used by U.S. dairy exporters, despite many U.S.
13 companies wanting to ship more.

14 Canada's implementation of its USMCA dairy
15 pricing commitments is also a major concern for U.S.
16 dairy.

17 In 2020, before USMCA even entered into
18 force, Canada was already working to evade its
19 pricing transparency commitment. It has also
20 worked to ensure the dairy pricing formula has not
21 operated effectively, while simultaneously evading
22 its export threshold commitments on dairy protein.

23 And all of these actions create
24 opportunities for Canadian milk proteins to
25 undercut global protein prices.

1 While there are many possible solutions
2 to overcome these challenges during the review, most
3 important for this hearing is a recognition that
4 USMCA must not be renewed without correcting these
5 concerns. Addressing these challenges will
6 require diligent and creative negotiations. And
7 we fully recognize the difficulty U.S. negotiators
8 will face in meeting IDFA's objectives.

9 We commend negotiators for considering all
10 possible options. And we fully commit to engaging
11 as a constructive and collaborative partner
12 throughout the process.

13 We look forward to supporting you in
14 developing a renewed, modernized, and corrected
15 USMCA that can serve as a reliable tool for
16 exporters, and that opens the door for new and
17 improved trading relationships between the parties.

18 Thank you again for the opportunity to be
19 here. And I look forward to answering your
20 questions.

21 MR. OLIVER: Thank you for your testimony.
22 We'll move to the next witness.

23 MR. MAXWELL: The U.S. is losing 57 cattle
24 producers a day. And mandatory country of origin
25 labeling would help end the slide of the demise of

1 America's cattle producers.

2 Good afternoon. My name is Joe Maxwell
3 and I serve as the co-founder and Chief Strategy
4 Officer of Farm Action, a national farmer-led
5 organization working to stop corporate monopolies,
6 restore fair competition, and rebuild rural
7 America.

8 I appreciate the opportunity to testify
9 here, and appreciate the job that you all do

10 I wanted to make one point as clearly as
11 possible today:

12 Reinstating mandatory country of origin
13 labeling for beef and pork must be a top U.S.
14 priority in 2026 USMCA joint review.

15 We provide a detailed written comment but
16 today I want to emphasize why this is urgent
17 regarding our food security, the survival of
18 independent ranchers, and the long-term stability
19 of North America's beef supply.

20 The U.S. cattle herd is in crisis. USDA
21 reports that the U.S. beef cow herd has fallen to
22 its smallest level is almost -- in over 70 years.

23 Ranchers tell us the same thing across the country.

24 They cannot justify rebuilding their herds because
25 the market does not reward U.S. origin.

1 Tyson just closed a plant in Lexington,
2 Nebraska, and is scaling back a beef plant in
3 Amarillo, Texas. These moves impact 4,900 jobs.

4 At the same time, beef imports are rising
5 to record levels, over 4.5 billion pounds last year.

6 But at the retail meat case that imported product
7 is indistinguishable from U.S.-raised beef.

8 That combination, a shrinking domestic
9 herd and rising imports, is a dangerous trajectory
10 for America's food security and rural economy. The
11 United States should not be increasingly dependent
12 on foreign beef while our own herd declines with
13 historic lows.

14 MCOOL is essential for rebuilding the U.S.
15 cattle herd. Reinstating MCOOL would give ranchers
16 the most important thing they lack today: a
17 reliable, enforceable market signal that
18 U.S.-raised beef will be recognized and rewarded.

19 Reinstating COOL would allow consumers to
20 choose U.S.-raised beef and ensure that choice
21 benefits U.S. ranchers; give producers the
22 confidence to reinvest in multi-year herd
23 expansion; strengthen rural economies by keeping
24 food dollars local; and build a more resilient
25 domestic supply capable of withstanding global

1 shocks.

2 Canada and Mexico benefit when the U.S.
3 herd stays small. With no MCOOL in place, their
4 livestock and beef enter our market without
5 differentiation. We respect our trading partners,
6 but the U.S. must ensure its producers are not
7 disadvantaged and driven from the land in their own
8 home market.

9 The USMCA joint review is the correct
10 avenue, the correct venue for this. Two of the
11 parties at the table, Canada and Mexico, are the
12 two countries that brought the WTO complaint that
13 threatened the U.S., forcing Congress to repeal
14 MCOOL for beef import in 2015.

15 The WTO never ruled against the principle
16 of origin labeling, only the U.S. implementation.

17 A negotiated, non-discriminatory MCOOL framework
18 is fully possible.

19 The joint review offers the clearest path
20 to finally resolving this issue with Canada and
21 Mexico. Poll after poll shows 80 to 90 percent of
22 Americans want mandatory country of origin
23 labeling. USDA's recent voluntary product of the
24 USA fix was an important step that only mandatory
25 labeling guarantees universal transparency.

1 I appreciated the question in the previous
2 panel on that issue.

3 Let me close with this:

4 The United States cannot afford a cattle
5 industry at its smallest level in 70 years;

6 We cannot afford a food supply where
7 foreign beef fills the gap while American ranchers
8 go out of business;

9 And we cannot afford a trade policy that
10 denies our own producers' ability to stand behind
11 the name product of the United States.

12 MCOOL is not optional, it's essential.
13 It is essential for rebuilding the herd, restoring
14 fairness, and protecting our food security. The
15 USMCA joint review is your moment to fix it.
16 Farmers and consumers are counting on USTR to stand
17 up, lead boldly, and delivery mandatory country of
18 origin labeling once and for all.

19 I thank you for your -- thank you for
20 allowing us to be here. We mostly appreciate all
21 the work that's ahead of you all as you go into the
22 review in July.

23 MR. OLIVER: Thank you for your testimony.
24 And we'll move to the next witness.

25 MS. LOVERA: Hi. My name is Patty Lovera.

1 I'm a Policy Advisor for a coalition called the
2 Campaign for Family Farms and the Environment.

3 And the members of CFFE are state-based
4 and national advocacy organizations that work
5 together to change policies that are promoting
6 consolidation in animal agriculture.

7 So, as you are reviewing and getting ready
8 to negotiate on an updated USMCA, we have a couple
9 of key priorities that we think are just essential
10 to have a chance of improvement in the animal
11 agriculture sector, which is already suffering from
12 extreme consolidation.

13 The first is transparency labeling.

14 After years of demand from producers and
15 consumers, in 2008 Congress passed a farm bill that
16 required mandatory country of origin labeling for
17 a list of foods, including meat, sold at grocery
18 stores. But in 2015, Congress repealed mandatory
19 labeling for beef and pork after the World Trade
20 Organization ruled against the U.S. in a challenge
21 to U.S. labeling regulations for meat that was
22 brought by Canada and Mexico.

23 After failing to block mandatory COOL in
24 Congress when the law was first passed, and failing
25 to block the rules for labeling in the U.S. courts,

1 multinational meat packers had to turn to foreign
2 trade tribunals to find a way to attack U.S. labeling
3 rules that provided consumers with basic
4 information about the food they buy.

5 This WTO decision is regarded as an example
6 of how the WTO appellate body improperly interpreted
7 WTO agreements, failed to follow WTO rules, and
8 undermined U.S. sovereignty. Yet, U.S. farmers and
9 consumers still have to live with the consequences
10 of this bad decision which created the opportunity
11 for the industry to pressure Congress to repeal the
12 law.

13 The case against the U.S.'s mandatory COOL
14 requirements for meat was brought by two of our
15 closest trading partners, Canada and Mexico. And
16 both Canada and Mexico have been on the other end
17 of trade challenges to their policies on things like
18 subsidies, tariff rates, or import restrictions on
19 a long list of goods.

20 So, the U.S. should have negotiated with
21 Canada and Mexico about this overall list of trade
22 disputes rather than repealing this U.S. law. So,
23 the review of the USMCA provides a long-overdue
24 opportunity to finally start this negotiation.

25 I think it's really important to point out,

1 based on your previous witnesses and the question
2 that was asked in the last panel, that U.S. livestock
3 producers operate in a market that is dominated by
4 a handful of very large companies. They call the
5 shots about not just pricing but the conditions at
6 which these animals become a retail product that
7 consumers see.

8 So, while we appreciate USDA's involvement
9 in providing a framework for a voluntary label, it
10 is not sufficient because the decision-makers on
11 whether that label will appear have no incentive
12 to provide it because they are the same
13 decision-makers who are using foreign sources of
14 both meat and animals to manipulate the prices paid
15 to U.S. producers.

16 So, voluntary has not worked for our
17 members. This is why they are so adamant about
18 bringing mandatory country of origin labeling back.

19 So, specifically, we think that the review
20 of the USMCA should include the development of a
21 Peace Clause on transparency in food labels that's,
22 that is part of the Technical Barriers to Trade
23 Chapter. We want to do this to create an opening
24 for the countries to proceed with improvements to
25 their domestic labeling requirements in all of the

1 countries so that they can have country of origin
2 labeling and improved nutrition labeling in all of
3 the countries that are party to this agreement.

4 So, once a Peace Clause is established and
5 domestic rules for food labeling are developed,
6 countries should negotiate a way for there to be
7 a permanent carve-out for these rules related to
8 labeling because transparency is that basic for a
9 functional marketplace, and for consumers and
10 producer in all -- producers in all three countries.

11 And then the other point we would like to
12 make is just you need the renegotiation and review
13 of the USMCA to respect all three countries'
14 domestic policies that they have developed in their
15 own political system to address a long-running
16 problem in agriculture, which is overproduction.

17 So, the farm economy has long been plagued
18 with overproduction that drives the price paid to
19 farmers down, and eventually drives many producers
20 out of business. In the U.S., Congress has failed
21 for many decades to deal directly with this problem,
22 and kind of accepts that farmers will have a lot
23 of years where prices they get paid are lower than
24 their costs of production. And then we try to fill
25 in those gaps with various programs that are never

1 quite sufficient and never address the core problem.

2 So, we've seen agribusiness lobby against
3 U.S. policies we used to have to try to attempt to
4 deal with that overproduction. And now we are
5 seeing them use trade policy to attack other
6 countries' programs that they still have and
7 maintain because they are satisfied with them to
8 deal with overproduction, including dairy supply
9 management in Canada.

10 So, if we expect our trade partners not
11 to dump underpriced commodities into our market,
12 we need to respect other countries' mechanisms they
13 use to manage their own supply.

14 So, we urge the U.S. to stop the attacks
15 on the Canadian dairy supply management program,
16 and stop using this trade -- stop using our trade
17 partners as a way to deal with our oversupply.

18 Thank you.

19 MR. OLIVER: Thank you for your testimony.

20 We'll move to the next witness, Mr. Murray.

21 MR. MURRAY: Thank you.

22 Thank you for his opportunity. I'm Bill
23 Murray, President and CEO of the National Coffee
24 Association in the U.S., which represents companies
25 operating across all segments of the U.S. coffee

1 industry and every U.S. State and territory.

2 The coffee industry adds more than 343
3 billion to the U.S. economy every year, and provides
4 more than 2.2 million jobs.

5 We have a robust cross-border trade in all
6 forms of coffee with Canada and Mexico, which has
7 resulted in a strong, flexible supply chain that
8 supports the coffee sector's total value add to the
9 U.S. economy, helps provide 73 percent of Americans
10 with their much-demanded coffee.

11 The U.S. coffee industry primarily focuses
12 on coffee manufacturing and processing, since
13 coffee is essentially an available natural resource
14 that can only be grown domestically in very small
15 amounts in Hawaii and Puerto Rico.

16 In 2024, Mexico and Canada were the fourth
17 and fifth largest exporters of coffee to the U.S.,
18 accounting for \$743 million and \$583 million
19 respectively. Canada and Mexico were also two of
20 the top export destinations for U.S. processed
21 coffee, primarily due to geography and our
22 interconnected supply chains, with nearly \$864
23 million worth of coffee exported to Canada, and more
24 than \$67 million exported to Mexico last year.

25 Historically, all coffee imports have

1 entered the U.S. duty-free, regardless of quality
2 conditions or origin requirements under U.S. trade
3 agreements, including the USMCA. However, tariffs
4 imposed on Mexico and Canada this year have included
5 coffee unless it qualifies as being of USMCA origin.

6 This is introducing costs and instability in the
7 supply chain

8 We encourage you, respectfully, to ensure
9 that tariffs on all U.S. coffee exports to Canada
10 and Mexico, and U.S. imports from these countries
11 are zero under USMCA.

12 We request revising in the USMCA rules of
13 origin requirements for coffee to allow coffee
14 roasted or processed in any USMCA country to qualify
15 as a good originating in a territory or USMCA
16 country.

17 Practically speaking, our rules of origin
18 only allow green or unroasted coffee grown in
19 Mexico, and instant coffee, to qualify for this
20 duty-free eligibility. A small quantity of coffee
21 grown in Hawaii and Puerto Rico also qualify, but
22 it's not of significant commercial value. All
23 other coffee, including coffee roasted or processed
24 but not grown in any of the three USMCA countries
25 is not eligible for duty-free treatment under USMCA.

1 This significantly limits U.S.
2 competitiveness, and exports of coffee,
3 particularly U.S. exports to Mexico, the majority
4 of U.S. processed coffee exports are subject to a
5 45 percent Mexican tariff since they do not qualify
6 for USMCA duty-free treatment.

7 In 2024, Mexico was the third largest
8 market for U.S. coffee exports, with U.S. companies
9 exporting more than \$67 million worth of coffee to
10 Mexico. In order to export more, the USMCA rules
11 of origin must be changed to allow all coffee roasted
12 in the U.S. to qualify as a USMCA good and receive
13 this duty-free treatment across all three
14 countries.

15 Revising the rules of origin to allow all
16 coffee processed in any of the USMCA countries to
17 qualify as a good of USMCA origin would also allow
18 the free movement and critical inputs to the U.S.
19 economy from Canada with whom the U.S. maintains
20 a trade surplus in coffee products.

21 Every one dollar of coffee imported to the
22 U.S. on a global basis is associated with \$43 in
23 U.S. economic value.

24 In conclusion, we urge the USMCA partner
25 countries to ensure that tariffs on all coffee

1 imports from and all coffee exports to Mexico and
2 Canada are zero, and revise the USMCA's rules of
3 origin to allow all coffee roasted and processed
4 in USMCA countries to qualify for USMCA origin,
5 which would level the playing field and increase
6 U.S. exports.

7 Thank you. And I'm happy to answer any
8 questions you may have.

9 MR. OLIVER: Thank you for your testimony.
10 We'll move to the next witness.

11 MS. NGUYEN: Good afternoon and thank you
12 for the opportunity to testify.

13 My name is Amanda Nguyen. I'm the
14 President and CEO of the American Distilled Spirits
15 Alliance.

16 The Alliance represents companies that
17 account for more than 60 percent of spirits sold
18 in the United States. Our members maintain
19 manufacturing and distribution operations in more
20 than 30 states, contributing to local economies and
21 the strength of the national supply chain.

22 I'm pleased to appear today in support of
23 the United States-Mexico-Canada Agreement as it
24 relates to distilled spirits.

25 President Trump's successful negotiation

1 of the USMCA in 2018 was a significant achievement,
2 which is why the distilled spirits sector supported
3 USMCA from its inception.

4 Although the only representative from
5 beverage alcohol on this panel, our interests are
6 deeply aligned with agricultural interests.
7 Distilled spirits production begins with grain.
8 And our industry is a longstanding reliable customer
9 for American farmers across the country.

10 In 2022 alone, U.S. distillers used 2.73
11 billion pounds of grain. And for some
12 quintessentially American products nearly all of
13 that grain is sourced from local farmers. And USMCA
14 has delivered stability for our industry

15 For distilled spirits the agreement
16 ensures nondiscriminatory market access,
17 protective distinctive -- protects distinctive
18 product designations, and maintains clear,
19 enforceable origin rules. These pillars benefits
20 farmers, manufacturers, supply chain partners, and
21 consumers in all three countries.

22 One of the strengths of USMCA is the set
23 of provisions in Annex 3(c) that apply specifically
24 to distilled spirits, wine, beer, and other
25 alcoholic beverages. These provisions require the

1 United States, Mexico, and Canada to provide equal
2 treatment in the distribution and sale of each
3 others products.

4 This matters because our members rely on
5 predictable access to Mexican and Canadian
6 consumers, just as producers in this countries rely
7 on America.

8 The agreement also safeguards distinctive
9 product designations. Under USMCA, American rye
10 whiskey, bourbon, and Tennessee whiskey must be
11 recognized by Mexico and Canada as uniquely American
12 and produced according to U.S. law. In return, the
13 United States recognizes tequila and mezcal from
14 Mr. Escobar, as well as Canadian whisky from Canada.

15 These geographic distinctions are of the
16 utmost importance to the distilled spirits industry
17 and are necessary to maintain quality, character,
18 and authenticity, particularly for our iconic
19 American products. Because these products must be
20 produced within specific geographic regions, many
21 U.S. distilled spirits companies own and operate
22 or partner with facilities in Mexico and Canada.

23 The profits associated with production and
24 sales of these products thus directly contributes
25 to growth in the U.S. and its manufacturing base.

1 This also spurs job creation and manufacturing
2 expansion in the U.S.

3 The economic contribution is substantial.

4 North American spirits provide about a quarter
5 million jobs across hospitality, retail,
6 distribution, and manufacturing. We generate
7 billions in annual revenue for bars and restaurants.

8 And we contribute significantly to federal, state,
9 and local tax revenue.

10 ADSA supports ensuring that the USMCA
11 continues to benefit U.S. manufacturers and workers
12 and their Mexican and Canadian counterparts. While
13 maintaining strong implementation and enforcement
14 is essential, the distilled spirits are among the
15 categories where rules of origin are clear and
16 verifiable. And this helps to ensure that the
17 non-originating products do not undermine benefits
18 of the agreement.

19 And while I also want to acknowledge that
20 each piece of the USMCA has areas that may require
21 improvement or clarification, for distilled spirits
22 the framework works well. It provides stable
23 market access, protects North American products,
24 and reinforces a supply chain that ties together
25 farmers, distillers, distributors, retailers, and

1 hospitality workers.

2 So, our request today is simple:

3 As the Administration assesses the
4 performance of USMCA and considers the future
5 improvements, we urge you to reaffirm the
6 agreement's distinctive product protections and
7 non-discriminatory treatment of those provisions.

8 These commitments have served all three
9 countries well, and continue to deliver mutually
10 beneficial trade that supports jobs and promotes
11 investment.

12 USMCA is a success story for our spirits.

13 Continued support for these provisions will ensure
14 that America, that the American agreement remains
15 a platform for growth, certainty, and collaboration
16 across North America.

17 Thank you for your consideration. And I'm
18 pleased to answer any questions.

19 MR. OLIVER: Thank you all for sharing your
20 testimonies. We greatly appreciate it.

21 We'll now turn to the panel of U.S.
22 Government officials over here on the dais. And
23 just as a reminder, each witness will receive one
24 questions and your response will be limited to two
25 minutes.

1 As one side note, there will be a couple
2 of the questions that are directed to two of you
3 at the same time. Each of the witnesses will still
4 be granted an individual two-minute response.

5 And with that, we will begin with Mr.
6 Watson.

7 CHAIR WATSON: Thank you. And thank you
8 all for your testimony.

9 The question is for two of you, for Ms.
10 Morris and Ms. Rasdall Vargas.

11 So, you both talked about your concerns
12 with regard to access to Canada's dairy market, and
13 also with Canada's exports. Can you tell us a
14 little bit more about what actions you would
15 recommend that the U.S. Government take to address
16 those concerns?

17 MS. MORRIS: Sure. Thank you for that.
18 I appreciate it.

19 I think in our view one of the most
20 important areas is reforming the process that Canada
21 uses for actually administering this.

22 As I think we both touched on, one of the
23 key issues with that is the formula used for who
24 has access to it. Many parts of the Canadian food
25 and ag supply chain are cut out entirely or

1 dramatically limited in ways that have been designed
2 to depress uptake of it.

3 Other elements should also be looked at,
4 though, such as return penalties and the process
5 for distributing TRQs throughout the year, to ensure
6 that the incentives are properly aligned with
7 actually trying to fill the rates.

8 We also think it's important as the review
9 moves forward to be looking at the fact that there
10 has been a shortfall here the last few years because
11 of Canada's policies, and determine how that might
12 be able to be addressed looking forward.

13 Thank you.

14 MS. RASDALL VARGAS: So, I think there's
15 a lot of ways you could address those. You know,
16 if you are going to work within the current framework
17 on TRQ administration, at least you could require
18 Canada to, at a minimum, publish transparently who
19 is getting how much quota.

20 You could change who is eligible to receive
21 quota.

22 You could address their activity
23 requirements.

24 I mean, these are all things we've
25 certainly discussed that is operable. And,

1 frankly, these are things the United States does
2 for its tariff quota administration.

3 But I also sincerely question why we should
4 play within the current framework of the current
5 test at all, given the fact that we've had two
6 disputes and Canada has done very little to address
7 U.S. concerns meaningfully. In fact, what Canada
8 has done is to change their policies in a manner
9 that made the problem worse, no better.

10 So, you know, it is our access to Canada,
11 not Canada's access to control. And I, frankly,
12 would love to see a more ambitious approach that
13 wholesale examines the current administration text
14 and considers the problem from a different
15 perspective.

16 Was your question related to pricing as
17 well?

18 CHAIR WATSON: Actually, it's anything that
19 you think would be a government action that we could
20 take to address these concerns.

21 MS. RASDALL VARGAS: I think, similarly,
22 on pricing Canada has a core problem across the board
23 with transparency.

24 Their actions to fundamentally rewrite
25 their entire cost price system before USMCA could

1 be entered into force was precisely so that they
2 didn't have to consult with the United States on
3 it. There's records that indicate that was the
4 case.

5 Therefore, the formula that was negotiated
6 very carefully is completely obsolete. It also
7 binds U.S. dry milk to a set of products that isn't
8 actually dry milk, or skim milk powder, or however
9 else you want to clarify it.

10 So, there's a lot that's happened in the
11 past four or five years that could be used to update
12 that text as well. And, again, approach it from
13 a fresh perspective.

14 MR. OLIVER: Thank you both for your
15 responses.

16 The next question will come from Dr.
17 Callahan.

18 MS. CALLAHAN: Thank you. And this
19 question also is for two panelists, for Mr. Maxwell
20 and for Ms. Lovera.

21 Your remarks have both called for the
22 reinstatement of mandatory country of origin
23 labeling. And we would appreciate your getting
24 into a bit more detail on how does the lack of MCOOL
25 harm U.S. ranchers?

1 And, also, if you could provide a bit more
2 context on how does the updated USDA product of USA
3 rule not meet your expectations in terms of the
4 ability to allow for U.S. ranchers that can meet
5 the born, raised, and slaughtered requirement from
6 differentiating their products in the U.S. market?

7 Thank you.

8 MR. MAXWELL: Thank you very much for the
9 question.

10 I think the question goes to really the
11 heart of the matter: first, how does it benefit,
12 and then why doesn't what currently has been done
13 resolve the issue?

14 Currently both questions go to a starting
15 point that's the same. The current cattle market
16 is controlled by four major companies. They
17 control 80 percent of the U.S. cattle market.

18 So, it's not in their, they, their best
19 interests very well may be to import more cattle
20 or beef from Canada and Mexico, or Brazil, or
21 Uruguay, or Australia, than it is to care about
22 whether or not the domestic herd and the producer
23 benefits.

24 The U.S. consumers want to know if I buy,
25 if I buy a beef jerky stick for my pup, it has to

1 tell us what country it comes from. But if I buy
2 this beef in a case as a consumer, it doesn't.

3 The consumer wants to know where products
4 come from. They will be the judge as to the quality,
5 or what that means, or whether they're supporting
6 the U.S. So, that is a known market.

7 It bypasses -- having a mandatory country
8 of origin labeling bypasses the stranglehold that
9 four companies have because it allows the
10 independent farmer or producer, cattle producer,
11 to engage the market through that consolidated
12 stranglehold.

13 Why doesn't -- in my last seconds -- the
14 product of USD -- the product of U.S.A., I wrote
15 the first complaint to USDA on. The reason it
16 doesn't work is because four companies control the
17 market and they'd rather import beef than mark, mark
18 it product of the U.S.

19 MS. LOVERA: Just to add to that, I would
20 make a lot of the same, a lot of the same points.

21 To the voluntary piece first, your second
22 question first, we were pleased to see that the
23 definition that will soon be the binding definition,
24 if you choose to do the labeling, will be more
25 accurate.

1 It's been a real irritant to U.S. producers
2 for a very long time that the definition was so weak.

3 So, it is absolutely progress. We're not giving
4 that back.

5 But the key word is voluntary. And that
6 it doesn't, it doesn't trigger the labeling
7 automatically. It's somebody in the position of
8 retailing, marketing, and processing that product
9 gets to decide if the label is on there, not the
10 producer of the animal.

11 So, that's why we're so hung up on
12 mandatory is because we had this moment. It took
13 a long time. It's been a generation of advocacy
14 from U.S. livestock producers to get country of
15 origin labeling. We had it for a very brief moment.

16 They, our members, say they saw results in their
17 bottom line during the period where we had it in
18 effect before 2015 when Congress took it away.

19 So, it just has never -- just doesn't sit
20 right with our members that they had it, they saw
21 it. They saw it fixed some problems in a very broken
22 marketplace, in their opinion, and then it was taken
23 away. And you just get a shrug about, well, trade
24 policy doesn't let us have nice things like
25 mandatory labels. Like, that's not acceptable to

1 our members.

2 And so, economically I would say the lack
3 of labeling most livestock producers in this country
4 do not have the options they wish they had to market
5 their animals. They do not have enough buyers to
6 create a competitive marketplace where they can get
7 the price they need. And it's getting worse, not
8 better.

9 We just had stuff in the news last week
10 about big plants shutting down. And so, without
11 -- and those, those companies, like, there's a
12 tremendous amount of leverage and power to a tiny
13 number of companies who are multinational, who can
14 use imports strategically at moments to depress the
15 price they pay domestically.

16 So, if we have a market that's 80 percent
17 not cash, it's being done in some kind of contract,
18 they're very good at doing things that affect
19 futures prices, that feed into a formula, that feed
20 into a contract. And that's the one day you made
21 money that year or didn't, based on future prices.

22 And that happened recently with the
23 announcement of Argentinian beef imports.

24 So, the marketplace is not working.
25 There's other things we need to fix. But just

1 having this one option to this information is beyond
2 critical for our folks to see a pathway forward to
3 rebuild this domestic herd.

4 MR. OLIVER: Thank you both for your
5 responses.

6 And the next question will come from Ms.
7 Anderson.

8 MS. ANDERSON: Thank you. This is a
9 question for Mr. Murray.

10 You identify Mexico's 45 percent tariff
11 on imports of roasted coffee as one reason for
12 supporting USMCA rule of origin change, so that all
13 coffee roasted and processed in USMCA countries is
14 considered USMCA originating.

15 Does your organization, NCA, have
16 estimates of the economic impact that its proposed
17 rule of origin change would have on U.S. coffee
18 roasters, U.S. green coffee growers, exports from
19 the United States of roasted and processed coffee,
20 and imports into the United States of roasted and
21 processed coffee?

22 MR. MURRAY: We do not have specific
23 estimations. I would put this in a larger cultural
24 and socioeconomic context.

25 If you think about coffee shop culture,

1 if you think about how consumers become more
2 sophisticated consumers of coffee, this creates
3 additional value in a coffee chain.

4 If you look at what's happened in Mexico
5 the last 20 years, we are seeing a growing middle
6 class, we are seeing the creation of more coffee
7 shops, we are seeing increasing sophistication
8 among Mexican consumers about the types of coffee
9 that they like to consume.

10 This is a particular strength of our
11 industry, being able to bring different origins,
12 different flavors, different blends. So, do not
13 need estimates, we can just look. But we do think
14 there is significant opportunity.

15 I've got a little more time. I just want
16 to express our appreciation again as an industry
17 for everything this Administration has done to
18 recognize the significance of coffee, the work that
19 all of you have done. Seventy-three percent of
20 Americans drink coffee. And I imagine several of
21 you do as well. But I don't want to lose my
22 opportunity to say thank you for all your work.

23 MS. ANDERSON: Thank you.

24 MR. OLIVER: Thank you for your response.

25 And the final question will come from Mr.

1 Watson.

2 CHAIR WATSON: And the final question is
3 for Ms. Nguyen.

4 So, in your submission you noted that U.S.
5 distilled spirits companies own and operate or
6 partner with facilities in Canada and Mexico to
7 produce distilled distinctive products like
8 tequila.

9 Can you please say a little bit more about
10 those supply chains and how you see them as
11 contributing to the U.S. economy?

12 MS. NGUYEN: Sure. Absolutely. And thank
13 you for the question.

14 At its core it's a very integrated market.

15 Insofar as since the agreement preceding USMCA
16 existed under NAFTA, there is an ability for us to
17 grow both in terms of access and in terms of
18 competition since then. And with the new USMCA we
19 have the ability to make sure that there are
20 synergies between those who are producing, those
21 who are distilling, and some of the farmers here
22 in the U.S..

23 And so, it has become the practice of some
24 of our member companies to either partner directly
25 with those companies and facilities, or to have some

1 level of co-production throughout the supply chain.

2 So, there is a fair amount of integration that is
3 mutually beneficial to these groups.

4 And then at a more macro level, the way
5 that they have been able to coordinate again makes
6 market access predictability and the like much more
7 common for our groups.

8 Thank you for the question.

9 MR. OLIVER: And thank you all for sharing
10 the testimonies, for your responsiveness to the
11 questions, and for taking the time to be here with
12 us. We really appreciate that, and addition to the
13 U.S. Government officials that joined us on the
14 panel.

15 With that, we will conclude this panel.

16 We really appreciate it.

17 If you will grab your placards and please
18 bring them to the right over here, we would greatly
19 appreciate it.

20 And then we will ask for the members of
21 Panel No. 9 to please join us. Please also bring
22 your placards to come be seated up here.

23 We ask that you be seated in the order of
24 the schedule, beginning with Ms. Katherine White.

25 And, in addition, if members of Panel 10

1 are in the room, we ask that you come forward and
2 please sit in the reserved areas up front.

3 Thank you so much.

4 All right. We ask that everybody please
5 be seated.

6 CHAIR WATSON: Okay. Welcome to Panel 9.

7 So, we've concluded our marathon series of panels
8 on agriculture and we'll move on to textiles. And
9 because of that we've shifted some of the personnel
10 on our side, too. So, we're going to have the new
11 panel members introduce themselves.

12 I'm Daniel Watson. I'm the Assistant USTR
13 for the Western Hemisphere.

14 MR. CARRIGG: Hello. Rob Carrigg. I'm the
15 acting AUSTR for the Textiles Office at USTR.

16 MS. WEAVER: Marin Weaver. I'm the Acting
17 Director for the Office of Textiles and Apparel at
18 the Department of Commerce.

19 MR. MANOGUE: Good afternoon. I'm Bob
20 Manogue with the State Department in the Bilateral
21 Trade Office.

22 MR. JARAND: Hello. Michael Jarand,
23 Deputy Director of the Trade and Investment Policy
24 Officer at Treasury.

25 CHAIR WATSON: And we're almost, we're

1 approaching the end of the day but we've had amazing
2 discipline from our witnesses on their adherence
3 to the rules. So, just a reminder:

4 Five minutes for your presentation and two
5 minutes for your responses.

6 After your presentations each of you will
7 get a question. And then if you would stay within
8 the two minutes we'll stay on time.

9 So, with that, we'll go ahead and move to
10 our, our first witness, which is Ms. White.

11 MS. WHITE: Thank you for the opportunity
12 to testify today.

13 My name is Katherine White. I am the Vice
14 President of Policy at the National Council of
15 Textile Organizations.

16 NCTO represents the full spectrum of the
17 U.S. textile sector, from fiber, yarn, fabric to
18 finished products. Our industry employs 471,000
19 workers nationwide, and manufactured 64 billion in
20 output last year, including textile components
21 supplied to our armed forces and used to make
22 lifesaving personal protective equipment.

23 We strongly support extension of the
24 USMCA, given its substantial benefits for domestic
25 textile manufacturers in the U.S. economy.

1 We propose that the Administration seek
2 to strengthen the rules of the agreement and to
3 increase cooperation with Canada and Mexico to
4 combat harmful customs fraud and unfair trade
5 practices that have contributed to U.S. job losses
6 and plant closures in our sector.

7 The United States, Canada, and Mexico have
8 developed a vibrant and prosperous textile and
9 apparel production chain over the 26-year life of
10 the North American Free Trade Agreement that
11 continues under the USMCA. Textile and apparel
12 trade between the United States and its USMCA
13 partners totaled 20 billion in 2024, compared to
14 just 7 billion in 1993, the year prior to NAFTA's
15 entry into force.

16 U.S. textile and apparel exports to Canada
17 and Mexico, our industry's two largest export
18 markets, accounted for 12.3 billion of this trade,
19 and over 53 percent of total textile and apparel
20 exports.

21 The yarn-forward rule of origin embedded
22 in both the NAFTA and the USMCA, and viewed as the
23 gold standard by our industry, provides significant
24 economic benefits to U.S. textile manufacturers by
25 promoting the use of made in the U.S.A. fibers,

1 yarns, and fabrics with production of apparel and
2 other sewn product.

3 The yarn-forward rule has driven regional
4 integration of the robust trade that exists between
5 USMCA countries today.

6 We would like to underscore the critical
7 importance of preserving the gains of existing trade
8 agreements with Western Hemisphere countries that
9 offer valuable markets for U.S.-made textiles. We
10 commended the Administration for exempting USMCA
11 qualifying trade from International Emergency
12 Economic Powers Act tariffs.

13 We urge the Administration to maintain
14 this exemption and to provide similar treatment to
15 originating products under the Dominican Republic,
16 Central America, United States Free Trade
17 Agreement, given the vital textile and apparel
18 production relationship between the U.S. and these
19 countries which sustains U.S. jobs.

20 We support higher tariffs on
21 non-qualifying goods made with foreign components
22 to incentivize textile and apparel manufacturing
23 in the hemisphere.

24 We see several opportunities to improve
25 the USMCA to grow U.S. jobs and investment, as we

1 laid out in detail in our written comments.

2 First, we would like to work with the Trump
3 administration to make targeted reforms to
4 exceptions to the yarn-forward rule of origin to
5 ensure that domestic manufacturers reap the
6 benefits of these arrangements. Limited
7 exceptions to the yarn-forward rule that permit U.S.
8 producers to benefit from duty-free treatment when
9 sourcing inputs not readily available within the
10 bloc, such as acrylic, enhance the competitiveness
11 of U.S. manufacturers.

12 Tariff preference levels and legacy have
13 been the only rules for certain garments that allow
14 preferential treatment for products made mostly
15 with components from outside the USMCA region,
16 despite the availability of textile inputs within
17 the bloc. However, it disadvantaged our industry
18 and warrants some fine tuning.

19 Next we must deepen customs enforcement
20 cooperation with Canada and Mexico to address
21 persistent customs fraud in our sector and to
22 prevent the siphoning off of USMCA benefits to third
23 party countries and bad actors. We suggest
24 requiring Canada and Mexico to share trade data
25 publicly to help efforts to identify fraudulent

1 imports, and to penalize repeat customs offenders
2 to the highest degree.

3 U.S. Customs and Border Protection also
4 needs to ramp up enforcement at home and to increase
5 transparency and accountability in its enforcement
6 activities.

7 Lastly, the Administration should take
8 action to confront the predatory trade practices
9 of China and other Asian countries that undercut
10 USMCA manufacturers. We recommend requesting
11 Canada and Mexico to adopt legislation similar to
12 the Uyghur Forced Labor Prevention Act to crack down
13 on goods made with Xinjiang slave labor.

14 The United States should consider calling
15 for both countries to exit the Comprehensive and
16 Progressive Agreement for Trans-Pacific
17 Partnership which has led to a flood of ultra low
18 cost finished textile and apparel imports
19 containing Chinese inputs into North America, among
20 other measures, like coordinated foreign investment
21 screening.

22 In closing, the USMCA has fostered deep
23 economic and trade ties between the United States,
24 Canada, and Mexico that bolster the domestic
25 industry and offer a crucial counterweight to the

1 China-dominated Asia textile and apparel supply
2 chain. The Administration must preserve and
3 strengthen viable trade agreements with Western
4 Hemisphere partners on which the U.S. textile
5 industry depends to grow domestic jobs and
6 investment as it implements the President's America
7 First trade policy agenda.

8 Thank you for your time. I'd be pleased
9 to answer any questions you have about our views.

10 MR. OLIVER: Thank you for your testimony.
11 And we'll move to the next witness.

12 MS. J. HUGHES: Hi. I'm Julia Hughes,
13 President of the U.S. Fashion Industry Association.
14 And we appreciate the opportunity to testify today.

15 As USFIA and our colleagues in other North
16 American apparel and footwear associations conveyed
17 in a recent letter to USTR, the textile, apparel,
18 footwear, and retail industries in the U.S., Mexico,
19 and Canada are deeply integrated.

20 This integration drives economic growth
21 and creates millions of jobs. USMCA has provided
22 certainty for our industries to invest and provide
23 consumers with affordable, quality products.

24 The agreement permits American companies
25 to offer American consumers affordable fashion,

1 fashion made possible by global trade.

2 During the last 12 months our industry
3 imported \$81 billion of apparel to the U.S.. We
4 do so because apparel cutting and sewing operations
5 are the first rung on the ladder of economic
6 development, a rung our nation fortunately climbed
7 long ago.

8 That being said, iconic American brands,
9 our member companies, do still manufacture in the
10 U.S., particularly high-end and innovative
11 products. We encourage that commitment.

12 To strengthen our regional supply chains
13 we recommend USMCA is preserved as a trilateral
14 agreement, and also extend it for another 16 years.

15 While USFIA has long argued that
16 easier-to-utilize apparel rules of origin in the
17 USMCA would foster more apparel production in the
18 region, as we prepare for the review we recommend
19 to the Administration that there are no changes in
20 USMCA's clear and predictable rules of origin for
21 textiles and apparel.

22 In addition to maintaining duty-free
23 access for USMCA qualifying goods and avoiding
24 additional tariffs, including under Section 232,
25 for such goods is essential to enhancing supply

1 chain integration and ensuring the region remains
2 globally competitive.

3 Should the Administration contemplate any
4 changes to the USMCA apparel provisions, we would
5 urge the Administration to provide sufficient
6 advanced notice and work with the industry for clear
7 compliance guidance prior to the institution of any
8 changes.

9 The tremendous flow of yarns, fabrics,
10 apparel, and home textiles within North America
11 represents employment in the U.S., Canada, and in
12 Mexico. Any efforts to make it more difficult to
13 source apparel from our USMCA partners will
14 encourage sourcing from other parts of the world
15 and there will be disemployment in the North
16 American apparel supply chain.

17 We look forward to working with USTR to
18 ensure that USMCA further contributes to jobs in
19 North America and contributes to lower prices for
20 American families. Our association's member
21 companies provide millions of high-paying
22 professional jobs to hard-working Americans,
23 represent many of the world's most iconic brands.

24 We look forward to answering your
25 questions today and to participating in the USMCA

1 review consultation process.

2 Thank you.

3 MR. OLIVER: Thank you for your testimony.

4 We'll move over to the next witness.

5 MS. B. HUGHES: Thank you so much for this
6 opportunity.

7 I'm Beth Hughes, Vice President of Trade
8 and Customs Policy of the American Apparel and
9 Footwear Association.

10 From cotton to consumer there is a tightly
11 woven supply chain that binds together a network
12 of workers, farmers, and employers throughout
13 Mexico, the United States, and Canada. The USMCA
14 enables this supply chain, setting clear and
15 predictable ground rules and articulating a
16 long-term incentive structure and powers jobs,
17 investments, and regional trade.

18 Keeping the USMCA strong and stable is
19 vital to the health and growth of this industry
20 supply chain and to the many communities in all three
21 countries whose livelihoods are dependent upon this
22 robust North American trade partnership.

23 And that's why I am here declaring our
24 industry's support for the USMCA.

25 While I encourage you to consult our full

1 written comments, let me briefly take you through
2 three key points:

3 First, we believe USMCA duty-free access
4 should be preserved to provide U.S. brands and
5 retailers with the certainty they need to operate
6 efficiently throughout the supply chain.

7 Maintaining duty-free access for USMCA qualifying
8 goods and avoiding additional IEEPA tariffs is
9 critical to ensuring the region remains competitive
10 in the global market, particularly relative to Asia.

11 Such duty-free access sends a strong
12 demand signal to the U.S. textile industry, which
13 relies upon Mexico as a key export market. In 2024,
14 53 percent of U.S. textile exports were sent to our
15 USMCA partners, with Mexico ranking as the sixth
16 largest destination for U.S. cotton.

17 Many of these U.S. inputs are incorporated
18 into garments that are then imported back into the
19 United States, highlighting the critical role USMCA
20 plays in sustaining North American manufacturing
21 and trade.

22 Second, we believe USMCA rules of origin
23 are working extremely well. And we would caution
24 against any changes intended to make them more
25 restrictive. USMCA's utilization rate remains

1 high.

2 In 2024, 85 percent of U.S. apparel imports
3 from Mexico, and 92 percent from Canada qualified
4 for the agreement's duty-free benefits. This
5 demonstrates that most goods can meet the rules of
6 origin, providing businesses with clear,
7 predictable, and certain trade conditions that are
8 essential for planning, investment, and long-term
9 competitiveness in the global market.

10 Third, notwithstanding our strong support
11 for the current USMCA, we believe there are always
12 opportunities to make it better. In our written
13 comments we detailed a number of ideas, including
14 corrections to mistakes that were made when the
15 NAFTA was updated to become USMCA.

16 Let me highlight two:

17 First, USMCA needs a modernized short
18 supply feature to assess if yarns and fabrics are
19 not available in commercial quantities in the
20 region. The USMCA version of this mechanism, which
21 is identical to what existed in NAFTA, is
22 unworkable. Statistics bear this out.

23 During the combined three decades that
24 NAFTA and the USMCA were in effect, only 22 petitions
25 have been filed. Of those, 10 were approved.

1 In the 19 years that the CAFTA--DR has been
2 in effect, more than 120 petitions have been filed.

3 Ninety-two have been approved.

4 We propose to model USMCA mechanisms off
5 of the CAFTA-DR short supply mechanism, which has
6 defined timetables and clearer requirements to
7 provide confidence for a fair and speedier process.

8 I'd be remiss if I didn't mention that even
9 the CAFTA-DR mechanism could use improvements.

10 Second, let's cumulate USMCA with other
11 FTA partners. Cumulation is a flexibility that
12 already exists in CAFTA-DR, as well as in U.S. trade
13 preference programs like the Haiti HOPE and HELP.

14 In fact, CAFTA-DR allows a cumulation with Mexico
15 required materials used in garments classified
16 under Chapter 62.

17 Expanding this cumulation concept to
18 include Chapter 61 and include other FTA partners,
19 perhaps starting with those in the Americas, would
20 create a virtual web among key U.S. trading partners
21 without allowing textile, apparel, and footwear
22 products using inputs from third countries to
23 receive the benefits of the USMCA agreement.

24 Of course, our written comments go into
25 more details on these things and other issues, such

1 as duty drawback, enforcement, intellectual
2 property, and labor. Aside from our collective
3 professional interest in USMCA, all of us have a
4 person one, since about 4 percent of all the fashion
5 we wear comes from the USMCA region.

6 A stable, predictable, and zero tariff
7 USMCA not only support investments in workers in
8 our industry, but it also gives all of us an
9 affordable option as we outfit ourselves and our
10 families.

11 Thank you for this opportunity. And I
12 look forward to your questions.

13 MR. OLIVER: Thank you for your testimony,
14 and we'll move to the next witness.

15 MR. CROCKETT: Good afternoon. I'm
16 Thomas Crockett, Senior Vice-President of
17 Government Relations for the Footwear Distributors
18 and Retailers of America. Thank you for the
19 opportunity to testify today.

20 FDRA is the footwear industry's trade and
21 business association, representing more than five
22 hundred footwear companies and brands across the
23 U.S. This includes the majority of U.S. footwear
24 manufacturers, and over ninety-seven percent of the
25 industry.

1 International trade supports hundreds of
2 thousands of footwear jobs in communities across
3 the U.S., good-paying jobs in design, innovation,
4 materials, sourcing, compliance, logistics,
5 warehousing, marketing, and retail.

6 We believe U.S. free trade agreements like
7 the USMCA should strengthen opportunities for these
8 footwear workers.

9 Reducing footwear tariffs through trade
10 agreements and other initiatives, can also deliver
11 greater value to U.S. consumers, and help address
12 the affordability challenges facing so many
13 Americans.

14 Footwear tariffs remain among the highest
15 of any consumer product category. While the
16 average tariff rate on consumer goods is just over
17 two percent, footwear tariffs average more than
18 twelve percent.

19 For some categories, including many
20 children's shoes, rates often exceed forty-eight
21 percent, and that's not counting the added
22 reciprocal tariffs.

23 As you review the USMCA, we encourage you
24 to work to extend the agreement and prevent new
25 tariffs from being placed on our USMCA partners.

1 Mexico continues to serve as an important
2 source and location for footwear. Looking at the
3 overall picture of global sourcing, Mexico accounts
4 for a smaller volume of footwear imports compared
5 to the leading footwear-producing countries in
6 Asia.

7 To meet U.S. consumer demand, footwear
8 companies import more than 2.2 billion pairs of
9 shoes to the U.S. market each year. That's more
10 than 6.2 pairs of shoes for every man, woman, and
11 child, in America. Mexico accounts for about
12 twenty-two million pairs annually.

13 This number's not insignificant. Mexico
14 consistently ranks as the number six supplier of
15 footwear to the U.S. every year. Mexico ranks sixth
16 in both import volume and value.

17 The volume of footwear from Mexico to the
18 U.S. now surpasses other key footwear sourcing
19 countries like Italy, Germany, and Brazil, and is
20 close to approaching India. By value, Mexico is
21 actually ranked higher than India.

22 Mexico also has a comparative advantage
23 when it comes to producing boots. It is growing
24 to become the world's third largest supplier of
25 bootwear to the U.S. It is the Western Hemisphere's

1 largest supplier of footwear to the U.S. by far.

2 In addition, sourcing footwear from Mexico
3 brings production close to the U.S. consumers, and
4 significantly reduces product cycles and lead
5 times, which generates savings for U.S. companies,
6 that they can reinvest back into U.S. jobs and U.S.
7 innovation.

8 Despite these advantages, the USMCA is not
9 fully realized when it comes to footwear. One key
10 reason is because USMCA and its predecessor NAFTA,
11 adopted the most stringent rules of origin for
12 footwear of any U.S. free-trade agreement.

13 A typical bill of materials for footwear
14 may contain upwards of fifty or sixty components.

15 If a company wants to utilize the USMCA, it must
16 ensure that the complete footwear meets a strict
17 fifty-five percent regional value content
18 requirement.

19 Similarly, if a U.S. footwear manufacturer
20 wants to source an upper from Mexico duty-free to
21 use in U.S. production, the upper from Mexico would
22 need to meet these strict and complex rules.

23 Lowering this threshold would help shift
24 some footwear sourcing to the Western Hemisphere,
25 and increase trade between the U.S. and Mexico.

1 We recognize the administration's efforts
2 to strengthen sourcing options in the Western
3 Hemisphere, and promote greater supply chain
4 diversification. We encourage you to work to
5 adjust the rules of origin for footwear to help
6 achieve these important goals.

7 We'd like to raise one additional issue
8 that needs to be addressed in USMCA review.

9 Intellectual property enforcement
10 challenges persist in Mexico-U.S. trade relations,
11 particularly due to counterfeit foods in physical
12 and online markets.

13 This includes systemic issues with Customs
14 authority, lengthy legal proceedings, and limited
15 resources that hamper effective IP protection and
16 prosecution.

17 Updating laws in Mexico to provide the
18 National Customs Agency with ex-officio powers to
19 detail, seize, and destroy counterfeit goods,
20 without needing prior approval from the Mexican
21 Institute of Industrial Property, or the Attorney
22 General's Office, would greatly improve border
23 enforcement, especially amid the rise of eCommerce.

24 Under the current law in Mexico, the
25 agency's ex-officio power is limited to detaining

1 goods, and merely notifying intellectual property
2 rights holders about suspicious products.

3 We appreciate the opportunity to provide
4 input to the administration on the USMCA and its
5 impact on U.S. footwear companies. We stand ready
6 to work with you to renew the agreement and
7 strengthen opportunities for footwear companies
8 within this important U.S. trade agreement.

9 I look forward to answering any of your
10 questions.

11 MR. OLIVER: Thank you for your testimony.
12 We'll move now to the final witness.

13 MR. CHANG: Thank you. And it's good to
14 see many of you.

15 On behalf of the Retail Industry Leaders
16 Association, or RILA, thank you for the opportunity
17 to provide the retail industry's perspective on how
18 USTR can leverage the upcoming joint review of the
19 USMCA to strengthen our economy.

20 My name is Sung Chang and I'm the
21 Vice-President for International Trade at RILA.
22 RILA is the U.S. trade association for leading
23 retailers. We convene decision-makers, advocate
24 for the industry, and promote operational
25 excellence and innovation.

1 Our aim is to elevate a dynamic industry
2 by transforming the environment in which retailers
3 operate.

4 We support the administration's goal of
5 using trade policy to promote investment in
6 productivity, enhance U.S. industrial capacity, and
7 defend our economic and national security. We also
8 support the administration's efforts to benefit
9 hardworking Americans through trade.

10 The retail sector contribute
11 substantially to the U.S. economy. Our members
12 include more than two hundred retailers, product
13 manufacturers, and service suppliers.

14 They account for more than \$2.7 trillion
15 in annual sales, millions of American jobs, and
16 hundreds of thousands of stores, manufacturing
17 facilities, and distribution centers.

18 Our members touch every aspect of people's
19 lives. Whether it's school, work, recreation, we
20 are in rhythm with everyday Americans. And the
21 USMCA has been a cornerstone of our collective
22 growth and success since its entry into force five
23 years ago.

24 Retailers need certainty and
25 predictability to plan, invest, and create jobs.

1 The USMCA has provided that. It's how retailers
2 expand their North American supply chains to provide
3 consumers with affordable, quality products right
4 here at home.

5 We know the global landscape has changed
6 since 2020, but we also know we can achieve our
7 economic and national security goals by working with
8 Mexico and Canada through the USMCA.

9 Mexico and Canada are the United States'
10 first and second largest trading partners. Last
11 year, our two-way trade with our neighbors was worth
12 over \$900 billion each. That's significantly
13 greater than our two-way trade with the People's
14 Republic of China, which was around \$580 billion
15 last year.

16 As the administration looks to strengthen
17 North American competitiveness, we believe a
18 successful joint review and the subsequent
19 sixteen-year extension of the agreement is
20 critical. This means keeping USMCA-compliant
21 goods exempt from reciprocal tariffs.

22 This means considering our interconnected
23 relationships with Mexico and Canada, as the
24 administration considers additional Section 232
25 actions. This also means maintaining the clear,

1 predictable rules of origin of the USMCA.

2 We recognize the administration's goal to
3 address the incorporation of intermediate goods and
4 investment from China, into North American supply
5 chains and production.

6 We know additional cooperation is
7 warranted here, but we believe that revising the
8 rules of origin in the USMCA could create unintended
9 friction and undermine supply chain integration.

10 Another feature of the USMCA that we urge
11 you to preserve is the exception for semi-finished
12 goods and raw materials that are not feasibly
13 produced in North America.

14 Retailers continue to diversify their
15 supply chains, but some products and input still
16 cannot be sourced within our continent. And there
17 are many other factors that go into sourcing and
18 supply chain decisions.

19 This is why we value provisions that allow
20 for the use of non-USMCA originating inputs when
21 necessary. This adaptability has been critical for
22 our members.

23 We also support flexibilities that would
24 allow for the cumulation of inputs among U.S.
25 free-trade agreement partner countries, including

1 those party to CAFTA-DR.

2 We believe this could help near-shoring
3 and friend-shoring efforts and speed up
4 supply-chain integration.

5 There is, of course, room for improvement.

6 There are longstanding Customs issues in Mexico,
7 including the lack of transparency and inconsistent
8 enforcement.

9 Canada's CBSA Assessment and Revenue
10 Management, or CARM, that system can be improved
11 as well. We would support more tri-lateral
12 cooperation on customs, including the creation of
13 Customs modernization programs.

14 We continue to support robust labor and
15 environment enforcement as well. This includes
16 greater cooperation to prevent imports of goods
17 produced with forced labor. This also includes
18 more alignment on regulations that reduce
19 emissions, protect natural resources, and encourage
20 circular practices across our borders.

21 More can also be done on regulatory
22 cooperation and compatibility, and the same goes
23 for collaboration on digitally-enabled trade and
24 intellectual property enforcement, especially in
25 Mexico.

1 I'll conclude by reiterating the need for
2 a clear, stable, and predictable path forward. We
3 believe the USMCA can be improved without causing
4 unintended harm in American workers, businesses,
5 and families.

6 Thank you, and I'm happy to answer any
7 questions.

8 MR. OLIVER: Thank you. And thank you all
9 for your testimonies. We'll now be turning over
10 to our U.S. Government officials over to my left
11 to ask a few questions. And just as a reminder,
12 each witness will be getting one question, and your
13 responses will be limited to two minutes of
14 response. And with that, I will turn it over to
15 Mr. Watson for the first question.

16 CHAIR WATSON: Thank you. And the first
17 question's going to go to Ms. White. So, in your
18 submission, you talked about the critical
19 importance of both the USMCA and the CAFTA-DR for
20 the U.S. apparel industry, textiles industry. Can
21 you say more about why those two elements are
22 important and how they relate to each other?

23 MS. WHITE: Absolutely. Thank you for
24 the question. Just to give you a sense of what we're
25 talking about here, seventy percent of U.S. textile

1 and apparel exports -- textile exports,
2 specifically -- go to the Western Hemisphere.

3 And these trade agreements are really
4 critical to not only U.S. jobs, but they're really
5 fundamental to the livelihood of our industry.

6 If these agreements did not exist, our
7 domestic industry would be decimated. Just so it's
8 very clear what we're talking about here and the
9 ramifications of these agreements for our industry
10 in particular.

11 Those textile exports go to Canada,
12 Mexico, CAFTA-DR countries, and are turned into
13 apparel and other finished products that are then
14 exported back to the United States or to other
15 countries within the region.

16 And so, these supply chains have become
17 quite critically integrated over the course of the
18 NAFTA, and under the USMCA as well.

19 So, for us, it's really imperative that
20 the administration preserve both of these
21 agreements, seek opportunities to strengthen them
22 as well where possible, so that the benefits of these
23 agreements are really going to domestic
24 manufacturers and regional manufacturers. Thank
25 you.

1 MR. OLIVER: Thank you for your response.

2 The next question will be coming from Mr. Carrigg.

3 MR. CARRIGG: Thank you. This question
4 is for Julie Hughes. In your submission, you state
5 that onerous rules have discard some companies from
6 moving apparel production to North America. Could
7 you elaborate on the challenges your members have
8 faced in moving apparel production to the USMCA
9 region, and what actions would you recommend that
10 the U.S. Government take to encourage companies to
11 increase their U.S. and North American sourcing?

12 MS. J. HUGHES: Opposite to Katie, I mean,
13 the on-forward rule of origin is a difficult rule
14 of origin to comply with.

15 With that being said, we really wanted to
16 highlight in our testimony, the commitment of U.S.
17 friends and retailers to use American textile yarn
18 and fabric inputs for manufacturing apparel in the
19 Western Hemisphere.

20 We didn't talk about CAFTA, but obviously,
21 that's also a similar supply chain to the USMCA
22 supply chain.

23 So, the rules of origin are very tough,
24 and that's part of why I highlighted in today's
25 testimony, that normally we would be coming here

1 and we would be telling you how difficult the
2 yarn-forward rule of origin is for our members, and
3 how we want to change that rule. That's a
4 consistent policy for our association.

5 But in the case of the USMCA renewal, we
6 recognize that time will be short and we really need
7 predictability, particularly in these uncertain
8 times, for sourcing decisions.

9 When strategies are being made, we want
10 to make them, and we'd like to encourage to
11 manufacture here in Western Hemisphere.

12 But the onerous rules that I'm talking
13 about are definitely the yarn-forward rule of
14 origin. As Beth mentioned, the difficulty in using
15 short supply or other mechanisms that during the
16 original NAFTA negotiations, and then again the
17 USMCA negotiations, were exactly the things that
18 we advocated for as an industry, to give more
19 flexibility to sourcing executives.

20 MR. OLIVER: Thank you for your response.

21 And the next question will come from Ms. Weaver.

22 MS. WEAVER: This question is for Beth
23 Hughes. In your request to appear, you note that
24 the clear rules of origin and strong enforcement
25 ensure that companies could plan production,

1 sourcing, and distribution, with confidence. How
2 does the USMCA currently facilitate that, and what
3 improvements would you suggest to enhance those
4 processes?

5 MS. B. HUGHES: Well, the USMCA has --
6 we've been working under it before under NAFTA for
7 decades. The supply chain is there. U.S. cotton
8 goes into U.S. textiles, goes into U.S. apparel,
9 back and forth, sometimes several times, and I think
10 that's the good thing about the agreement, but there
11 are some things that could be changed if there was
12 the opportunity.

13 However, we're not interested in reopening
14 or renegotiating the agreement. So, some of the
15 things that could be done under the current statute
16 would be strengthening some of the enforcement
17 pieces.

18 There's some issues with duty drawback
19 that we would like to see, some restrictions on duty
20 drawback that we'd like to see changed, stronger
21 intellectual property, as Thomas mentioned.

22 Counterfeits is a big deal also in apparel
23 and infowear. And then making sure that the labor
24 requirements are continued and maintained, because
25 we agree with a labor provision under the USMCA and

1 how strong that was.

2 MR. OLIVER: Thank you for your response.

3 The next question will be coming from Mr. Manogue.

4 MR. MANOGUE: Thank you very much. Mr.
5 Crockett, you argue that USMCA should be adjusted
6 to allow for flexibility in footwear rules of
7 origin. What change do you recommend, and what
8 impacts, both positive and negative, might result?

9 MR. CROCKETT: That's a great question.

10 So, I'm obviously different than what else has been
11 said on rules of origin.

12 But I think for footwear, it's worth
13 exploring that, and worth looking at that. Because
14 if you look at Mexico, there's been a shift.

15 Let's look at China for a second. If you
16 look at -- we've seen a consistent shift over the
17 past decade, of companies looking to move out of
18 China. That number was almost ninety percent of
19 footwear coming to the U.S. from China back in 2009.

20 That's down to about fifty-eight percent
21 now in 2024. By value, it's even a bigger cut,
22 seventy-six to thirty-five.

23 But you're not seeing this rushed to the
24 Western Hemisphere, and, particularly, Mexico.
25 And footwear is an exception. I mentioned that.

1 They have a comparative advantage there.

2 But there are a number of issues. One of
3 them is production cost. There are very high
4 production costs in Mexico, significantly higher
5 for footwear than any other of the major
6 footwear-producing countries.

7 Sometimes, brands have difficulty finding
8 factory partners in Mexico, experience delays,
9 quality issues, they just don't have the
10 specialization and expertise for certain types of
11 footwear that have developed in Asian countries.

12 And the raw materials exist in Asia. So,
13 it's important to look to adjust that threshold --
14 it's currently at fifty-five percent -- we're not
15 saying eliminate it, but bringing it down some would
16 provide flexibility for brands, and would help drive
17 some of that production back to the Western
18 Hemisphere, back to Mexico. I even mentioned U.S.
19 producers could import uppers for Mexico, without
20 that very strict rules of origin.

21 So, while maybe for peril understand, the
22 consensus is not something to look at, but I think
23 for footwear, it definitely is worth exploring.
24 I think there are many positive benefits to both
25 U.S. producers, who are also importers.

1 MR. OLIVER: Thank you for your response.
2 The final question will be coming from Mr. Jarand.

3 MR. JARAND: Thank you for your testimony.
4 My question's for Mr. Chang. So, in your
5 testimony, you noted that retailers need
6 flexibility to procure non-USMCA originating
7 inputs.

8 In your view, how can that adaptability
9 best be achieved? What are the pros and cons hat
10 might be associated with those actions? Thank you.

11 MR. CHANG: Thank you for your question.
12 And I think if I want to take a step back, COVID
13 really underscored for us the significance of
14 diversifying and strengthening our supply chains,
15 and I think that cuts across our membership.

16 And since COVID, we've really prioritized
17 and accelerated that plan to diversify supply chains
18 to both near-shore and friend-shore, sourcing and
19 manufacturing, where it's possible.

20 That is not possible for all products
21 across all sectors that we represent, right? And
22 the flexibility in the USMCA, for example, single
23 transformation rules, short supply provision site,
24 my colleagues mentioned tariff preference levels.

25 Those tools are there so that for the

1 products that we have not yet been able to re-shore
2 or to near-shore into the Western Hemisphere, are
3 still available to provide the quality and
4 affordable goods for U.S. customers.

5 I also want to mention a lot of our members
6 have made it a priority to move a lot of our sourcing
7 and manufacturing out of East Asia, particularly
8 China. Right?

9 And we've seen the value of doing more here
10 in our hemisphere. And a lot of the other comments
11 that were mentioned by my colleagues, including our
12 CAFTA-DR, we agree with.

13 There's a lot of synergy that's very
14 surgical, and it must be maintained. And that also
15 goes with the predictability of all of that.

16 And the last thing I want to mention is
17 on trilateralism.

18 So, a lot of RILA members have stores that
19 operate across all three countries, and therefore
20 have overlapping supply chains. And some members
21 have joint ventures in these countries, right?

22 Many members source from both countries,
23 Canada and Mexico. Grocers are a good example.
24 Lots of produce, like avocados, come from Mexico,
25 and I recently learned over the holidays, that

1 turkeys are often Canadian, and all that to say what
2 we have under the USMCA has worked for the last five
3 years.

4 All of the rules of origin, flexibilities,
5 the CAFTA-DR rules that were mentioned, we want
6 those preserved to best serve the American supply.

7 Thank you.

8 MR. OLIVER: Thank you. And thank you all
9 again for sharing your testimonies, for your
10 responsiveness to the questions, and for joining
11 us today. We appreciate your time, in addition to
12 the time of the U.S. Government panelists over
13 there.

14 So, we really appreciate it. With that,
15 this panel's been concluded. And if you will just
16 grab your placards and please put them at the end
17 of this table over here, we would greatly appreciate
18 it.

19 For those that are in Panel 10, we would
20 ask for you to please come forward, to please bring
21 your placards, and put them in the order in which
22 you are listed in the schedule, and we welcome you
23 to come and be seated now.

24 We also welcome Mr. Ortiz to join Ms.
25 Barberena as her interpreter. And in addition, we

1 welcome the members of Panel 11 to come forward and
2 sit in the reserved seats towards the front of the
3 room.

4 CHAIR WATSON: So, good afternoon, and I
5 want to welcome everyone to Panel 10. This is our
6 penultimate panel for Day 1, and we've had a
7 wonderful run of very disciplined, smooth
8 proceedings.

9 So, just a reminder on the process, each
10 of you will have five minutes for your testimony.

11 There will be a question for each of you, and the
12 response should be limited to two minutes.

13 Because we have a new subject matter, we
14 do have some new panelists. So, I'm going to ask
15 everyone to introduce themselves.

16 My name is Daniel Watson, I'm the Assistant
17 USTR for the Western Hemisphere.

18 MS. DOUGAN: Good afternoon. My name is
19 Brenna Dougan, I'm a deputy assistant USTR for Labor
20 Affairs.

21 MR. QUINTANA: Good afternoon, everyone.

22 My name is Carlos Quintana, I'm a senior labor
23 advisor at the USMCA, Monitoring Enforcement
24 Division, at Department of Labor.

25 MR. MANOGUE: Good afternoon. I'm Bob

1 Manogue, I'm the Director for Bilateral Trade at
2 the Department of State.

3 CHAIR WATSON: And we're going to go ahead
4 and take the testimony in the order of the agenda.

5 So, we'll start with Ms. Oakes, followed by Ms.
6 Del Moral, Ms. Micah-Jones, Ms. Ambrosio Agraz, and
7 Ms. Barberena and your interpreter, Mr. Ortiz, and
8 then Mr. Perez-Rocha.

9 So, with that, Ms. Oakes, please start us
10 off. Please turn on your mic. Thank you.

11 MS. OAKES: Can you hear me? (Native
12 language spoken.) My name is Iakowi:he'ne' Melissa
13 Oakes. I'm the Founder and Executive Director of
14 the North American Indigenous Center of New York.

15 I appreciate the opportunity to speak on
16 this urgent need for the USMCA to finally recognize
17 the sovereignty, treaty rights, and economic
18 self-determination of Indigenous nations, whose
19 territories long predate the United States and
20 Canada.

21 For Indigenous nations, trade and mobility
22 rights are not new requests, they are inherent
23 rights affirmed in treaties that still hold legal
24 force today.

25 The Two-Row Wampum Belt Treaty,

1 established in the 1600s, set out a relationship
2 of peace, friendship, and non-interference. The
3 Jay Treaty of 1794 explicitly protects our rights
4 to freely cross the U.S.-Canada border, to trade
5 and to maintain relations among our own people.

6 The Treaty of Ghent reaffirmed these
7 rights, and both nations' endorsement of the UNDRIP
8 further obligates centers at Indigenous line
9 governance and international relationships. Yet,
10 these obligations continue to be violated.

11 Trade frameworks and tariffs restrict
12 Indigenous mobility and commerce. Land claim
13 settlements are being imposed without community
14 consent, and federal and state systems too often
15 sidestep traditional governments to push agreements
16 that extinguish rights and diminish Indigenous
17 economic capacity.

18 Akwesasne, where I'm from, is a clear
19 example. Our territory straddles U.S. and Canada
20 border and our people have maintained cross-border
21 trade since long before either nation existed, but
22 New York State's line claim processes, including
23 ongoing negotiations and HR-296, have been advanced
24 without meaningful community participation.

25 Betterly-recognized tribal councils,

1 operating under the authority of the U.S.
2 Government, have signed agreements with New York
3 State and the power authority, that transfer or
4 limit our rights without referendum, and against
5 the will of many community members.

6 This is not self-determination, it's
7 coercion. It violates the principles of free,
8 prior, and informed consent, and undermines our
9 economic future.

10 When Indigenous land is taken or
11 restricted, our nations lose not just territory,
12 but sovereignty, resources, and ability to
13 participate fully and equitably in trade systems
14 like the USMCA.

15 If the USMCA is to be a fair agreement,
16 several things must change.

17 First, the agreement must explicitly
18 acknowledge the treaty rights of Indigenous
19 nations, including the Two-Row Wampum Treaty, the
20 Jay Treaty, and the Treaty of Ghent, and establish
21 a true nation-to-nation consultation for any action
22 affecting our lands, economies, or mobility.

23 Second, the USMCA must prohibit trade or
24 development projects based on coerced, unilateral
25 land claim settlements. Indigenous land rights

1 cannot be traded away by federal structures that
2 do not represent the people.

3 Third, the U.S. must restore full Jay
4 Treaty mobility and trade rights. Tariffs and
5 Customs restrictions placed on Indigenous producers
6 violate binding agreements. Our nation should be
7 able to trade, travel, and maintain kinship without
8 obstruction.

9 Fourth, the USMCA should include
10 Indigenous economic protections, ensuring that our
11 farmers, producers, and entrepreneurs can
12 participate in cross-border markets without
13 discrimination or double-taxation.

14 Finally, Indigenous nations must have
15 formal representation with USMCA monitoring and
16 implementation bodies, from the environment
17 chapter, to labor and trade committees.

18 Trade cannot be considered free when it
19 is built upon dispossession and the suppression of
20 Indigenous rights.

21 The Two-Row teaches us that each nation
22 travels its own path side-by-side, in peace and
23 mutual respect.

24 Today, the USMCA must be brought into
25 alignment with that original treaty vision. It is

1 time to honor the commitments already made to uphold
2 Indigenous sovereignty, protect our lines, and
3 restore our ability to engage freely in the
4 economies we have sustained for centuries.

5 I also want to add that the line in the
6 USMCA that was mentioned around Indigenous people
7 and it being very vague, in short I think it says
8 to respect Indigenous people is very simple.

9 It doesn't categorize us correctly, first
10 and foremost. In the United States, we're
11 considered American Indian. In Canada, we're
12 considered First Nations people. In South of the
13 Border, they're considered Indigenous.

14 So, why is that term used to categorize
15 any reference to us in the USMCA? And I feel like
16 that's something that needs to be straightened out,
17 made clear, and should also include preference to
18 the treaties that I mentioned. Thank you.

19 MR. OLIVER: Thank you for your testimony,
20 and we'll move to the next witness.

21 MS. DEL MORAL: Thank you for the
22 opportunity to present this testimony. My name is
23 Tania Del Moral, Washington Advocacy Coordinator
24 at Global Exchange, and I speak on behalf of Grisel
25 Bello Cuecuecha, a Mexican Indigenous leader

1 working in cross-border solutions with the People's
2 Movement for Peace and Justice.

3 Grisel Bello Cuecuecha belongs to a
4 community in Las Caletas, Mexico, where systematic
5 human rights, environmental and labor violations,
6 are perpetually committed by large textile
7 manufacturers. These have been documented in
8 reports from the Mexican Commission on Human Rights.

9 Grisel is part of the People's Movement
10 for Peace and Justice, a binational assembly of
11 Black and Indigenous communities, including the one
12 where Iakowi:he'ne' is from as well, migrants,
13 survivors of gun violence, and human rights
14 defenders.

15 We are directly impacted by the violence,
16 the criminalization, and the structural inequality,
17 and also environmental harm, that shape life on both
18 sides of the U.S.-Mexico border.

19 We engage collectively, because our
20 communities understand that these crises are
21 interconnected, and that they demand coordinated,
22 participatory, and transparent solutions.

23 So, today, I focus on the urgent need for
24 the USMCA to recognize and uphold the inherent
25 sovereignty, treaty rights, and economic

1 self-determination of Indigenous peoples in all
2 three countries.

3 These principles are not symbolic. They
4 are binding legal and moral obligations. Yet, they
5 continue to be undermined by trade frameworks,
6 tariffs, land-claim settlements, and development
7 tools that disregard the sovereignty of the peoples
8 most affected.

9 It must be clear that land and trade are
10 inseparable. And so, when Indigenous land rights
11 are extinguished or transferred without consent,
12 Indigenous nations lose territory, economic agency,
13 and resource control, and they also lose their
14 ability to participate equitably in cross-border
15 trade, which is essential for self-determined
16 development and long-term stability.

17 These harms are not abstract. Right now
18 in Mexico, communal lands are being bought out or
19 absorbed by large corporations, under the combined
20 legacy of NAFTA and the USMCA. When this happens,
21 entire communities lose their livelihoods and
22 autonomy.

23 This displacement forces Indigenous to
24 migrate north in search of survival, often under
25 dangerous conditions.

1 It winds in cycles of violence, fuels
2 exploitation along migration routes, and also
3 fractures regional stability.

4 So, instead of strengthening North
5 America, these dynamics hit Indigenous peoples
6 across the region against one another, in
7 competition for land, resources, and safety.

8 So, as we enter the joint review, it is
9 essential to recognize that this process is not a
10 technical exercise, but a critical opportunity to
11 address systemic failures.

12 Without meaningful reforms, environmental
13 protections in high-risk regions remain
14 unenforceable, communities remain vulnerable to
15 violence and ecological destruction, and the
16 agreement continues to benefit from supply chains
17 stabilized through coercion, dispossession, and
18 impunity. To address these issues, we offer the
19 following priorities.

20 First, the USMCA must integrate the
21 principles of treaty law, including those reflected
22 in the Vienna Convention, and formally acknowledge
23 the legal standing of Indigenous nations as
24 sovereign entities.

25 All trade, infrastructure, and land-use

1 decisions affecting Indigenous territories, must
2 follow, like Iakowi:he'ne said, nation-to-nation
3 consultation protocols.

4 Second, the agreement must prohibit trade
5 or development projects that rely on coerced
6 land-claim settlements.

7 For example, those undertaken without a
8 referendum, public consent, or traditional
9 governance approval.

10 Indigenous nations maintain inherent
11 title and jurisdiction over their lands, and the
12 USMCA must not serve as a tool to commodify or
13 extinguish those rights.

14 Additionally, we urge the complete
15 elimination of the investor state dispute
16 settlement mechanism. Although the United States
17 and Canada has already removed ISDS between
18 themselves within the USMCA, Mexico remains bound
19 to a system that grants foreign investors privileges
20 that override human rights, environmental
21 protections, and the sovereignty of Indigenous
22 nations.

23 So, as long as IDS remains in effect,
24 Indigenous communities face heightened risks of
25 land dispossession and retaliatory claims when

1 defending their territories from harmful corporate
2 projects.

3 Third, the USMCA should establish fair
4 trade mechanisms that support Indigenous producers,
5 farmers, and entrepreneurs. Indigenous economies
6 must not face double-taxation or discriminatory
7 regulation within the free-trade zone.

8 I'll end with, because I'm running out of
9 time, saying that the rapid response mechanism
10 should be expanded to include cases involving human
11 rights violations, within USMCA-related industries
12 and supply chains, as well as to the additional
13 countries of the U.S. and Canada.

14 And I thank you for your consideration.

15 I really present this testimony in the spirit of
16 treaty recognition and sovereignty, and with the
17 principles of peace and justice as well. So, we
18 committed to working with you on this. And
19 respectfully submitted on behalf of Grisel Bello
20 Cuecuecha.

21 MR. OLIVER: Thank you for your testimony.

22 We'll now move to the next witness.

23 MS. MICAH-JONES: Good afternoon. My
24 name is Rachel Micah-Jones, and I am testifying
25 today as Chair of Migration Networks.

1 Migration Networks is a coalition of labor
2 unions, migrant rights organizations, any
3 trafficking groups and researchers who are
4 advancing an alternative model for labor migration,
5 a model that respects the human rights of workers,
6 and works for our families and our communities.

7 Founded in 2011 as the International Labor
8 Recruitment Working Group, Migration Networks
9 addresses workers' rights abuses for
10 internationally recruited workers across
11 industries and visa categories.

12 The U.S.'s work-visa programs are rife
13 with abuses. Our members have documented illegal
14 fees, fraud, discrimination, retaliation, and
15 forced labor, in the programs, which tie workers
16 to a single employer.

17 Each year, between one and 1.5 million
18 temporary visa workers arrive in the U.S. They work
19 in agriculture, landscaping, seafood, as well as
20 the automotive tech and healthcare and other
21 industries.

22 They arrive on a variety of visas, from
23 H-2A to TN, and our research has documented abuses
24 across the visa categories.

25 The inclusion of the Labor Chapter,

1 Chapter 23 in the USMCA, was a positive step toward
2 advancing worker protections in our country's
3 pursuit of free trade.

4 However, the U.S. has not updated its
5 relevant laws to come into compliance with its
6 obligations under the Labor Chapter, nor has it done
7 enough to enforce and improve U.S. labor laws to
8 uphold our commitment in Chapter 23, to ensure that
9 all migrant workers are protected by them.

10 To give just one example, the principle
11 U.S. worker protective law covering farm workers,
12 is the Migrant and Seasonal Agriculture Worker
13 Protection Act. That law specifically excludes
14 farm workers admitted to the U.S. on H-2A visas,
15 from its protections.

16 Three hundred and fifteen thousand H-2A
17 visas were issued in 2024, and the program is rapidly
18 expanding. The vast majority of those workers are
19 from Mexico. And to this day, they remain
20 unprotected by this critical law.

21 The U.S. has also failed to ensure that
22 migrant workers have access to justice when faced
23 with workplace violations. Most migrant workers
24 are ineligible for legal support through legal
25 service corporation-funded programs, the largest,

1 and often the only, local legal aid organization.

2 Without access to legal services, we leave
3 migrant workers, particularly those that work in
4 the wage industries, without much recourse, as the
5 majority cannot afford private counsel.

6 The U.S. has also failed to adequately
7 implement policies to protect workers against
8 employment discrimination on the basis of sex,
9 pregnancy, sexual orientation, gender identity, and
10 caregiving responsibilities, as it promised to do
11 under the Anti-Discrimination Commitment in Article
12 23-9 of the Labor Chapter.

13 The U.S. needs to direct the U.S.
14 departments and agencies across the whole of
15 government to increase transparency, by sharing
16 aggregate demographic data for the various
17 temporary visa programs, as well as complete
18 participating employer and recruiter data, to allow
19 migrant workers to hold abusive employers
20 accountable.

21 Finally, the U.S. Government needs to
22 enforce its anti-discrimination laws to address
23 discrimination recruitment, so that low-road
24 employers and their agents no longer feel free to
25 brazenly discriminate and refuse to hire women.

1 Migration Networks joins workers in
2 supporting an alternative labor migration model,
3 including specific reforms and future treaty
4 negotiations.

5 Our alternative model for labor migration
6 shifts control over the labor migration process from
7 employers to workers, elevates labor standards for
8 all workers, responds to established labor market
9 needs, respects family unity, ensures equity and
10 access to justice, and affords migrant workers an
11 accessible pathway to permanence.

12 The alternative model would robustly
13 protect workers, while also ensuring that employers
14 who uphold their legal obligations are not undercut
15 by low-road employers.

16 In this alternative model,
17 internationally recruited workers would
18 self-petition for their visas, and all workers would
19 connect directly with certified employers, through
20 a multilingual government-hosted database of
21 available jobs.

22 The simple and accessible self-petition
23 process would eliminate the need for recruiters,
24 and root out the abuses recruiters perpetuate, from
25 charging fees and discriminating, to retaliate

1 against workers who speak out against abuses.

2 Through the government's database,
3 workers could more easily change employers and leave
4 abusive situations. This model would replace the
5 patchwork of inadequate regulations that currently
6 harm workers across visa categories and industries.

7 Thank you.

8 MR. OLIVER: Thank you for your testimony,
9 and we'll move to the next witness.

10 MS. AMBROSIO AGRAZ: Distinguished
11 members of the Panel, thank you for the opportunity
12 to testify.

13 I speak on behalf of Global Rights
14 Advocacy, Tsikini, and the Environmental Defense
15 Law Center, organizations dedicated to protect
16 environmental defenders, and ensuring a state and
17 corporate accountability.

18 We have identified a profound gap at this
19 core of the USMCA. The agreement lacks mechanisms
20 to impose enhanced due diligence and share
21 responsibility on steel and mining supply chains,
22 operating in conflict-affected, or criminally
23 dominated regions.

24 This is not a minor omission. It is a
25 structural failure that allows organized crime,

1 weak or captured state institutions, and
2 transnational corporate actors, to interact in ways
3 that create severe and entirely unforeseeable risk
4 for environmental and human rights defenders.

5 In many of these regions, violence is not
6 a side-effect of trade. It is what enables
7 infraction and commerce. Corruption, impunity,
8 and the lack of oversight, in Mexico, generate an
9 undue competitive advantage for the
10 Mexican-instilled sector, while silencing
11 communities, workers, and even honest public
12 officials.

13 This violence also distorts fair
14 competition, and affects U.S. steel jobs and
15 industry.

16 The corridor of Michoacán, Colima, and
17 Jalisco, is the clearest example. It has the
18 highest number of killings and these appearances
19 of environmental defenders. And it is a strategic
20 infraction zone, where major companies, such as
21 Ternium and ArcelorMittal, operate.

22 Their presence as part of Mexico's trade
23 delegation, illustrates the influence of corporate
24 actors embedded in high-risk regions.

25 The disappearance of Ricardo Lagunes Gasca

1 and Antonio Dias Valencia, is emblematic of the
2 urgent need for robust corporate accountability,
3 and coordinate a state action.

4 To find the truth, the parties must provide
5 dedicated international corporation and technical
6 assistance.

7 The USMCA's commitment to sustainable
8 development, environmental protection, and labor
9 rights, cannot be fulfilled while defenders face
10 threats, attacks, or disappearances, for exposing
11 violations.

12 This is why our submission centers on two
13 legal and policy doctrines, that must guide the
14 future evolution of the agreement, share
15 responsibility, and enhance due diligence.

16 Shared responsibility recognizes that
17 extraction occurs in one country but supply chains,
18 financial beneficiaries, and corporate control, is
19 shared.

20 Host states alone cannot carry the burden
21 when mining a course in regions dominated by
22 criminal groups.

23 Home states, consumer states, and
24 corporations, must share obligations to prevent,
25 mitigate, and remedy harm. This is consistent with

1 the UN guiding principles, OECD standards, and
2 inter-American jurisprudence.

3 Enhanced due diligence is the operational
4 counterpart. In high-risk, or conflict-affected
5 zones, ordinary due diligence is not sufficient.

6 Enhanced due diligence requires conflict and
7 territorial assessment, identification of criminal
8 influence, regarding its betting of contractors,
9 clear particles to prevent reprisals against
10 defenders and corporations with investigations,
11 including suspending operations when necessary.

12 Based on these doctrines, we would propose
13 three structural reforms. The first one, a binding
14 USMCA annex on enhanced due diligence for steel
15 mining and other high-risk sectors. With
16 foreseeable duties, consequences for
17 non-compliance and access to remedies.

18 Second, a formal integration of shared
19 responsibility into the agreements convergence,
20 establishing obligations, not optional tools, when
21 supply chains intersect with organized crime or
22 violence.

23 And third, strengthening the Commission
24 for Environmental Cooperation, with explicit
25 authority to treat violence against defenders, as

1 an obstruction to environmental enforcement, and
2 evaluate basis for SEM submissions and factual
3 records.

4 The upcoming term review is a critical
5 opportunity to correct this systematic failure.
6 Without these reports, environmental law in
7 high-risk will remain unforeseeable, communities
8 unprotected, and supply chains will continue to rely
9 on coercion and impunity.

10 Integrating shared responsibility,
11 mandating enhanced due diligence, and empowering
12 the CIC, are not minor revisions. They are
13 essential to ensuring that North American trade does
14 not depend on the silence of those who defend land
15 and environment. Thank you.

16 MR. OLIVER: Thank you for sharing your
17 testimony. And before we begin with our next
18 testimony from Ms. Barberena, I would flag that Ms.
19 Barberena will be providing her testimony two and
20 a half minutes in Spanish, and then her interpreter,
21 Mr. Ortiz, will be interpreting it for the final
22 two and a half minutes. Por favor.

23 MS. BARBERENA (Through her Interpreter):
24 Good afternoon. Thank you for the opportunity to
25 share my testimony today.

1 My name is Adriana Barberena, I am a
2 migrant worker and a member of the Worker Defense
3 Committee, a group made up of migrant workers and
4 their families, dedicated to defending our labor
5 rights in the United States.

6 Because I lack stable income, I applied
7 for a TN visa, so I could use my education and
8 professional experience to support my daughters,
9 and continue developing my career.

10 Like the hundreds of thousands of
11 temporary migrant workers recruited each year by
12 U.S. employers, I was also seeking fair employment
13 in the U.S.

14 Unfortunately, the job opportunity
15 promised to me in my TN visa support letter, was
16 not the one I found when I arrived.

17 Instead of performing work that required
18 my knowledge and skills as a veterinarian, I was
19 assigned heavy manual labor, often in extreme heat,
20 with no opportunity to use the restroom, or drink
21 water.

22 My fellow TN visa workers and I were paid
23 less than what we had been promised. And we also
24 faced additional wage issues. When we spoke up,
25 we were silenced and threatened with being fired.

1 We knew that we were dismissed. We will have no
2 choice but to leave the country.

3 It is essential that temporary visa
4 programs, such as the TN visa program, ensure that
5 labor protections and employment contracts are
6 respected.

7 What I experienced, and what so many other
8 temporary migrant workers continue to experience,
9 happens because of a lack of oversight and
10 transparency on the part of the authorities.

11 To ensure protections are not words on
12 paper, government must fully enforce federal laws
13 that protect us from wage theft, discrimination,
14 and retaliations, when we raise our voices. And
15 they must guarantee access to legal services.

16 Above all, I want it to be understood that
17 trade depends on workers, and that workers are at
18 the heart of economy prosperity. Borders shall not
19 stand in the way of fighting fraud and labor
20 violations. Thank you very much.

21 MR. OLIVER: Thank you for your testimony,
22 and we'll move to the next witness.

23 MR. PEREZ-ROCHA: Thank you very much for
24 this opportunity. I'm an Associate Fellow at the
25 Institute for Policy Studies here in Washington,

1 DC, and I'm actual Mexican-American citizen, as I
2 have worked many years supporting approaches to
3 trade that are compatible with the peoples well
4 being and the planet's health.

5 Unfortunately, three decades of NAFTA and
6 the ensuring USMCA have proven the contrary, to
7 millions of people who live in poverty and have seen
8 their livelihoods taken away and their environment
9 destroyed, both in Mexico and the U.S.

10 The mechanisms in free-trade investment
11 agreements provide corporations with excessive
12 rights over human rights, and Mexico's a great
13 example of how ISDS, that its investment state
14 dispute settlement affects the capacity of the
15 country to regulate, being the third most sued
16 country in the world under this investment regime.

17 I am honored to read the succinct testimony
18 of Quetzal Tzab, a Mayan Indigenous leader from the
19 Yucatan Peninsula, who has been at the forefront
20 of the struggle to close a destructive mining
21 operation in an area close to the tourist paradise
22 of Playa del Carmen.

23 Normally, he have to found a vegetation
24 and water resources have been depleted, but the
25 health of the inhabitants, including children, has

1 deteriorated.

2 After the Mexican government intervened
3 to protect the fragile ecosystem, the company
4 launched an ISDS claim against Mexico for the
5 purchase amount of \$1.9 billion under NAFTA's ISDS
6 rules.

7 Mr. Tzab planned to be here in person to
8 testify, but was unable to change his travel when
9 this hearing was postponed.

10 So, I'm going to read the succinct text
11 that he sent for this hearing.

12 It says, "Quetzal Tzab. I would like to
13 acknowledge the importance of this treaty, taking
14 into account its social, labor, and environmental
15 lean text.

16 "I am from Playa del Carmen, an area where
17 nature is at its most splendid, surrounded by the
18 Caribbean Sea, a paradise where just a few
19 kilometers from the beach.

20 "There are multi-cultural Indigenous
21 communities, and a mine called Calica -- no cult,
22 Vulcan. Vulcan is a company that owns the Calica
23 mine. Legacy Vulcan LLC, a U.S. company.

24 "Vulcan was granted the permission to
25 operate in the 1980s, and has not stopped since,

1 causing irreversible damage to nature and
2 surrounding communities.

3 "The mine has specifically impacted
4 health, the traditional way of life of the
5 community, access of water and the right to breathe
6 clean, unpolluted air.

7 "I resort to the question of the stone
8 material exported by the company, to build freeways
9 and highways here.

10 "During the human settlements around
11 Vulcan, have turned to human settlements around
12 Vulcan, the Vulcan mind into two enclaves, since
13 most of the inhabitants work around Vulcan. But
14 that does not imply concrete benefits for the
15 population.

16 "It is for reason that there's an urgent
17 need for ISDS to be exempted in this review, for
18 reasons that damage for national relationship. So
19 it is, in the case of Calica Vulcan.

20 "It's an open wound that we experience in
21 a stock manner, as the minors have excavated
22 excessively, as if it were an infinite quarry
23 causing irreparable damage." End of quote.

24 Would just like to ask that the people that
25 have to migrate to the tourist resorts of the

1 Caribbean from all over Mexico, all over the
2 country, in search of work, would do much better
3 with the \$1.9 billion U.S. dollars that the Vulcan
4 company is demanding at the World Bank's
5 International Center for the Settlement of
6 Investment Disputes.

7 With this money, a lot of local economic
8 firms could be fostered, and that would also help
9 to stem forced migration to the north.

10 ISDS is a one-way tool in a world where
11 corporations are enriching themselves as never
12 before, while people are doomed to look for work
13 anywhere and leave behind destroyed livelihoods.

14 "It was a positive step forward during the
15 previous USMCA negotiation, when ISDS was removed
16 between the U.S. and Canada," my colleague said,
17 "and reduced in scope with Mexico."

18 But the ongoing Vulcan case highlights the
19 injustice of this system, and serves as an example
20 of why ISDS should be fully removed.

21 We ask the parties to the USMCA to please
22 address people's needs, and not only the right
23 granted by a free-trade agreement to a corporation
24 -- in this case, Vulcan -- to continue exploiting
25 Mexico. Thank you very much.

1 MR. OLIVER: Thank you. And thank you all
2 for your testimonies. We'll now turn to our panel
3 of U.S. Government officials to ask some questions.

4 And as a reminder, each witness will
5 receive one question, and will have a maximum of
6 two minutes to respond. And with that, I will turn
7 it over to Mr. Watson for the first question.

8 CHAIR WATSON: Thank you. And again,
9 thank you all for your very thoughtful testimony.

10 We will start, the first question will be
11 for Ms. Oakes. So, I think there are two parts to
12 this question, and some of it I think you began to
13 address in your testimony.

14 But the first question is, what do you feel
15 has been the impact of the USMCA on Indigenous
16 workers? And the second question is just, what is
17 the key message you want us to take away from today's
18 hearing?

19 MS. OAKES: So, I live on my reservation
20 in Akwesasne, which is located on the border of
21 Canada and the U.S. It's three borders: Ontario,
22 Quebec, and New York State.

23 And economically, economics aren't good
24 there. We basically have a casino and some
25 cigarette trade happening, and cannabis trade

1 happening, and everybody wants to operate in a
2 self-determined way within our nation.

3 So, there's not much crossover when it
4 comes to developing any businesses beyond our
5 reservation territories.

6 And that could be mainly due to us being
7 non-taxable, which is something that would prefer
8 to be, like, maintained through our Jay Treaty
9 agreements, with our rights to trade across the
10 border, and trade amongst each other from nation
11 to nation, not just from, like, the U.S. and our
12 nation of Akwesasne Mohawk people, but from our
13 other brothers and sisters on other reservations
14 across the border and along the border.

15 I'm Haudenosaunee, so we're six nations,
16 and our first reservation starts in Kahnawake, the
17 western portion, all the way out towards Buffalo,
18 which is the Senecas.

19 And there's a lot of trading that could
20 happen there -- at minimum, amongst ourselves --
21 that's being prohibited, where the Jay Treaty is
22 not being honored.

23 And so, for me, within the USMCA, there's
24 language in there that is very vague. And I think
25 that reaffirming the Jay Treaty laws and the Treaty

1 of Ghent that reaffirms the Jay Treaty law, and also
2 the Two-Row, which all state are treaty rights in
3 self-determination, cross-border --

4 I live on an island that's between the U.S.
5 and Canada, on an island that's in kind of like
6 no-man's land. The customs are across each bridge.

7 So, it gets pretty sticky when it comes
8 to our economy and trade. And I think with language
9 included in the USMCA, that would be really helpful
10 and help us grow in a way.

11 We also have issues with land claims that
12 are also sort of taking our futures away, as far
13 as economic development goes. And just would
14 prefer the language to be inclusive of our treaties.

15 MR. OLIVER: Thank you for your response.

16 And the next question will be from Ms.
17 Dougan.

18 MS. DOUGAN: This question is for Ms. Del
19 Moral.

20 What role can USMCA partners play in
21 addressing violence against workers and their
22 communities in Mexico and are there specific changes
23 to the Agreement you would recommend to ensure we
24 are able to achieve your suggested goals?

25 MS. DEL MORAL: Thank you for the

1 question.

2 So, what we're seeing in Mexico is that
3 the trade drive consolidation in agriculture, in
4 mining, and energy has really intensified disputes
5 over land and natural resources.

6 So, these sectors disproportionately
7 affect indigenous and rural communities, which are
8 already targeted by organized crime and local power
9 holders.

10 So, when the communities resist land grabs
11 or refuse displacement, they face threats,
12 disappearances, and lethal violence.

13 According to Mexican government data, more
14 than 110,000 people are currently disappeared and
15 indigenous land offenders are among the most at
16 risk.

17 So, although the USMCA does not directly
18 cause this violence, it -- the rules create
19 incentives for mega projects and foreign investment
20 without adequate safeguards.

21 And so, when the economic model encourages
22 extraction and dispossession without strong
23 protections, the result is a rise in attacks on
24 communities defending their territories.

25 The other thing I would add on to the rapid

1 response mechanism, we think that the governments
2 that are resolving too many of the cases without
3 securing long-term gains for workers, you know, out
4 of the 32 cases concluded by mid-2025, half were
5 resolved during review.

6 And so, it really raises the legal
7 consequences of not being able to access the rapid
8 response mechanism, either because they don't know
9 the USMCA exists, the workers, or they don't know
10 that the U.S. government is monitoring and enforcing
11 their labor rights.

12 So, and also, you know, most workers assume
13 the U.S. government has mixed motives. So, it's
14 really about the information and transparency and
15 accountability when it comes to the rapid response
16 mechanism.

17 Thank you.

18 MR. OLIVER: Thank you for your response.

19 The next question will be coming from Mr.
20 Quintana.

21 MR. QUINTANA: Thank you, everybody, for
22 your comments and testimony.

23 My question is for Ms. Rachel Micah-Jones.

24 You spoke about improving protections for
25 migrant workers.

1 How might enhancing and enforcing
2 protections under the USMCA for migrant workers
3 enhance labor rights and wages for workers across
4 the USMCA parties? That's the first part.

5 And what specific recommendations do you
6 have on this matter?

7 MS. MICAH-JONES: Excuse me, sorry to talk
8 in Spanish, I don't know what that was about, but
9 good to see you, Carlos.

10 So, you know, I think for -- with regards
11 to enforcing labor protections for workers who are
12 recruited internationally to work in the United
13 States, it's really important because it does have
14 an impact, not just on the migrant workers who are
15 recruited internationally, but all workers in the
16 United States and in similar industries in Mexico
17 and Canada as well.

18 And so, I think it's, you know, certainly,
19 really important to ensure that those labor
20 standards are upheld.

21 As far as like specific recommendations,
22 we have a whole host of specific recommendations
23 for changes that the U.S. government needs to make
24 to bring itself into compliance with the obligations
25 that were stated under the USMCA.

1 But there are also changes to the USMCA
2 which we would recommend.

3 Our experience has been that, for
4 internationally recruited workers to the United
5 States, for example, the rapid response mechanism
6 is inaccessible, particularly because of Footnote
7 2 and the fact that most of the workers that are
8 involved in our organizations are not covered by
9 the protection of the NLRA.

10 And also, to get -- I mean, I can share
11 some additional analysis of this writing after, but
12 certainly, removal of Footnote 2 would be important.

13 The other thing is is for the claims that
14 are brought under the general labor chapter, what
15 we've noticed is we've seen very little progress.

16 You know, I'm speaking today as chair of
17 Migration Networks, but I also direct an
18 organization that brought a complaint under the
19 Labor Chapter.

20 And we brought that complaint in March of
21 2021. And to this day, we've seen very little
22 progress on the issues that were raised in that
23 complaint.

24 And so, you know, having clear timelines
25 and concrete mechanisms to sort of advance the

1 Chapter 23 process would be helpful.

2 Thank you.

3 MR. OLIVER: Thank you for your response.

4 The next question will come from Mr.

5 Manogue.

6 MR. MANOGUE: Thank you.

7 So, this is for Ms. Ambrosio Agraz.

8 And so, in your submission, you suggest
9 the USMCA be used to address violence by criminal
10 elements in the steel and mining sectors.

11 What specific mechanisms are you
12 proposing?

13 MS. AMBROSIO AGRAZ: Thank you for your
14 question.

15 I think that it's something that is very
16 important to put into the discussion and we will
17 be also glad to provide a more detailed answer by
18 email later.

19 But in our proposal, we established three
20 different points.

21 I think that the most important one there
22 is the -- it's the threatening of the commission
23 for environmental incorporation.

24 Currently, also, as my colleague here
25 established, there is a high level of violence for

1 environmental defenders and human rights defenders
2 in Mexico in the mining sector.

3 Companies there, they also collaborate in
4 certain levels for -- in this violence.

5 Home states are -- alone, they cannot take
6 the bother of these wrongful actual acts. It should
7 also go beyond to third states, but also to
8 corporations.

9 We believe right now that, at the timing,
10 in areas where violence silences communities and
11 defenders, it becomes impossible to activate
12 environmental enforcement provisions under Article
13 -- under Chapter 24 of the treaty.

14 Currently, the CEC cannot act when
15 violence prevents the application of environmental
16 law.

17 Our proposal to the CEC is to, first,
18 consider attacks and violence to environmental and
19 human rights defenders as an obstruction of
20 environmental law.

21 Second, to establish the acceptance of SEM
22 submissions involving these acts of violence.

23 And third, to use CEC factual records for
24 state to state consultations and compliance.

25 We believe that it is very important to

1 put this in the next term review and we would like
2 to provide a more detailed answer later.

3 MR. OLIVER: Thank you for your response.

4 The next question will be coming, again,
5 from Ms. Dougan.

6 MS. DOUGAN: This question is for Ms.
7 Barberena.

8 What motivated you to come to the United
9 States on a TN Visa? And what do you hope to get
10 out of the program?

11 (Foreign language spoken.)

12 MS. BARBERENA: So, basically, I was --
13 it was because lack of a stable income and I want
14 to support my family and specifically, my daughters,
15 and also, to use my education and professional
16 experience to support my family and have more
17 experience.

18 MS. OLIVER: Thank you for your response.

19 The final question will be coming again
20 from Mr. Watson.

21 CHAIR WATSON: Thank you.

22 And so, the final question is for Mr. Perez
23 Rocha.

24 I think you -- I know that you've talked
25 about ISDS in your presentation.

1 But I think the question that I would like
2 to ask is, are there other things that you can talk
3 about that you would like to see in the USMCA joint
4 review or you would like to see us consider in the
5 USMCA joint review related to the issues that you've
6 raised?

7 MR. PEREZ-ROCHA: Yes, thank you very
8 much.

9 I think that many of the issues that have
10 been raised here are related to the question of ISDS.

11 ISDS is just sort of the, you know, like
12 the cap of many problems that are part of the
13 relation between the U.S. and Mexico and with
14 Canada.

15 For example, the lack of enforceability
16 for indigenous rights, the lack of really
17 responsibility for labor standards, for the lack
18 of, you know, capacity to move on into the
19 qualification or in part of the balance of labor
20 salaries, wages, and so on.

21 And many of these things are preventive
22 by precisely the rights of corporations in
23 intervening when human rights, even labor rights,
24 indigenous rights are trying to be defended.

25 The rights of investors are the ones who

1 prevail.

2 So, ISDS is just, as I said, just the cap
3 of a system that, in general, tends to benefit the
4 business partners over the rights of the population
5 of indigenous peoples.

6 So, it's part of the, I mean, the question
7 is very good and for, I think that the overall aim
8 of balance in human rights with investor rights
9 within the USMCA is -- the ISDS is part of it. The
10 ISDS is at the crown of something that really gives
11 corporations immense rights over peoples' rights.

12 Thank you.

13 MR. OLIVER: Thank you, and thank you,
14 all, for your responses and your testimony, your
15 responsiveness to the questions and your time with
16 us today. We really appreciate it.

17 We also appreciate the U.S. government
18 panelists who joined us today as well.

19 And with that, this panel is concluded.

20 We just ask, if you will please grab your placards
21 and put them right over here, it would be greatly
22 appreciated.

23 And then, we also ask that the members of
24 Panel 11 please step forward. We ask that you also
25 please bring your placards with you and please

1 remain in the order that you're seated, the order
2 that's included in the schedule.

3 Thank you so much.

4 CHAIR WATSON: Okay, let's go ahead and
5 get started.

6 Welcome to the final panel of the first
7 day of the public hearing for the USMCA joint review.

8 Thank you all for being here. We've had
9 a really pretty fantastic day of very efficient and
10 very well organized presentations. I'm sure we'll
11 get that here today, too.

12 We do have new panelists on our side
13 because of the new subject matter. And so, I'm
14 going to ask them to introduce themselves, starting
15 on, I'm Daniel Watson, Assistant U.S. Chair for the
16 Western Hemisphere.

17 MR. LEE: Daniel Lee, Assistant USTR for
18 Innovation and Intellectual Property.

19 MS. CASCARANO: Isabelle Cascarano, I'm
20 the Deputy Assistant Secretary for the Western
21 Hemisphere at the U.S. Department of Commerce.

22 CHAIR WATSON: We're also expecting a
23 colleague from the FDA, he should be arriving at
24 any time. But anyway, he's Joe Rieras. I don't
25 know if we'll have time for him for introduce himself

1 when he arrives.

2 But once he's here, he will also be serving
3 on the panel.

4 So, I think you know the rules. I saw you
5 waiting patiently, so five minutes for your
6 presentations.

7 You'll each get at least one question.
8 And then, two minutes for your response.

9 And with that, we'll go ahead and get
10 started and the first speaker will be Mr. Aziz.

11 MR. AZIZ: Great, thank you.

12 My name is Anjam Aziz and I'm a Senior
13 Director for International Advocacy at the
14 Pharmaceutical Research and Manufacturers of
15 America., PhRMA.

16 On behalf of the U.S. Pharmaceutical
17 Innovators and PhRMA appreciates the opportunity
18 to testify regarding the operation of the USMCA to
19 inform its joint review.

20 The U.S. pharmaceutical industry produced
21 one-half of the world's molecules, supports nearly
22 five million jobs in the United States, and
23 contributes over 1.65 trillion in economic output.

24 This global leadership is not guaranteed.
25 It is sustained by strong and enforceable

1 intellectual property protections, healthcare
2 systems that reward the value of innovation, and
3 fair and transparent access to global markets.

4 The USMCA joint review is a critical
5 opportunity for the United States to reinforce these
6 pillars of American PhRMA pharmaceutical innovation
7 by prioritizing the following three issues.

8 First, the joint review must ensure that
9 Canada and Mexico fully meet their outstanding USMCA
10 obligations.

11 Mexico has not implemented key
12 intellectual property, regulatory, and procurement
13 commitments, including to establish effective
14 patent enforcement mechanisms to prevent marketing
15 of patent infringing follow on products, provide
16 patent term extension to compensate for the time
17 lost due to regulatory approval processes,
18 implement regulatory data protection to safeguard
19 confidential test data submitted to regulatory
20 authorities to demonstrate the safety and efficacy
21 of medicines, address the backlog of marketing
22 authorization approvals for medicines, and ensure
23 government procurement is open, fair, and
24 transparent without sacrificing participation or
25 expedited approvals based on local manufacturing,

1 investment, or IP considerations.

2 Canada also remains out of compliance,
3 including deficient patent term adjustment and
4 patent term extension systems which runs
5 simultaneously instead of separately, and negate
6 intended protections, market access delays due to
7 onerous government reimbursement processes,
8 resulting in an average 25-month delay, twice as
9 long as most OECD countries, and pricing and
10 reimbursement policies that undervalue U.S.
11 medicines.

12 Now, I'll give an example here, by
13 excluding the United States and Switzerland from
14 its reference price basket and relying on countries
15 with onerous price controls, Canada deeply
16 undervalues U.S. innovation, reducing launch prices
17 by up to 90 percent for certain innovative
18 medicines.

19 Second, the joint review should strengthen
20 the USMCA's intellectual property provisions so
21 that the agreement reaches its full potential to
22 protect American intellectual property and promote
23 North American innovation, supply chains, and
24 reciprocal trade.

25 In 2018, USMCA text negotiated by the Trump

1 Administration and accepted by Canada and Mexico
2 included high standard intellectual property
3 provisions.

4 Unfortunately, these provisions were
5 removed or significantly weakened in 2019 to satisfy
6 the demands of the vocal minority in Congress.

7 The joint review should achieve the
8 highest intellectual property standards and provide
9 protections consistent with those afforded in the
10 United States, including 12 years of regulatory
11 protection for biologics.

12 At a minimum, restoring the provisions
13 removed in 2019 would bring Canada and Mexico closer
14 to U.S. standards, including for biologics, require
15 two of the United States closest trading partners
16 to honor their previous commitments to protect
17 American intellectual property, and strengthen
18 North American innovation and supply chains.

19 Third, as part of the joint review process,
20 Canada must be held accountable for paying its fair
21 share for American innovation.

22 President Trump's Executive Order signed
23 on May 12th, 2025 regarding prescription drug
24 pricing underscores that foreign pricing policies
25 unjustifiably shift research and development costs

1 on to American patients and taxpayers.

2 Canada is a prime example, spending just
3 0.34 percent of GDP per capita on new innovative
4 medicines, less than half of the 0.78 percent spent
5 in the United States.

6 So, full implementation of existing
7 obligations, securing high standard intellectual
8 property protections, and ensuring other wealthy
9 nations pay their fair share or promote reciprocal
10 trade, strengthening North American
11 competitiveness, and sustained innovation American
12 and global patients depend on.

13 The biopharmaceutical industry strongly
14 supports the joint review and believes the process
15 can produce a gold standard for free trade
16 agreement.

17 Thank you for your attention and the
18 Administration's commitment to defend American
19 innovation.

20 MR. OLIVER: Thank you for your testimony.
21 We'll now move to the next witness.

22 MS. PARSHALL: Hi, my name is Cassidy
23 Parshall. I'm the Program Manager for Universities
24 Allied for Essential Medicines.

25 UAEM is a researcher and driven

1 organization that works to ensure that health
2 products developed in university labs with public
3 funding are accessible to the people who need them.

4 Today, nearly 30 public health, faith, and
5 civil society organizations join UAEM in urging for
6 a revised USMCA that serves the public interest and
7 does not limit access to medicines.

8 These organizations include Treatment
9 Action Group, Doctors Without Borders USA,
10 Interfaith Center and Corporate Responsibility,
11 National Nurses United, Social Security Works,
12 Communications Workers of America, and Public
13 Citizen, among others.

14 Our message today is that trade agreements
15 must not stand in the way of health and access to
16 medicines.

17 Across North America, people are
18 struggling with drug prices that are far too high
19 and, in its current form, the USMCA locks in rules
20 that keep medicines unaffordable, discourage
21 competition, and ultimately, impede the
22 availability and accessibility of medicine.

23 As such, there's an urgent need for the
24 U.S., Mexico, and Canada to revise the USMCA to
25 remove these harmful provisions.

1 We believe that it -- the most effective
2 solution is to remove the intellectual property
3 chapter from the agreement entirely.

4 The balance between the rights of patent
5 holders and the right to public health is a matter
6 for democratic policymaking, not decisions that
7 should be rushed through international trade
8 agreements, negotiated in secret.

9 But if the intellectual property chapter
10 remains in the agreement, several pharmaceutical
11 related provisions must be removed.

12 First, patent term extensions that grant
13 corporations additional years of monopoly beyond
14 the internationally agreed 20-year term.

15 Term extensions significantly delay
16 access to generics, restricting access to
17 affordable medicines, and increasing health system
18 costs.

19 Second, regulatory exclusivity that
20 grants additional monopoly protections beyond those
21 provided by patents.

22 These exclusivities are independent of
23 patent protection, blocking generic market entry,
24 even when a medicine is not protected by a patent,
25 or when public interest exceptions are needed to

1 facilitate access and respond to health
2 emergencies.

3 Third, patent linkage that links medicine
4 marketing approval status to patent status.

5 Under patent linkage, even weak or
6 questionable patents can be used to delay the
7 introduction of generics.

8 Patent linkage systems can facilitate
9 abuse since the financial benefits of blocking
10 generic competition often outweigh the risks of
11 penalties.

12 And last, enforcement provisions beyond
13 internationally agreed standards.

14 The USMCA's enforcement provisions give
15 companies expanded remedies beyond the generous
16 infringement remedies they already have, further
17 upsetting the balance between the representation
18 of industry interests and the public interest.

19 These mechanisms risk chilling legitimate
20 policy actions aimed at expanding access to
21 medicines.

22 Ultimately, the USMCA in its current form
23 puts private interest of pharmaceutical
24 corporations above public health.

25 We urge the U.S., Mexico, and Canada to

1 pursue a revised agreement that helps address the
2 shared problem of excessive drug prices and allows
3 all parties to protect health and provide timely
4 access to affordable medicines.

5 Thank you for the opportunity to testify
6 and for considering the necessary reforms to ensure
7 that the revised agreement serves the public's
8 interest.

9 MR. OLIVER: Thank you for your testimony.
10 We'll now move to the next witness.

11 MR. SANDERS: Good afternoon and thank you
12 to the U.S. government for the opportunity to
13 contribute to this important analysis of the USMCA.

14 My name is Alejandro Sanders, Executive
15 Director of the Mexican Pharmaceutical Council.

16 Our organization represents the leading
17 Mexican pharmaceutical laboratories engaged in
18 production, innovation, research, and development.

19 And our members contribute over 10 percent
20 of the pharmaceutical industry's employment in
21 Mexico.

22 And having invested more than \$2 million
23 over the last 5 years while maintaining a commercial
24 and operational presence in over 40 countries, while
25 our members work together to advance the development

1 and growth of the pharmaceutical industry in North
2 America.

3 Let me begin with a simple but important
4 reality.

5 North America remains a structurally
6 dependent on known market, external suppliers for
7 a very large share of its essential medicines,
8 active pharmaceutical ingredients, APIs, and key
9 starting materials, KSMs.

10 As you know, this is not just a commercial
11 issue. It is a strategic vulnerability for our
12 region's health security and industrial
13 competitiveness.

14 But we also have enormous strengths.
15 Mexico brings a world-class base of finished dosage
16 manufacturing.

17 We bring efficiency, compliance,
18 geographic proximity, and shared values that
19 enables secure, fast, and efficient delivery into
20 the U.S. market.

21 And together, the United States, Mexico,
22 and Canada, we already have the foundations of the
23 most competitive pharmaceutical region in the
24 world.

25 This review is our chance to make the USMCA

1 the platform to build on those strengths.

2 First, maintaining zero tariffs on
3 regionally manufactured products which is
4 foundational.

5 It protects affordability, supports
6 reinvestment, and helps us compete against heavily
7 subsidized production outside our hemisphere.

8 Second, we encourage discussion of
9 modernized Rules of Origin, especially for
10 essential medicines, APIs, and KSMs.

11 These reforms should reward genuine North
12 American content, prevent transshipment, and be
13 based in responsibility through strategic joint
14 investments.

15 Third, we believe a strong, more
16 predictable, and fully harmonized intellectual
17 property framework.

18 This will help balance innovation and
19 timely access to generics through goals that, at
20 the end, reinforce each other where rules are clear
21 and transparent.

22 Fourth, we see enormous potential in
23 deeper cooperation among FDA, COFEPRI and Health
24 Canada.

25 Mutual reliance on inspections, joint

1 pathways, and a permanent FDA presence in Mexico.

2 These are practical steps that will
3 strengthen oversight and accelerate approvals.

4 Finally, government procurement can be a
5 decisive catalyst. A North American procurement
6 approach for essential medicines, APIs, and KSMs
7 would give the industry the long-term certainty
8 needed for major investments.

9 In summary, supporting the security roles
10 in the region would positively impact the economic
11 and public health security of the North American
12 region as well as positioning the regions as a game
13 changer in the development of cooperative
14 strategies among regional blocks.

15 The USMCA parties can significantly
16 benefit from more resilient and integrated supply
17 chains, increased availability of medication across
18 countries, and escalating of intellectual processes
19 within the region.

20 Finally, we consider that the
21 pharmaceutical industry can replicate integration
22 of successes seen in other key sectors by applying
23 common rules of a region, targeted incentives, and
24 joint innovation and investment strategies.

25 North America has the talent, the science,

1 and the manufacturing base. The USMCA is not
2 perfect, but it is indispensable and improvable.

3 And the review and this review is a
4 historic opportunity to build the safest,
5 healthiest, and most competitive pharmaceutical
6 region in the world.

7 We truly believe this is a win-win scenario
8 for North America. A region can only achieve
9 sustained productivity, prosperity, and justice
10 when its neighboring populations are health,
11 secure, and thriving.

12 We believe this is moment -- this is the
13 moment to move from dependence to resilience, from
14 fragmentation to integration, from vulnerability
15 to leadership.

16 Mexico pharmaceutical industry stands
17 ready to work with our partners in the United States
18 to make this vision real.

19 MR. OLIVER: Thank you for your testimony.

20 And we'll now move to the next witness.

21 MR. DEL OLMO HIDALGO: Thank you
22 distinguished members of the panel.

23 My name is Ricardo del Olmo Hidalgo, the
24 Mexican representative of the Pharmaceutical
25 Manufacturers Association.

1 And I'm very pleased to be part of this
2 review of the United State, Mexico, and Canada
3 agreement.

4 On behalf of ANAFAM, that's the acronym
5 of my association, I want to express our firm support
6 for preserving and strengthening the USMCA as a
7 construct of North American economic and health
8 security.

9 The pharmaceutical industry has
10 benefitted from the agreements, contributions to
11 regulatory integration, and more resilient supply
12 chains.

13 And we are convinced that the upcoming
14 review is a unique opportunity to deepen these gains
15 by positioning pharmaceuticals of the center of
16 North America's strategy for access to medicines,
17 innovation, and strategic autonomy.

18 We come here today to briefly outline the
19 importance of our sector from a regional perspective
20 to present concrete, constructive proposals so that
21 the USMCA can get better serve patients, workers,
22 and communities across all different countries
23 while reiterating our gratitude for being included
24 in this important dialogue.

25 ANAFAM represents leading national and

1 international laboratories engaged in the
2 production, development of generic medicines, and
3 also innovation and research in Mexico, serving
4 patients in our country and in more than 60 others
5 worldwide.

6 ANAFAM is convinced that USMCA has been
7 a catalyst for our sector by sending a clear signal
8 that North American seeks a more self-reliant and
9 competitive manufacturing base.

10 The pandemic clearly demonstrated the
11 dependence on Asian countries without free trade
12 agreements for active pharmaceutical ingredients
13 and essential medicine as a strategic
14 vulnerability.

15 And that health security is now
16 inseparable from economic and national security.

17 From this perspective, preserving and
18 strengthening the USMCA is essential, not only for
19 trade, but for building a robust regional health
20 architecture to the current in timely affordable
21 access to medicines for our populations.

22 I would like to underline that the
23 pharmaceutical industry shares the same
24 characteristics that have made the automotive
25 sector a success, a successful example of regional

1 integration.

2 A technological intensity, complex cross
3 border value chains and a large operating integrated
4 consumer market.

5 And I firmly believe that the upcoming
6 review is a unique opportunity to evolve USMCA from
7 the current instrument into a platform for strategic
8 operation in public health, innovation, and
9 economic security.

10 For this reason, we respectfully propose
11 that taking advantage of the USMCA review process
12 and the government's commitment to building a North
13 American pharmaceutical policy that combines
14 industrial incentives, regulatory harmonized and
15 coordinated for public procurement.

16 Such a policy will lever us to network a
17 complimentary of our three economies and together,
18 we can establish a resilient, principle, and a USMCA
19 compliance supply chain for APIs, KSM materials and
20 finished medicines.

21 Generic medicines are the backbone of our
22 health systems. We, as a region, have strong
23 generic manufacturing sites with high quality,
24 skilled labor forces, and capacity.

25 This is a strong breaking point to foster

1 both the production of APIs and generic medicines
2 into the region.

3 Seventy-seven percent of all the Mexican
4 medicines market is generic.

5 Here in the United States, 90 percent of
6 the market share is generic, but only 37 percent
7 is manufactured in this country, and only 12 percent
8 of the APIs are made here, and only 8 percent of
9 the APIs used in the generic production sector in
10 Mexico is not imported.

11 Creating a regional framework for
12 production and trade where updated Rules of Origin
13 to stimulate local production of KSMs and APIs and
14 discourage simple transshipment affects to regions
15 inputs.

16 This should include realistic transaction
17 periods so companies can adjust their production
18 chains and undertake the necessary investments.

19 In order to implement the framework,
20 deeper regulatory cooperation between FDA and
21 COFEPRIS should involve the current relationship
22 into comprehensive pharmaceutical alliance with
23 mutual recognition of inspections, joint review
24 pathways, and a permanent FDA presence in Mexico,
25 modeled on the existing FDA's office in India and

1 building on U.S. in pharmaceutical annex.

2 This will accelerate access to safe,
3 effective medicines and improve regulatory
4 cooperation across the region.

5 And we should coordinate production
6 incentives aligned with Mexican Plan Mexico with
7 committed significant resources to industrial
8 incentives with U.S. and Canada programs, including
9 the possible use of U.S. developing banking
10 instruments to support API and KSM plants.

11 Thank you.

12 MR. OLIVER: Thank you for your testimony.
13 We'll now be moving to the next witness.

14 MR. BIPES: Good afternoon, my name is
15 Stephen Bipes, Vice President of Advanced Medical
16 Technology Association, AdvaMed.

17 I'm testifying today to express AdvaMed's
18 strong support for the USMCA as beneficial to the
19 continued U.S. leadership of the global medical
20 technology industry, also known as medtech, and to
21 urge the administration to reaffirm the agreement
22 for another term during the 2026 joint review.

23 I also provide a brief summary of AdvaMed
24 recommendations for continued strengthening of the
25 USMCA commitments, ensuring tariff and barrier-free

1 medtech trade and support of unparalleled U.S.
2 medtech manufacturing competitiveness.

3 AdvaMed is the world's leading medtech
4 association whose over 600 members, 75 percent of
5 which are small and medium sized enterprises are
6 the medtech companies that invent, develop,
7 manufacture, and distribute products that fill
8 every hospital, health clinic, nursing home,
9 ambulance, and doctors offices in American and
10 increasingly provide more products in home
11 settings.

12 U.S. medtech industry is an American
13 manufacturing powerhouse, the global leader in
14 medical innovation, and the backbone of the U.S.
15 and global healthcare industries.

16 As a significant contributor the U.S.
17 industrial base, the medtech industry supports
18 three million American jobs and nearly 17,000
19 manufacturing facilities across all 50 states.

20 Medtech is a powerful engine for the U.S.
21 economy, generating approximately \$200 billion in
22 production output.

23 Globally, the U.S. medtech manufacturing
24 footprint is a strategic asset that drives
25 approximately \$75 billion in exports annually,

1 supporting an estimated 160,000 directly.

2 American companies represent about 40
3 percent of the roughly \$600 billion global market
4 for medical devices, and provide patients access
5 to the highest quality medtech and diagnostics in
6 a 195 countries.

7 Yet, to realistically manufacture and
8 supply the full range of complex and cost-effective
9 products to healthcare systems from sutures to
10 pacemakers, neonatal incubators to MRI machines and
11 strep tests to cancer diagnostics, some imports and
12 components are required.

13 As proven during and since the global
14 pandemic, our robust trade allows U.S.
15 manufacturers to focus on high-valued production
16 and research and development, 90 percent of which
17 occurs in the United States.

18 The USMCA trade commitment is critical to
19 the medtech industry, including maintaining open,
20 fair, and reciprocal tariff-free trade with the
21 U.S.'s North American neighbors, Mexico and Canada,
22 advancing greater regulatory convergence, and
23 continued procurement incentives to enhance U.S.
24 competitiveness at home and abroad.

25 A renewed USMCA can ensure that this

1 critical American industry continues to thrive,
2 innovate, protect, and strengthen the economic and
3 healthcare systems of the United States, leveraging
4 the unparalleled assets of a U.S.-drive North
5 America and the USMCA as the most successful trade
6 agreement in the history of the world.

7 AdvaMed assess that implementation of and
8 a compliance with the USMCA by the three governments
9 for the chapters of most relevance an impact to the
10 medtech industry and supply chain has created a
11 solid foundation for effective operation of the
12 agreement.

13 We also note opportunities for improvement
14 with specific trade commitment disciplines.

15 In particular, we recommend, one,
16 maintaining zero-for-zero tariffs on medical
17 technology.

18 Two, preserving Rules of Origin to avoid
19 disruptions in the highly regulated and complex
20 medtech supply chains.

21 Three, re-integrating Canada into the
22 USMCA government procurement chapter to ensure fair
23 access and prevent third-country circumvention.

24 Four, strengthening the regulatory
25 convergence and alignment with the United States,

1 including implementation of regulatory reliance and
2 recognition pathways, digital and paperless
3 systems, elimination of market authorization
4 backlogs, enforcing good regulatory practices,
5 aligning on supply chain and tax rules and
6 enforcement, and zeroing non-tariff barriers, many
7 of which are technical barriers to trade.

8 Five, modernizing customs procedures to
9 achieve world-class efficiencies for medtech
10 exports and supply chains.

11 And finally, six, leveraging
12 competitiveness provisions to secure critical
13 mineral supply chains essential to AdvaMed to
14 advance medical manufacturing.

15 In closing, AdvaMed and its members
16 welcome the continued opportunity to work with the
17 U.S. administration and Mexican and Canadian
18 governments to advance the U.S. and North American
19 medtech industry's global leadership and
20 competitiveness.

21 And we look forward to close collaboration
22 in the review and strengthening of the USMCA.

23 We urge the administration to prioritize
24 medtech in the upcoming USMCA review and to renew
25 the agreement, ensuring that it continues to deliver

1 on its promise of tariff and barrier free trade in
2 support of continued U.S. medtech manufacturing and
3 innovation leadership.

4 We stand ready to support the
5 administration in this effort.

6 We appreciate the opportunity to testify
7 today. I look forward to answering questions you
8 might have, either today during the hearing or in
9 a follow up submission.

10 Thank you.

11 MR. OLIVER: Thank you for your testimony.

12 And we'll now move to the final witness.

13 MR. LIETZKE: Final, I think that might
14 be everyone's favorite word in my presentation.
15 Right?

16 Well, listen, on -- let's finish with a
17 word of unity because what we're accomplishing here
18 across the three nations I think is remarkable.

19 I'd like to say a word to compliment Mr.
20 Sanders and his comments and what he's doing in
21 Mexico and his colleagues as well.

22 And AdvaMed, and what you mentioned,
23 Steven Bipes, is critical to the U.S. medical device
24 industry. It's done a lot to transform ethical
25 behavior. I've seen it firsthand quite a bit.

1 So, let's all pull together on some of
2 these ideas.

3 I'm here as President or CEO of a company
4 called VACERE Medical. And we have technology
5 which is the first defibrillator for stroke.

6 We come out of Cleveland, Ohio.

7 But we're a collaboration of strong
8 leadership in Mexico as well as strong leadership
9 in the United States.

10 Let's talk about that. Okay? Because it
11 is a good news.

12 And then, I want to talk about an
13 opportunities type action here plant the seed that
14 will be an opportunity to improve health security
15 and economic security for people across our
16 countries.

17 So, we have a defibrillator for stroke.

18 The first life was saved by the cardiac
19 defibrillator in Cleveland, Ohio. And we're
20 excited to have members of that hospital system on
21 board with us as clinical advisors.

22 We'll continue our clinical work in
23 Cleveland to prove the safety and the efficacy of
24 our device so we can get it to patients.

25 We are addressing a large, a massive,

1 critical problem globally. Okay? It's one of the
2 top five causes of death globally, stroke, one of
3 the top five causes of disability globally.

4 It consumes 34 percent of the world's
5 healthcare budgets, massive problem. Okay?

6 To get this approved in the U.S., Mexico,
7 and Canada, that is a three-step process right now.

8 And there's collaboration and I commend
9 that.

10 I think we can move together even more
11 closely to unify an approval process.

12 Why is that an opportunity here?

13 It's an opportunity because companies at
14 the stage of VACERE, and there are thousands of these
15 technology companies across Canada and the U.S. and
16 Mexico.

17 They're seeking to get approval for the
18 first time for their technologies, to get this
19 technology to patients in need, to save lives, to
20 prevent disability, to do those sorts of things.

21 The challenge is something called the
22 Valley of Death. And that sounds ominous and it's
23 a bit ironic in this context.

24 But the Valley of Death is a well-known
25 term, companies fail in the Valley of Death because

1 they don't get the investment they need to carry
2 them through years of safety and efficacy, testing
3 and validation, which is essential to continuing
4 to develop the world's leading medical devices and
5 pharmaceuticals. Okay?

6 And that's part of what we've all done here
7 collaboratively and it's a remarkable
8 accomplishment, really. And I commend the U.S. FDA
9 for what it's done to put us in that position
10 globally.

11 We can do better.

12 The Valley of Death is investors not
13 investing in these companies. And that Valley of
14 Death has been critically increased. It has become
15 more cavernous over the last five years.

16 Investment has dropped in the U.S. in these
17 early-stage medical device companies by 50 percent
18 since 2020.

19 Why is that?

20 Well, we have five minutes, I'll tell you
21 two themes from investors, though.

22 One is, they want larger markets.

23 And two is, they want to reduce regulatory
24 risk. Okay?

25 So, the proposition here today, that we

1 come together on a pilot program to make this low
2 risk, to try it out, to prove it, to work out the
3 bugs.

4 And as we work out those bugs, then we can
5 scale it to a larger effort.

6 And that pilot program might look like a
7 dozen companies from Canada, the U.S., and Mexico,
8 going through a single unified regulatory approval
9 process.

10 It would be custom. It would take
11 leadership. It would take folks around this room
12 to get it done well.

13 But I think if we start that, we have the
14 opportunity to go back to the investment community,
15 collectively, across thousands of companies and
16 say, hey, we are in a single, unified regulatory
17 approval process.

18 When we get through this, when we get
19 through this, we'll have access to 500 million
20 patients in need, or at least people -- large
21 markets, larger markets.

22 That's 50 percent larger than the U.S.
23 alone. That's about four times the Mexican market.

24 That's about -- somebody else can do the math here,
25 but 10, 12, maybe 15 times the Canadian market.

1 So, it's to the benefit of all. It'll
2 bring more investment in, get more of our technology
3 forward, grow jobs, grow the economy, and get these
4 technologies to patients in need.

5 Now, I thank everyone here in this room.

6 I've been here all day just to participate on the
7 process.

8 And it's great to see the government at
9 work. It's great to say, good evening to a bunch
10 of key leaders in the U.S. government. It's really
11 terrific to be here.

12 Thank you.

13 MR. OLIVER: Thank you.

14 And thank you all for sharing your
15 testimonies. It's greatly appreciated.

16 We'll now be turning over to our U.S.
17 government officials that are on the panel to ask
18 some questions.

19 As a reminder, each of you will receive
20 a question. Your response time is limited to two
21 minutes.

22 As one caveat, there will be one question
23 that is directed to three of you, but each of those
24 witnesses will still get your two minutes of time
25 to respond.

1 But before we turn to questions, I'll
2 quickly turn it over to our FDA colleague just so
3 that he can introduce himself.

4 And then, we'll turn to the questions.

5 MR. RIERAS: Hi, yes, my name is Joseph
6 Rieras. I'm the Director of the Office of Trade
7 and Global Partnerships at FDA within the Office
8 of the Commissioner of FDA.

9 MR. OLIVER: Thank you so much.

10 And with that, we'll turn to Mr. Watson
11 for the first question.

12 CHAIR WATSON: Okay, and the first
13 question is going to be for Mr. Aziz.

14 So, in your submission, you raise concerns
15 about Canada's system for patent term extensions
16 for patent office delays and its system for patent
17 term extensions for marketing approval delays.

18 Could you elaborate on your concerns,
19 including how the two systems interact?

20 MR. AZIZ: Thank you very much for the
21 question.

22 So, first, the two systems protect two
23 distinct things.

24 PTA protects against delays at the patent
25 office.

1 PTE is in place to provide some protection
2 for the long approval regulatory processes.

3 So, I think at the offset, I think it's
4 important just to recognize that these are two
5 different mechanisms that protect two different
6 things.

7 In Canada, what they have done is,
8 essentially, run the PTA and PTE systems
9 concurrently, effectively negating the effects of
10 the protections that these two different, distinct
11 things are supposed to provide.

12 So, that is something that we do underscore
13 in our submission.

14 Again, I'll just reiterate, they are two
15 different things, they protect -- intend to protect
16 two different scenarios, and running it
17 concurrently essentially is negating the impact of
18 what these protections are supposed to provide.

19 Thank you for the question.

20 MR. OLIVER: Thank you for that response.

21 The next question will come from Mr. Lee.

22 MR. LEE: Thank you.

23 We're kind of going in order, so this
24 question is for Ms. Parshall.

25 In your submission, you raised concerns

1 about Article 20.71 of the USMCA, which relates to
2 criminal enforcement against trade secret theft.

3 Could you please elaborate on how this
4 provision, quote, risks chilling legitimate policy
5 actions aimed at expanding access to medicines, end
6 quote?

7 And how do you balance those views with
8 trade secret theft being a serious global and
9 economic security concern?

10 MS. PARSHALL: Thank you for your
11 question.

12 Our primary concern is that these
13 enforcement provisions that go beyond the TRIPS
14 agreement and our TRIPS-plus provisions risk
15 chilling policy solutions for Mexico, Canada, and
16 the U.S. to lower the prices of drugs.

17 Your question relates specifically to the
18 criminal enforcement of trade secret provisions.

19 We hold the strong stance that those TRIPS
20 enforcement provisions are sufficient in that every
21 enforcement provision within the USMCA must be
22 narrowly tailored to the agreement.

23 And we do support the criminal -- or the
24 enforcement of the criminal provisions as it relates
25 to trademark infringement and counterfeit policy

1 as well.

2 But we believe that, going beyond those
3 provisions have the risk of undermining legitimate
4 policy positions due to obscuring regulators or
5 other policies that could increase the access to
6 medicines via affordable generic competition.

7 Thank you.

8 MR. OLIVER: Thank you for your response.

9 The next question will come from Ms.
10 Cascarano.

11 MS. CASCARANO: So, good evening.

12 So, some of the submissions track with
13 submissions from others on the panel.

14 So, I have a question for three of the
15 witnesses. And this will be for Mr. Sanders, Mr.
16 Del Olmo, and Mr. Lietzke.

17 So, the question is, you list a number of
18 specific proposals to upgrade the USMCA, including
19 tariffs, Rules of Origin, intellectual property,
20 government procurement, and regulatory
21 cooperation.

22 Are all of these equal priorities for your
23 member companies?

24 Or would you like to elaborate further on
25 any of these proposals as being more important?

1 I'll start with Mr. Sanders?

2 MR. SANDERS: Thank you, I appreciate the
3 question.

4 And I took 15 seconds longer than I should,
5 so I will be really brief.

6 I would say that, zero tariffs in a
7 different way would be like the concerns. But
8 dealers, at the end, also are important.

9 But we foresee is an inconsistent that
10 requires alignment of our regulatory system,
11 including the intellectual property, and of course,
12 the agencies and institutions -- institutional
13 framework that allows for innovation, but also for
14 accessibility.

15 So, besides and with the committee
16 approval to send a more data-based response and
17 follow up with that.

18 I would also like to highlight what we see
19 here, that's the opportunity to shape the future
20 of the most competitive and secure region in the
21 world.

22 We don't see any other way to improve in
23 a better manner the freedom and the growth of our
24 countries if it's not with this.

25 So, if I had to choose one, I would say

1 the zero tariffs in a different way in favor of these
2 countries, the neighbor countries, it would be an
3 important one.

4 But without forgetting that we need an
5 institutional framework to allow for that commerce
6 to grow even bigger and most prosperous than what
7 we have right now.

8 Thanks, again, for the opportunity.

9 MS. CASCARANO: Thank you.

10 Mr. Del Olmo?

11 MR. DEL OLMO HIDALGO: Thank you for the
12 question.

13 ANAFAM is very clear that we have to have
14 a regional framework for production and trade,
15 meaning that, as example, on the linkage system,
16 we have an exception for Mexico to --

17 MR. OLIVER: Could you bring your mic a
18 little bit closer?

19 MR. DEL OLMO HIDALGO: Yes, sorry.

20 Yes, as I was saying, for ANAFAM it's very
21 important to have a regional framework for
22 production and trade.

23 As an example, Mexico has to have an
24 exemption on linkage included in the annex 28.

25 And we think that we can have a common

1 linkage system that the U.S. and Canada are having
2 according to the Article 20.50.

3 Saying that, we think that the -- also the
4 exemption that Mr. Bipes was saying that Canada is
5 not included in the procurement annex, we can say
6 that the Mexican enterprises cannot participate in
7 the procurement from public institutions from the
8 United States.

9 So, we think that it should be -- that this
10 should include all of the articles regarding to the
11 pharmaceutical sectors into a special framework
12 creating and North American framework and other
13 practical standards.

14 Thank you.

15 MS. CASCARANO: And Mr. Lietzke?

16 MR. LIETZKE: Healthcare knows no
17 borders. Okay?

18 So, the maladies that we address as
19 pharmaceutical companies or as medical device
20 companies don't recognize passports in this room.

21 Right?

22 So, I think we want to come together in
23 a way that is to the benefit of all citizens and
24 to grow businesses and to grow healthcare solutions
25 so that these patients in need get served.

1 You know, my primary message today is,
2 let's try a unified method to approve medical device
3 and pharmaceutical companies across all three
4 companies.

5 It makes the largest market in the world.
6 We're larger than Western Europe if we do that.

7 But I think also, I should mention, you
8 know, the real-world story VACERE, the reason I
9 mentioned VACERE really is, you know, we have
10 leadership in Mexico. We have leadership in
11 Cleveland. We have research and development that
12 comes out of Mexico that's critical to what we're
13 doing.

14 We have a grant, a million dollar grant
15 from Mexico to develop this technology.

16 We have a \$3 million grant from U.S. NIH
17 to develop this technology.

18 This is a collaborative effort and I think
19 that's the final second I'm given as I look at the
20 clock.

21 But this is a really important message that
22 we come together and get these devices approved.

23 Beyond that, let's think of patients
24 first.

25 MS. CASCARANO: Thank you.

1 MR. OLIVER: Thank you for all three of
2 your responses.

3 The final question will come from Mr.
4 Rieras.

5 MR. RIERAS: Yes, thank you.

6 This question is for Mr. Steven Bipes.

7 Your comments recommend preserving
8 existing Rules of Origin.

9 Are there particular product categories
10 within medical devices where changes to Rules of
11 Origin would create the most significant risk of
12 supply chain disruption?

13 MR. BIPES: Thank you for the question.

14 Of the comments and inputs we've received
15 from our members, there's two categories.

16 One is simplifying the administrative
17 procedures regarding Rules of Origin, origin
18 procedures.

19 And the other's on the rules themselves.

20 We, again, encourage that the agreement
21 be renewed in its current form and we think that
22 there's tools within the current agreement that
23 could be supplemented through side agreements to
24 help shore up some of this.

25 I think on -- I don't believe there's

1 currently a definition of transshipment, but
2 certainly, a trilateral definition of that would
3 be helpful.

4 One of the great novelties of the USMCA
5 is Chapter 28 on the regulatory practices. And one
6 of the foundation -- founding principles of the
7 regulatory practices is defining the problem before
8 we craft solutions.

9 We would like to -- we don't have evidence,
10 hard evidence, of transshipment for our sector.
11 We know it's happening across several other sectors.

12 But it would be helpful to have a common
13 definition and then, to look at the data. And then,
14 make a determination to the extent it's happening.

15 Is it happening in compliance with the
16 current rules? Which would mean, there's a change
17 to the rules that's needed.

18 Or is it happening in violation of the
19 rules? Then it's an enforcement issue.

20 But we'd be happy to follow up with you
21 in further details.

22 Thank you.

23 MR. OLIVER: Thank you.

24 And thank you all for sharing your
25 testimonies, for your responsiveness to the

1 questions, and for being here, even in the evening.

2 We greatly appreciate it.

3 With that, this panel is concluded. But
4 before I release you all, I'll turn it back over
5 to Assistant USTR Dana Watson for closing remarks.

6 CHAIR WATSON: Yes, so, we'll keep this
7 brief because everybody wants to go home.

8 But again, thank you all for coming.
9 We've had a really fantastic day of testimony. And
10 I know you probably weren't here for all of it, but
11 it's been really enlightening for everyone here.

12 So, really appreciate it.

13 Again, special thanks to ITC for all of
14 your support. This is a great place for the hearing
15 and you're giving us a lot of helpful services,
16 including this wonderful transcript we're going to
17 have at the end.

18 So, thanks again to everybody, and maybe
19 we'll see some of you tomorrow.

20 (Whereupon, the above-entitled matter
21 went off the record at 6:27 p.m.)
22
23
24
25

C E R T I F I C A T E

This is to certify that the foregoing transcript was duly recorded and accurately transcribed under my direction; further, that said transcript is a true and accurate record of the proceedings; and that I am neither counsel for, related to, nor employed by any of the parties to this action in which this matter was taken; and further that I am not a relative nor an employee of any of the parties nor counsel employed by the parties, and I am not financially or otherwise interested in the outcome of the action.

James Cordes

James Cordes